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APPRAISERS - ANALYSTS - CONSULTANTS
106 WEST VETERANS MEMORIAL DRIVE, KAPLAN, LOUISIANA 70548
(337) 643-1931 (FAX) 643-6108

Appraisal of an Existing
NEIGHBORHOOD SHOPPING CENTER
With Proposed Renovations
Located At
101-149 ARNOLD BOULEVARD
LAFAYETTE, LOUISIANA 70506

This is An Appraisal Report with a Scope of Work
To Include All Applicable Approaches to Value

Requested By
VANESSA V. VEY
of
INVESTAR BANK
BATON ROUGE, LOUISIANA

Appraisal Date:
OCTOBER 1, 2019

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106 WEST VETERANS MEMORIAL DRIVE, KAPLAN, LOUISIANA 70548

(337) 643-1931 (FAX) 643-6108

October 3, 2019

Investar Bank

Attn: Vanessa V Vey

10500 Coursey Boulevard, 3rd Floor

Baton Rouge, Louisiana 70816

RE: Appraisal of an existing neighborhood retail shopping center, with proposed renovations, located at 101-149 Arnould Boulevard, Lafayette, Louisiana.

Dear Mrs. Vey:

I am pleased to submit this appraisal of the above referenced property, which was inspected by the writer on October 1, 2019, and serves as the effective date of valuation for the "as is" market value with the prospective date of valuation being August 31, 2020, which is the estimated date of completion for the renovations & upgrades. The subject property is an existing neighborhood retail shopping center, consisting of two buildings containing a total of ±62,749 (NRA) net rentable square feet all situated on a ±210,830 square foot site fronting Highway 167 corridor (aka Johnston Street) in Lafayette, Louisiana. Additionally, the center is proposed with renovations and upgrades, which will be discussed forthcoming.

As existing, however with proposed renovations, the subject improvements will be considered to be in overall average condition with no assumed items of deferred maintenance. Just as a matter of reference, the owner has no awareness of the presence of hazardous materials. It is the appraiser's intention to adhere to nationally recognized appraisal practices, as well as any and all guidelines stipulated by the Louisiana State Certified Appraisers' Law, the Appraisal Institute, FIRREA, USPAP standards and the client's requirements. The appraisal was not subject to any predetermined valuation parameters, or specific valuation associated with loan approval, and I have no interest in the subject property. My opinion of value is subject to the Assumptions and Limiting Conditions, Certification, and Restrictions Upon Disclosure and Use stated within the report, and I am competent to perform this appraisal as similar type properties have been appraised.

The appraiser assumes no responsibility for any legal matters associated with the title history, as abstract research is beyond the scope of the assignment. On this note, the appraiser assumes the subject is free from encumbrances and under responsible ownership. Furniture, fixtures, and equipment were not valued, and I do not have a borrowing relationship with the client. The function of the report is to establish a market value estimate for lending purposes. The purpose of the appraisal is to estimate the leased fee market value of the subject property in accordance with the prescribed market value definition, which assumes a reasonable marketing time for the property. Lastly, I have no direct evidence of non-compliance with the requirements of ADA, however, I am not an expert in this field. The owner is also not aware of any items of noncompliance, which is assumed to be the case.

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I estimate the **prospective market value** of the **leased fee interest** in the subject ***“as developed and stabilized,”*** as of August 31, 2020 (estimated date of completion), subject to the enclosed extraordinary assumptions and hypothetical conditions, to be:

SIX MILLION SEVEN HUNDRED THOUSAND DOLLARS

\$6,700,000.00

Because valuation of the subject involves proposed construction, the “as is” market value, market value “upon completion” and market value “upon reaching stabilized occupancy” must be estimated. In this case, it is estimated that the market value “upon completion” will be the market value “upon reaching stabilized occupancy” will be the same since the subject will effectively be stabilized with a couple of months of completion. Assuming such, the facility will not experience the customary income loss deductions prior to reaching stabilized occupancy. The appraiser was also requested to provide an market value of the subject “as is” as of the date of inspection (October 1, 2019). This is noted to be \$6,000,000, which is essentially the prospective market value (\$6,700,000) less the cost to renovate (\$700,000) and as such, the market value of the subject in “as is” condition is noted to be \$6,000,000 (\$6,700,000 - \$700,000 = \$6,000,000).

It is estimated that the subject property would experience a normal marketing and/or exposure time of within twelve months. *The appraiser is noting that no services, appraisal or otherwise, have been performed on the subject property within the past three years.*

Once again, thank you for allowing me to be of service to you.

Sincerely,



TERRY J. BROUSSARD, MAI, CCIM, MRICS

Louisiana State Certified General Real Estate Appraiser, #G0454

Oklahoma State Certified General Real Estate Appraiser, Certificate #OK-12843CGA.

Alabama State Certified General Real Estate Appraiser, Certificate #G00870

Texas State Certified General Real Estate Appraiser, Certificate #TX-1338000G

Mississippi State Certified General Real Estate Appraiser, Certificate #GA-910

Arkansas State Certified General Real Estate Appraiser, Certificate #CG-3319

Georgia State Certified General Real Estate Appraiser, Certificate #350387

Tennessee State Certified General Real Estate Appraiser, #G5016

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SUMMARY

Appraisal Date:	October 1, 2019
Appraisal Purpose:	Market value estimation of the fee simple and leased fee interest.
Appraisal Function:	Market value estimation for lending purposes.
Property Rights Appraised:	Leased Fee & Fee Simple Interest
Neighborhood:	±70% built-up
Zoning:	CH; Commercial Heavy District
Flood Zone:	Zone "X," as per NFIP Panel 22055C0160J, dated December 21, 2018.
Topography:	Mostly level above street grade and reportedly adequately drained
Corner:	Yes, forming the corners of Johnston Street (Highway 167), Arnould Blvd, Patricia & Marie Antoinette Streets.
Land Size:	±210,830 square feet or ±4.84 Acres
Building Area Description:	A ±62,749 square foot steel & block framed neighborhood retail shopping center situated on an ±210,830 square foot site fronting Highway 167 in Lafayette. Additionally, there is ±121,000 square feet of concrete parking/drives.
Estimated Highest and Best Use:	As Vacant - Commercial/retail/development As Improved – Existing retail center use

Market Value of Leased Fee Interest (As Developed)

Cost Approach: <i>(Fee Simple)</i>	\$6,535,000.00
Sales Comparison Approach: <i>(Leased Fee)</i>	\$6,725,000.00
Income Approach: <i>(Leased Fee)</i>	\$6,712,000.00

Final Leased Fee Market Value Estimate
"As Developed & Stabilized" on
August 31, 2020: **\$6,700,000.00**

Final Leased Fee Market Value Estimate
"As Is" on October 1, 2019: **\$6,000,000.00**

The location map and photographs of the subject can be found on the following pages.

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PHOTOGRAPHS OF SUBJECT PROPERTY



View of Subject From Intersection of Highway 167 (Johnston Street) & Arnould Blvd



Rear View of Subject From Arnould Boulevard

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PHOTOGRAPHS OF SUBJECT PROPERTY



Street Scene Along Johnston Street Facing West With Subject to Right



Street Scene Along Johnston Street Facing East With Subject to Left

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PHOTOGRAPHS OF SUBJECT PROPERTY



Front View of Subject From Johnston Street



Closer Front View of Subject From Parking Area

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PHOTOGRAPHS OF SUBJECT PROPERTY



Front View of Subject From Arnould Blvd



View of Subject From Arnould Blvd

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PHOTOGRAPHS OF SUBJECT PROPERTY



Street Scene Along Arnould Blvd Facing South With Subject to Right



Rear View of Subject From Corner of Patricia & Marie Antoinette Streets

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PHOTOGRAPHS OF SUBJECT PROPERTY



Rear View of Subject From Corner of Patricia & Marie Antoinette Streets



Rear View of Subject From Corner of Johnston & Marie Antoinette Streets

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PHOTOGRAPHS OF SUBJECT PROPERTY



View of Suites A&B



Interior View of Suite A

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PHOTOGRAPHS OF SUBJECT PROPERTY



Interior View of Suite B



Interior View of 2nd Floor of Suite A&B

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PHOTOGRAPHS OF SUBJECT PROPERTY



Front View of Suite C



Interior View of Suite C

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Front View of Suite D



Front View of Suites E&F

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Interior View of Suite E



Interior View of Suite F

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PHOTOGRAPHS OF SUBJECT PROPERTY



Front View of Suite G



Another Front View of Suite G

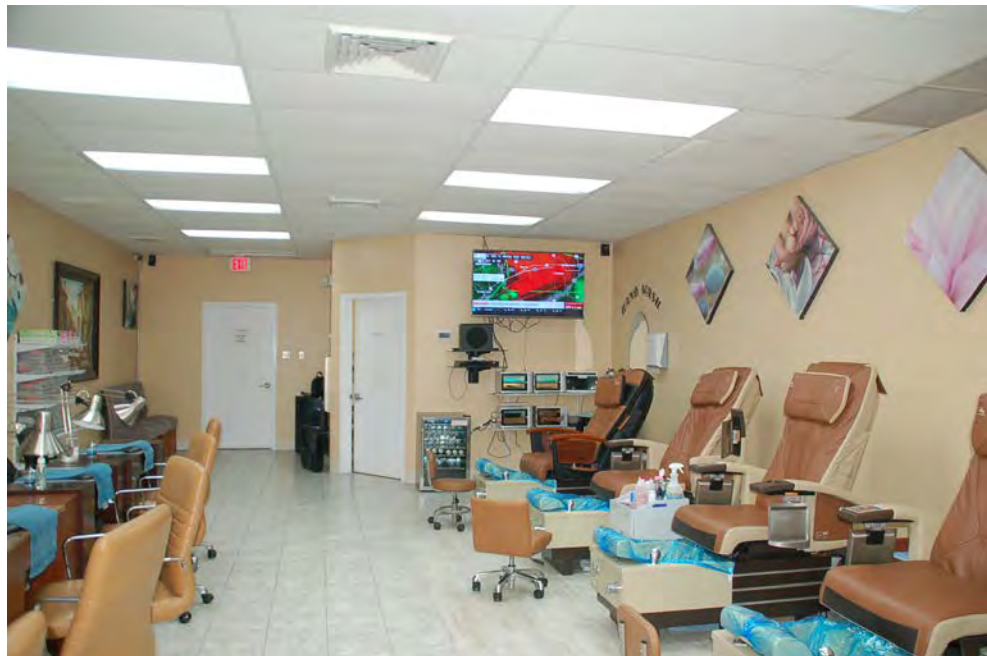
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PHOTOGRAPHS OF SUBJECT PROPERTY



Front View of Suite H



Interior View of Suite H

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Front View of Suite I



Interior View of Suite I

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Front View of Suite J



Interior View of Suite J

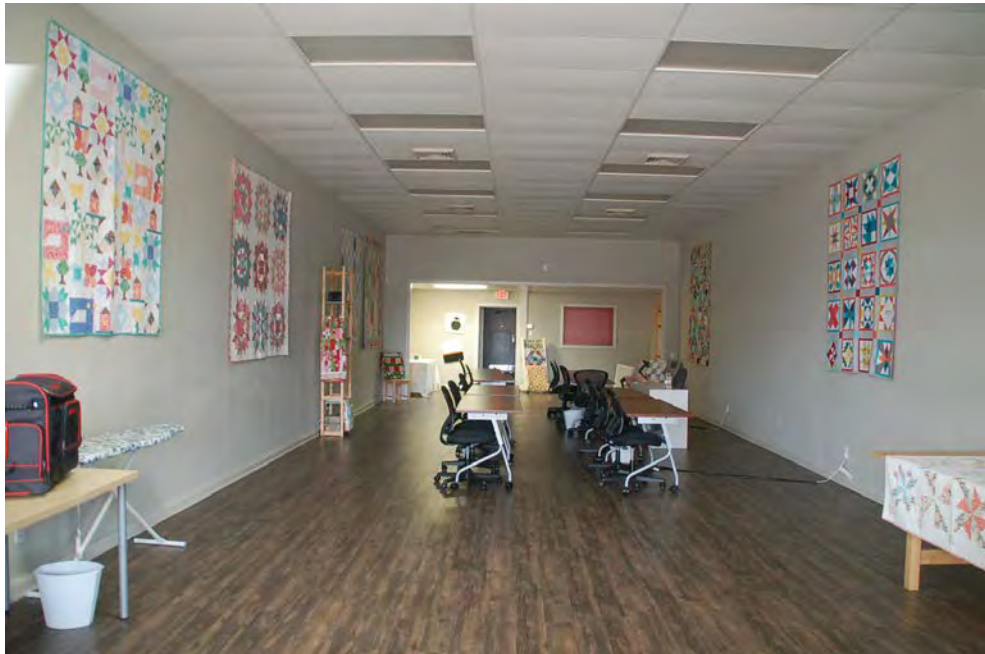
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PHOTOGRAPHS OF SUBJECT PROPERTY



Front View of Suites K&L



Interior View of Suite K

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Interior View of Suite L



Interior View of Suite L

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Front View of Suite M



Interior View of Suite M

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PHOTOGRAPHS OF SUBJECT PROPERTY



Front View of Suite N



Interior View of Suite N

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PHOTOGRAPHS OF SUBJECT PROPERTY



Front View of Suite O



Interior View of Suite O

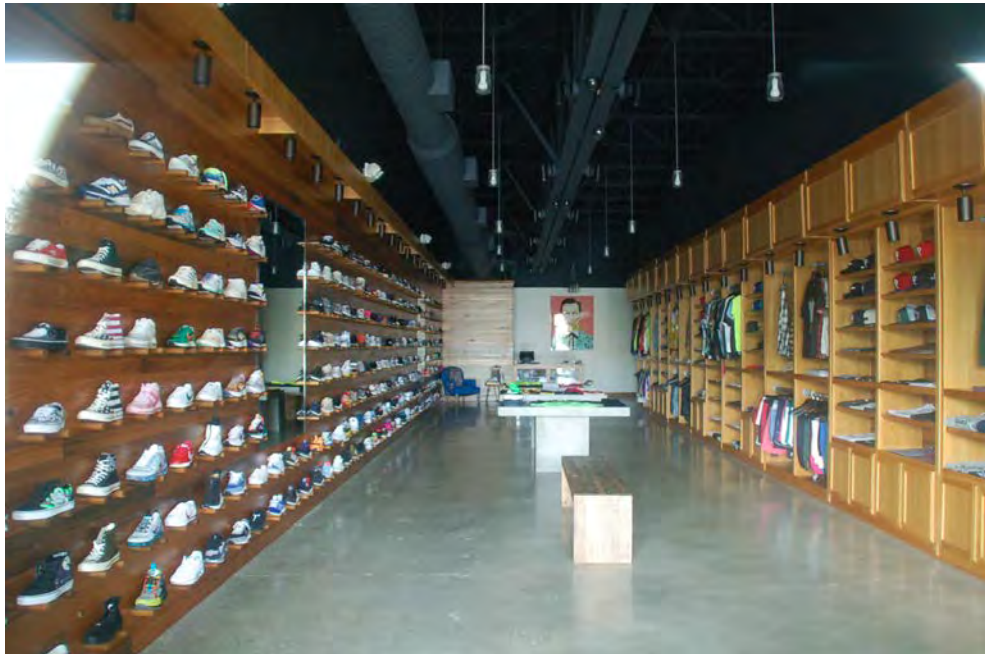
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PHOTOGRAPHS OF SUBJECT PROPERTY



Front View of Suite P



Interior View of Suite P

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PHOTOGRAPHS OF SUBJECT PROPERTY



Front View of Suite Q



Interior View of Suite Q

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PHOTOGRAPHS OF SUBJECT PROPERTY



Front View of Suite R



Interior View of Suite R

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Front View of Suites S&T



Front View of Suites S&T

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PHOTOGRAPHS OF SUBJECT PROPERTY



Front View of Suite U



Interior View of Suite U

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Appraisers - Analysts - Consultants

PHOTOGRAPHS OF SUBJECT PROPERTY



Front View of Suite V



Interior View of Suite V

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Appraisers - Analysts - Consultants

PHOTOGRAPHS OF SUBJECT PROPERTY



Front View of Suite W



Interior View of Suite W

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PHOTOGRAPHS OF SUBJECT PROPERTY



Interior View of Suite W



Interior View of Suite W

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PHOTOGRAPHS OF SUBJECT PROPERTY



View of Parking Area



Another View of Parking Area

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PHOTOGRAPHS OF SUBJECT PROPERTY



View of Covered Walkways for Suites A-P



View of Covered Walkways for Suites Q-W

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PHOTOGRAPHS OF SUBJECT PROPERTY



Street Scene Along Johnston Street Facing West With Subject to Right

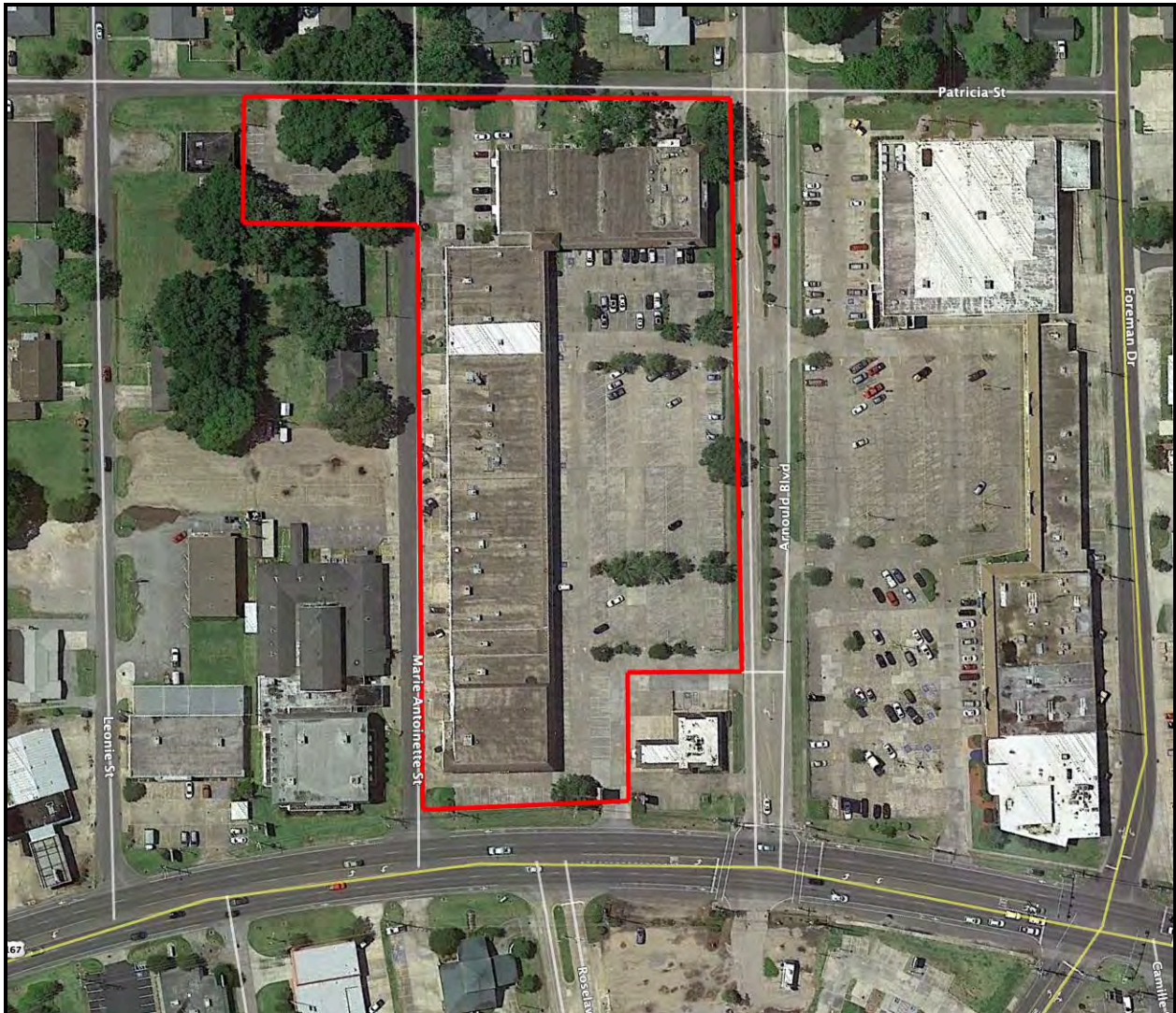


Street Scene Along Arnould Blvd Facing North With Subject to Left

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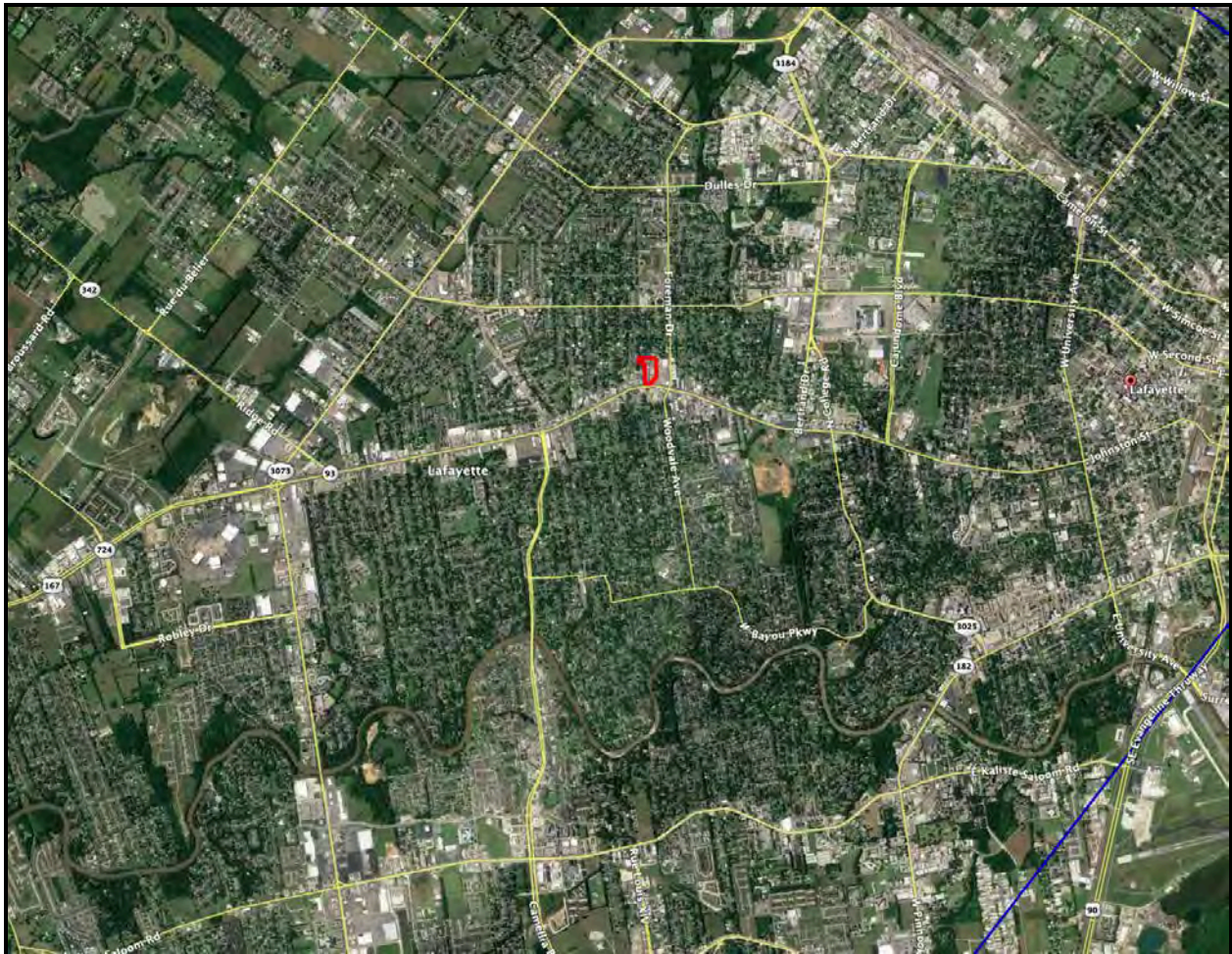
PHOTOGRAPHS OF SUBJECT PROPERTY



Aerial View of Subject

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PHOTOGRAPHS OF SUBJECT PROPERTY



Aerial View of Subject

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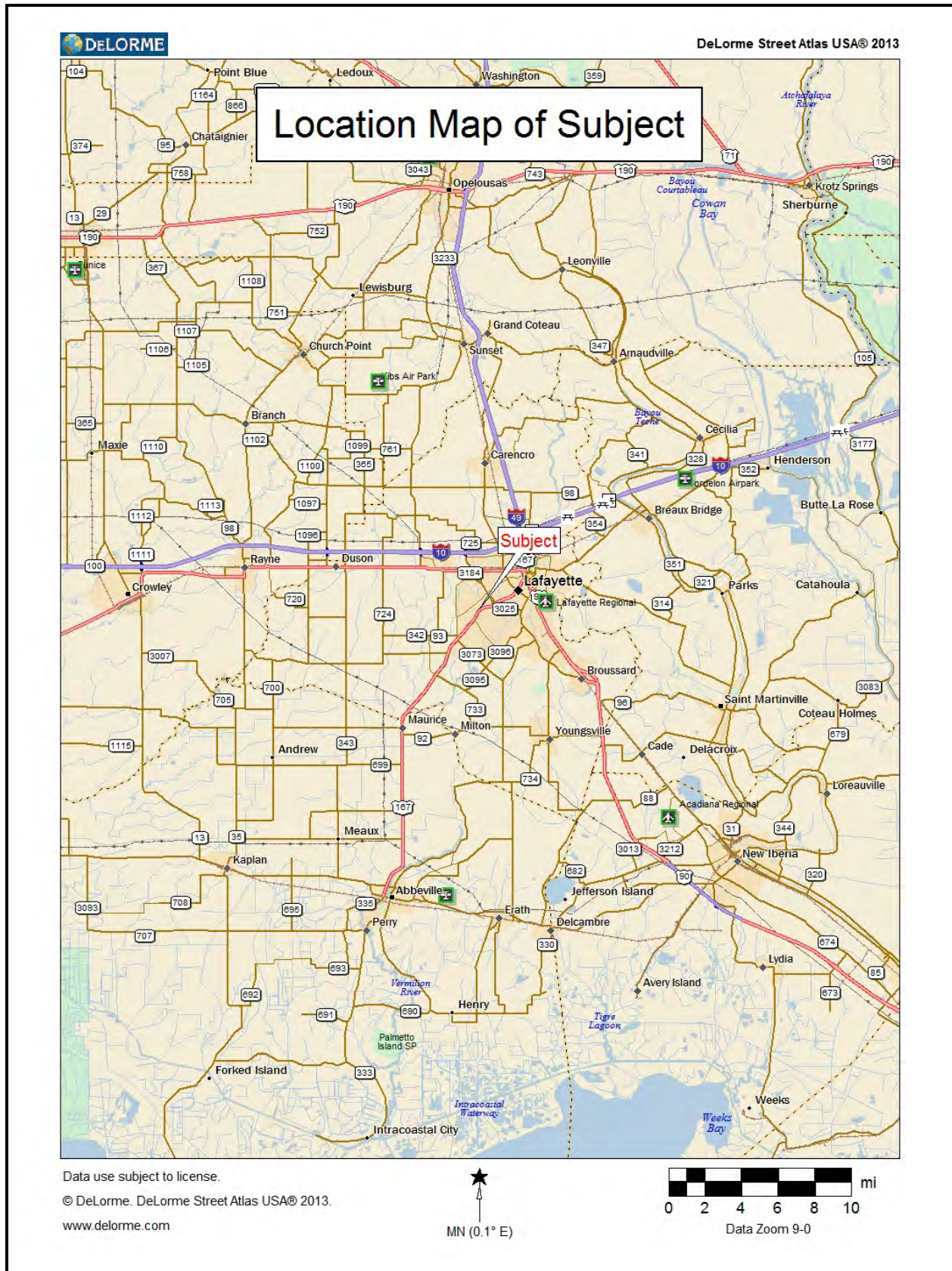


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HYPOTHETICAL CONDITONS

There are no Hypothetical Conditions.

EXTRAORDINARY ASSUMPTIONS AND LIMITING CONDITIONS

Appraisal of the subject involves Extraordinary Assumptions and associated Limiting Conditions, which are noted below. If any of these items prove different than noted herein, a re-valuation may be required, and the value may differ from that concluded herein. An Extraordinary Assumption is defined in the Uniform Standards of Appraisal Practice (USPAP) as “an assumption, directly related to a specific assignment, which if found to be false, could alter the appraiser’s opinions or conclusions. Extraordinary assumptions presume as fact otherwise uncertain information about physical, legal, or economic characteristics of the subject; or about conditions external to the property, such as market conditions or trends; or about the integrity of data used in an analysis.” The Extraordinary Assumptions and Limiting Conditions in the subject case are as follows:

The subject improvements exist, however are proposed with renovations and upgrades. The client requested a prospective value upon completion based on the extraordinary assumption that the property will be improved as of a future date as proposed, which was estimated to be 300 days or August 31, 2020. Therefore, the appraiser has contemplated the estimated prospective market value of the subject property and improvements assuming it will be completed as of the future date (August 31, 2020). Market conditions are not anticipated to be any different in 300 days (estimated date of completion-August 31, 2020) than they were on the inspection date of the site on October 1, 2019. The subject site size, shape and dimensions are based on Alta survey provide by the owner and client and assumed to be correct and are subject to legal and engineering verification. The appraiser is also noting that the bank branch site & improvements toward the front corner of the site is not a part of the subject tract. The appraiser is also noting that as per the city planning & zoning and survey, the site does have adequate parking for the improvements noted on the site, the variation of which could have an effect on the value concluded herein.

Standards Rule 1-2(g) of USPAP states that an extraordinary assumption may be used in an assignment only if:

**“it is required to properly develop credible opinions and conclusions;
the appraiser has a reasonable basis for the extraordinary assumption;
use of the extraordinary assumption results in a credible analysis; and
the appraiser complies with USPAP disclosure requirements for extraordinary assumptions”**

The extraordinary assumptions noted are concluded to form a reasonable premise for an appraisal in light of these parameters.

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PROPERTY IDENTIFICATION - The subject property is an existing neighborhood retail shopping center located at 101-149 Arnould Boulevard in the City of Lafayette. The legal description of the site provided by the court records is presented as follows:

Legal Description

Parcel A:

A parcel of Ground located in Section 42, Township 10 South, Range 4 East, Lafayette Parish, Louisiana, within the City Limits of City of Lafayette and being a portion of the formally dedicated Block I of Arnould Heights Subdivision and Block I of Arnould Heights Extension No. 1.

Commencing at the Southwest Right-of-Way corner of intersection of Arnould Boulevard and Patricia Street thence South 38°32'00" East a distance of 25.00 feet to the Point of Beginning.

Thence South 38°32'00" East a distance of 550.12 feet; thence South 51°28'00" West a distance of 100.00 feet; thence South 38°32'00" East a distance of 120.61 feet; thence along a curved line to the Left having a radius of 1,872.44 feet, Length of 168.53 feet and a chord of South 51°07'34" West with a distance of 168.48 feet; thence along a curved line to the Right having a radius of 30.00 feet, Length of 48.65 feet and a chord of North 84°59'34" West a distance of 43.49 feet; thence North 38°32'00" West a distance of 641.77 feet; thence along a curved line to the Right having a Radius of 25.00 feet, Length of 39.27 feet and a chord of North 06°28'00" East a distance of 35.36 feet; thence North 51°28'00" East a distance of 250 feet; thence along a curved line to the Right having a Radius of 25.00 feet, Length of 39.27 feet and a chord of South 83°32'00" East a distance of 35.36 feet to the Point of Beginning.

Parcel B:

LOT 7, BLOCK M, ARNOULD HEIGHTS SUBDIVISION, EXT. NO. 1

A parcel of ground located in Section 42, Township 10 South, Range 4, East, Lafayette Parish, Louisiana, within the City of Lafayette being more particularly described as follows:

Commencing at the southwestern right-of way corner of the intersection of Marie Antoinette Street and Patricia Street, thence South 38°32'00" East a distance of 25.00 feet to the Point of Beginning.

Thence South 38°32'00" East a distance of 75.00 feet; thence South 51°28'00" West a distance of 150.17 feet; thence North 38°43'28" West a distance of 100.00 feet; thence North 51°28'00" East a distance of 125.50 feet; thence along a curve to the right having a radius of 25.00 feet, an arc length of 39.27 feet, and a chord of South 83°32'00" East and a distance of 35.36 feet to the Point of Beginning.

APPRAISAL PURPOSE - The purpose of this appraisal report is to estimate the leased fee and fee simple market value of the subject property. It is the appraiser's intention to adhere to nationally recognized appraisal practices, as well as any and all guidelines stipulated by the Louisiana State Certified Appraisers' Law, the Appraisal Institute, FIRREA, USPAP standards and the client's requirements.

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PROPERTY RIGHTS - The property rights being appraised within the subject property are those of an encumbered leased fee and fee simple interest. A “Leased Fee Estate” is defined in the 14th edition of the *Appraisal of Real Estate*, published by the Appraisal Institute in 2013, as follows:

...an ownership interest held by a landlord with specified rights that include the right of use and occupancy conveyed by a lease to others; the rights of lessor (the leased fee owner) and lessee (leaseholder) are specified by contract terms contained within the lease.

A “Fee Simple Title” is defined in the 14th edition of the *Appraisal of Real Estate*, published by the Appraisal Institute in 2013, as follows:

...absolute ownership unencumbered by any other interest or estate, subject only to the limitations imposed by the government powers of taxation, eminent domain, police power, and escheat.

The client has requested the following estimates of value:

Market Value of a **leased fee** interest in the subject property “as is” as well as the **Market Value** of a **fee simple** interest in the subject property “as is” as of the date of the property visit.

APPRAISAL FUNCTION - The function of the appraisal is to estimate the market value of the leased fee and fee simple interest of the subject for lending purposes.

OWNERSHIP - According to the Lafayette Parish clerk of court’s office, ownership of the subject is vested in Belle Realty of Lafayette, LLC.

APPRAISAL DATE - The effective date of the “as is” valuation is October 1, 2019, which is also the inspection date. The effective date of the “as developed” valuation is August 31, 2020, which is the estimated date of completion. The date of the appraisal report is October 3, 2019.

INTENDED USER & USE - The intended user of this report is Investar Bank for mortgage lending purposes.

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SCOPE OF THE APPRAISAL - The property involves valuation of an existing neighborhood retail shopping center located at 101-149 Arnould Boulevard in the City of Lafayette. To properly analyze the appraisal problem and formulate a solution, I must first determine the appraisal scope to effectively gather information for analysis. First, I consulted with the client and determined that the best method for valuation is utilization of all approaches to value. Next, I must define the problem by identifying the property under appraisal, and then establish the rights to be appraised and the type of value sought. The appraisal problem involves valuation of the leased fee and fee simple estate property rights since the property will be encumbered by several unrecorded lease agreements. Following below is a more detailed analysis involved in the scope of work conclusion. In this case, the "Market Value" definition used herein as defined by the United States Treasury Department, Comptroller of Currency, 12 CFR, Part 34, +34.2 (F), is as follows:

The most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently, knowledgeably and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:

- a. Buyer and seller are typically motivated;**
- b. Both parties are well-informed or well-advised, and each acting in what he considers his own best interest;**
- c. A reasonable time is allowed for exposure on the open market; and**
- d. Payment is made in terms of cash in U.S. dollars or in terms of financial arrangements comparable thereto**
- e. The price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale.**

The scope of work rule requires the appraiser to identify the scope of work necessary to complete the appraisal assignment. The scope of work includes, but is not limited to, the following:

- The degree to which the property is identified;
- The extent to which tangible property is inspected;
- The type and extent of data researched; and
- The type and extent of analysis applied to arrive at opinions or conclusions.

The scope of work completed for this appraisal is intended to meet and/or exceed the expectations of the typical intended users for similar assignments. The scope of work completed for this

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appraisal assignment is also intended to be consistent with those actions completed by similarly qualified peers performing a similar appraisal assignment in compliance with USPAP. The scope of work completed for this specific appraisal assignment includes the following:

- The property was visited by Terry J. Broussard, MAI, on October 1, 2019. Photographs of the identified property were taken (copies are provided with the beginning of the report).
- Neither the site visit nor this appraisal is to be construed as a building inspection, structural inspection, ADA compliance inspection, environmental inspection or pest control inspection (i.e., identifying infestations such as termites). The appraiser is not qualified to complete such inspections. In completing the site visit, areas that were readily accessible were visually observed for valuation comparison purposes. The observations made during the site visit were not technically exhaustive and are not to be construed as a warranty, of any type or form, of the improvements (proposed or otherwise), site improvements, furniture, fixtures and equipment, or site.
- The courthouse records of Lafayette Parish were researched to track the transactional history of the subject property over the past 3 years.
- The current tax assessments and related property tax bills affecting the subject were researched.
- The regional and neighborhood influences were considered along with their affects on property. In compliance with USPAP Standards Rule 1-4(f), which states “that an appraiser must analyze the effect on value, if any, of anticipated public or private improvements, located on or off the site, to the extent that market actions reflects such anticipated improvements as of the effective date of the appraisal.” There are no known pending public or private projects that will indirectly affect the subject property.
- The site survey, building plans, flood map and zoning map were compiled and reviewed.
- The site and improvements (proposed and existing) were described; land size, frontage, availability of utilities, zoning, number of buildings, gross building area, net rentable area, building components and other pertinent attributes were discussed. Furniture, fixtures and equipment are not included in this analysis.
- The highest and best use of the property “as is” and “as developed” were estimated.

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- Sales and rentals of properties with similar highest and best uses were found and researched. Research and verification included reviewing the act of sale, interviewing individual's familiar with the sale or rental contract (either buyer, seller, broker, building owner, property manager, or appraiser involved in the transaction) and/or obtaining other pertinent information about the property (i.e., flood zone status, zoning, available utilities, condition, consideration).
- The appropriate and correct valuation methodologies, including in-depth income, cost, sales comparison and income analyses, were applied and reconciled into a final value estimate.

APPRAISAL PROCESS - In accordance with the current highest and best use of the subject, both as vacant and as improved, I have gathered market information, which reflects patterns or trends affecting the subject property. The process of valuation typically includes utilization and reconciliation of the three traditional approaches to estimate Market Value, i.e., the Cost Approach, the Sales Comparison Approach, and the Income Capitalization Approach, all of which are discussed as follows:

The ***Cost Approach*** is defined as “that approach in appraisal analysis which is based on the proposition that the informed purchaser would pay no more than the cost of reproducing a substitute property with the same utility as the subject property. It is particularly applicable when the property being appraised involves existing improvements which represent the Highest and Best Use of the land or when relatively unique or specialized improvements are located on the site and for which there exists no comparable properties on the market.” This concept suggests that no prudent purchaser would pay more for a property than the amount for which he/she can obtain, by purchase of the site and construction of a similar building without undue delay, a property of equal desirability and utility. Valuation by the Cost Approach dictates the depreciated value of the improvements be added to the fee simple value of the land as if vacant. The reproduction cost of the improvements was estimated primarily by use of actual construction cost estimates, however, national cost estimates were also deemed reliable despite the specialized construction features associated with the subject. In estimating depreciation of the improvements, physical curable and incurable deterioration were considered given the subject was built in 1976 and lastly in 2008, however renovated and remodeled several times over the years. While functional and external

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obsolescence were considered, functional obsolescence was not evidenced as the facility appears functional for its intended use and is assumed to perform adequately in light of typical market circumstances. External obsolescence also does not appear to affect the subject given the “healthy” condition of the general commercial market, particularly in terms of the subject’s retail shopping center use. Hence, external factors do not appear to negatively affect the subject, at least to the point that feasibility would not be realized. In any case, this approach is not typically weighed by prudent purchasers as the cost to arrive at the property is only secondarily considered. Further, since the Cost Approach is rarely used by prudent purchasers when making purchase decisions on investment properties, it is not deemed particularly relevant in this case, and subsequently will be given least consideration in reconciling the subject’s market value estimate.

The ***Sales Comparison Approach*** involves direct comparison of known market sale transactions of similar improved properties. The Principle of Substitution forms the basis of appraisal theory since a prudent purchaser would pay no more for a property than the cost of acquiring an equally desirable substitute property on the open market. In this approach, analysis of the market for relatable sales, which have occurred recently, resulted with a sufficient volume of information from the local and regional markets. Hence, a supportable indication of value was obtained given the adequate, although not particularly ample, supply of data available. However, it is important for the reader to understand that due to particular variances in the sales data, none were completely or totally comparable. Further, the differences between typical neighborhood center property sales are sometimes numerous and involve significant peculiarities. Therefore, careful analysis of the sales presented is required. With this in mind, I have researched the market for comparable neighborhood center sales in similar markets as the subject. With the above in mind, I have located several sales with which to compare to the subject using the primary method of Unit Price Comparison (Price Per Square Foot Building), however, the Effective Gross Income Multiplier (EGIM) was also utilized as a means of support. The Sales Comparison Approach should provide a reasonably reliable value indication with some limitations. However, due to the nature of the neighborhood center market and the unique locational and physical features typically present with any given property, the Sales Comparison Approach is rarely given exclusive weight in a neighborhood center appraisal. Such is the case at hand since the sales utilized herein reflected a wide variety of locations, physical attributes and economic indicators, and subsequently, a variety of unit prices.

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In any case, the value conclusion by the Sales Comparison Approach is the secondary method of valuation but will be relatable to that of the Income Capitalization Approach, therefore providing good collateral support.

The ***Income Approach*** is described as “that procedure in appraisal analysis, which converts anticipated benefits (dollar income or amenities) to be derived from the ownership of the property into a value estimate.” This approach involves analysis of comparable rentals and expenses in order to arrive at the net operating income which is capitalized into a value estimate, and is closely associated with income properties since the Principle of Anticipation affirms that an investor would pay no more for this type property than the worth of all present and future benefits arising from the ownership and use of the real estate. In this instance, income and operating expenses for the subject property were estimated, resulting in a net operating income that was capitalized via Direct Capitalization analysis. Because the Income Approach is heavily weighed by investors and the value of a neighborhood center is also relatable to an investment property, this approach is given primary consideration in reconciling the value of the subject property.

Reconciliation is the final step in the appraisal process that is defined as the “analysis of alternative conclusions to arrive at a final value estimate.” In arriving at a final value estimate, the appraiser reconciles the various approaches to value since each approach is not likely to produce identical values. Hence, the appraiser must weigh the factors in each approach that is most relevant to the property being appraised and resolve the differences in reconciling a final estimate of value for the subject.

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DESCRIPTION OF NEIGHBORHOOD

Definition: A neighborhood is defined as a "portion of a larger community or an entire community, in which there is a homogenous grouping of inhabitants, buildings, business enterprises, or land use trends."

The subject property is located in the central section of the city of Lafayette. More specifically, it is situated at the northwest corner of Johnston Street & Arnould Boulevard. This locale is in a relatively heavy built-up area of Lafayette, especially with the age of the development of the area and related developments. At this time it appears that the majority of the construction is along the Johnston Street.

Boundaries: As is characteristic of larger size cities with zoning, consistencies in land use are evident, making it somewhat easy to distinguish neighborhood boundaries. Hypothetically, the whole city of Lafayette could be classified as the neighborhood because most of it is easily accessible within minutes, each part contains its own ingredient of importance to the whole, and there is a general influence of differing properties on each other due to the overall layout of the streets and subdivisions. For purposes of purporting some delineation, however, its designated boundaries are as follows:

NORTH:	Interstate 10
SOUTH:	Kaliste Saloom Road
EAST:	Highway 90
WEST:	Ambassador Caffery Parkway

The subject neighborhood, like most of the city of Lafayette, maintains some suburban characteristics. While having many of the commonplaces, small-scale shopping facilities and business centers normally found in communities, it is also has large scale centers in throughout the areas of Lafayette. The major traffic arteries, which service and bound the neighborhood and provide direct access to the neighborhood are as follows:

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Johnston Street (Highway 167): is a four-lane main concrete artery with turn lane that runs east and west through the central area of Lafayette. It provides direct access into the city of Lafayette from southwest toward the northeast and Highway 90. It is one of the main thoroughfares through the city. Development in this area is comprised of mixed property-types, which is typical along main roads in and around larger cities. In the vicinity of the subject neighborhood there are big box & smaller retail centers as well as numerous retail and office properties most of which are near and around the subject. It is concrete surfaced, with subsurface drainage and underground utilities.

Summary: It appears that oil prices are still erratic but appear to be stabilizing enough that it should halt further deterioration in the petroleum industry. The economic stature of the subject neighborhood is expected to parallel that of the overall Louisiana State market. Efforts are currently directed toward the diversification of the economic base on both a local and regional level. However, the foreseeable future of the area is still primarily dependent upon the volatile petroleum industry, and its effects on the local economy, which is suffering at this time due to numerous national trends away from this industry. In view of these observations, my estimates indicate that the immediate outlook for the subject neighborhood is for continued growth, especially being in the center of the city within a heavy populated area. This is suggested by the past interest in neighboring land, however due to the overall all economy it appears that this demand has increased, at least for the near future, as several developments are taking place at this time.

Following is information pertaining to the subject's location from Site To Do Business website;

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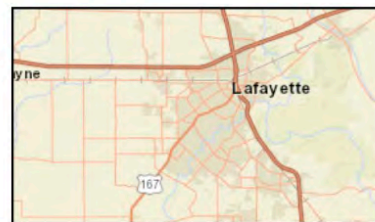
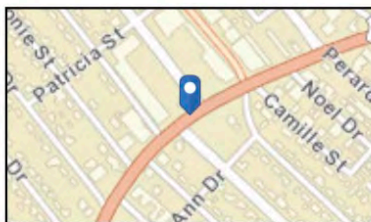
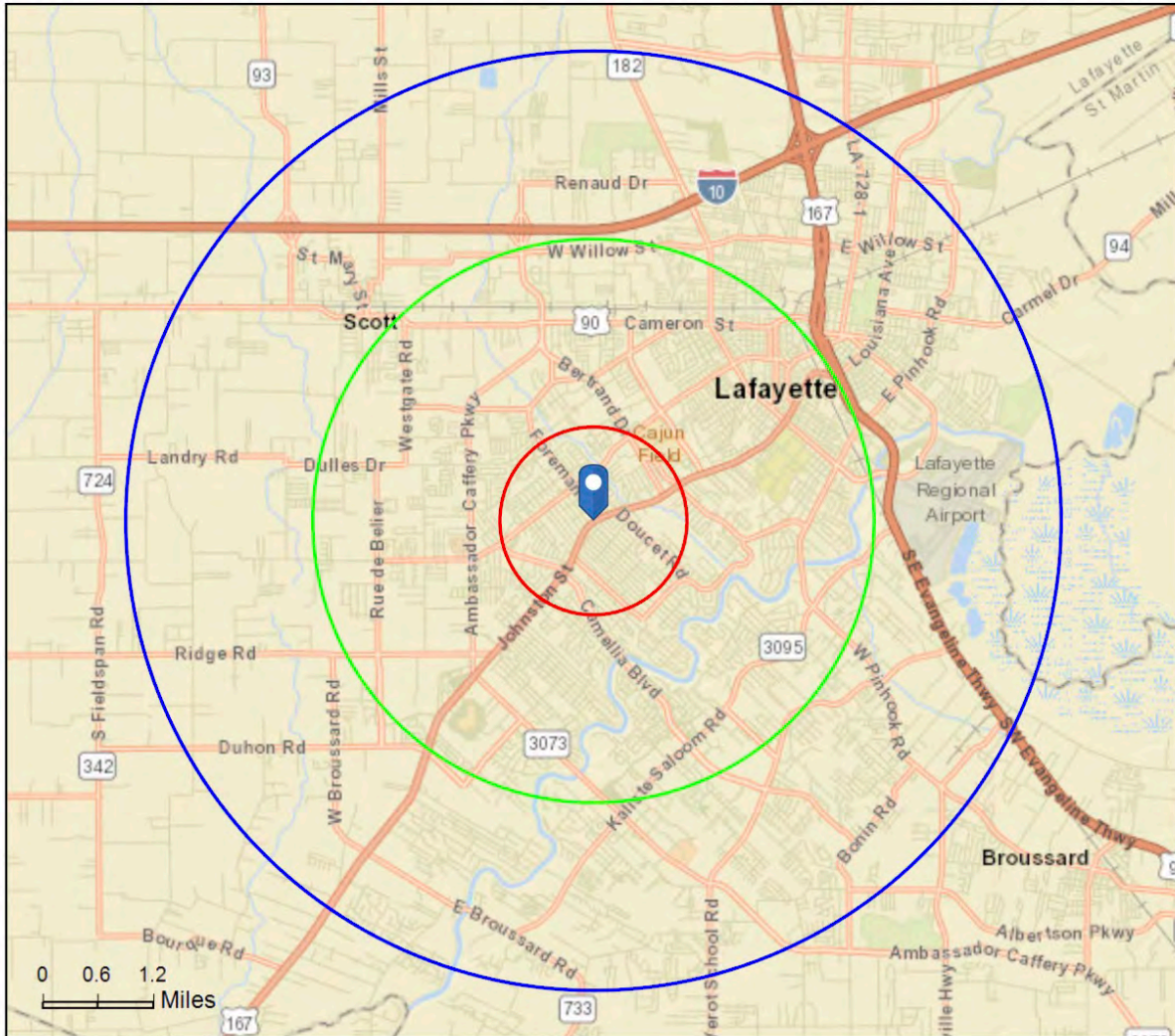
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Site Map

3600 Johnston St, Lafayette, Louisiana, 70503
Rings: 1, 3, 5 mile radii

Prepared by Esri
Latitude: 30.20176
Longitude: -92.05336



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Demographic and Income Profile

3600 Johnston St, Lafayette, Louisiana, 70503
Ring: 1 mile radius

Prepared by Esri

Latitude: 30.20176

Longitude: -92.05336

Summary	Census 2010	2019	2024
Population	14,312	15,549	16,199
Households	6,783	7,336	7,633
Families	3,286	3,367	3,433
Average Household Size	2.11	2.12	2.12
Owner Occupied Housing Units	3,131	3,555	3,800
Renter Occupied Housing Units	3,652	3,781	3,833
Median Age	30.3	32.0	33.2

Trends: 2019 - 2024 Annual Rate	Area	State	National
Population	0.82%	0.41%	0.77%
Households	0.80%	0.43%	0.75%
Families	0.39%	0.26%	0.68%
Owner HHs	1.34%	0.73%	0.92%
Median Household Income	1.38%	2.01%	2.70%

Households by Income	2019		2024	
	Number	Percent	Number	Percent
<\$15,000	1,225	16.7%	1,188	15.6%
\$15,000 - \$24,999	1,093	14.9%	1,058	13.9%
\$25,000 - \$34,999	897	12.2%	904	11.8%
\$35,000 - \$49,999	1,029	14.0%	1,058	13.9%
\$50,000 - \$74,999	1,175	16.0%	1,309	17.1%
\$75,000 - \$99,999	607	8.3%	648	8.5%
\$100,000 - \$149,999	706	9.6%	800	10.5%
\$150,000 - \$199,999	201	2.7%	254	3.3%
\$200,000+	403	5.5%	414	5.4%

Median Household Income
Average Household Income
Per Capita Income

\$40,444
\$66,157
\$31,136

\$43,320
\$70,926
\$33,341

Population by Age	Census 2010		2019		2024	
	Number	Percent	Number	Percent	Number	Percent
0 - 4	727	5.1%	715	4.6%	758	4.7%
5 - 9	617	4.3%	593	3.8%	617	3.8%
10 - 14	569	4.0%	569	3.7%	578	3.6%
15 - 19	1,097	7.7%	1,046	6.7%	1,085	6.7%
20 - 24	2,529	17.7%	2,597	16.7%	2,590	16.0%
25 - 34	2,474	17.3%	2,959	19.0%	2,946	18.2%
35 - 44	1,315	9.2%	1,385	8.9%	1,650	10.2%
45 - 54	1,585	11.1%	1,355	8.7%	1,316	8.1%
55 - 64	1,529	10.7%	1,821	11.7%	1,714	10.6%
65 - 74	899	6.3%	1,302	8.4%	1,489	9.2%
75 - 84	737	5.1%	867	5.6%	1,098	6.8%
85+	235	1.6%	340	2.2%	358	2.2%

Race and Ethnicity	Census 2010		2019		2024	
	Number	Percent	Number	Percent	Number	Percent
White Alone	11,463	80.1%	11,937	76.8%	12,130	74.9%
Black Alone	1,990	13.9%	2,430	15.6%	2,668	16.5%
American Indian Alone	61	0.4%	62	0.4%	62	0.4%
Asian Alone	299	2.1%	428	2.8%	515	3.2%
Pacific Islander Alone	8	0.1%	11	0.1%	11	0.1%
Some Other Race Alone	275	1.9%	388	2.5%	462	2.9%
Two or More Races	216	1.5%	292	1.9%	351	2.2%
Hispanic Origin (Any Race)	684	4.8%	994	6.4%	1,229	7.6%

Data Note: Income is expressed in current dollars.

Source: U.S. Census Bureau, Census 2010 Summary File 1. Esri forecasts for 2019 and 2024.

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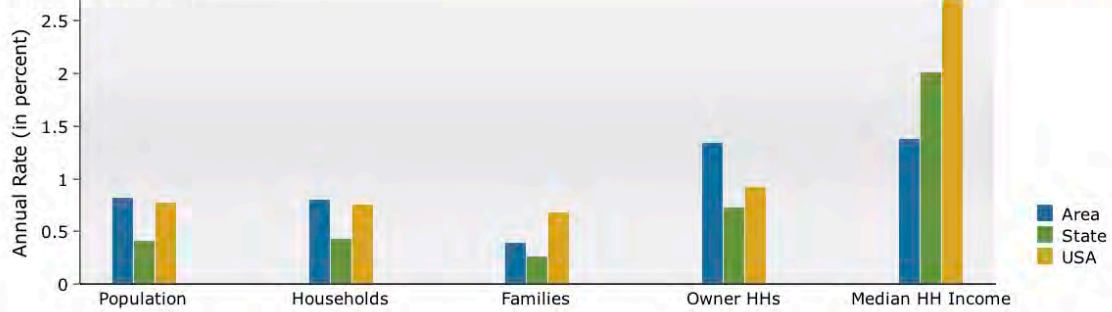


Demographic and Income Profile

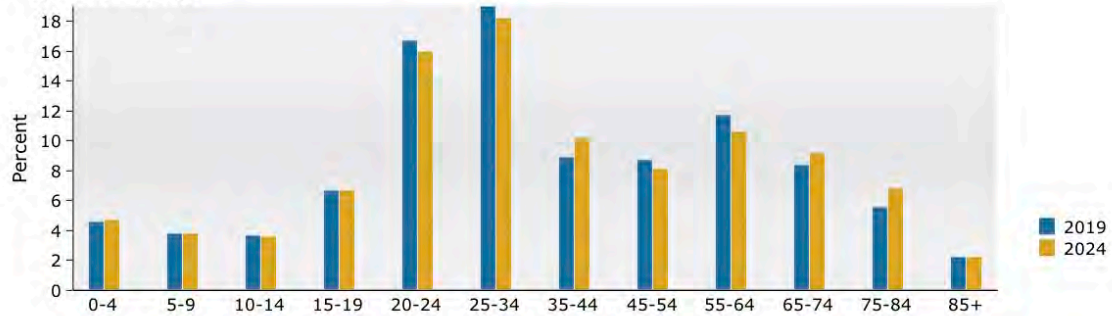
3600 Johnston St, Lafayette, Louisiana, 70503
Ring: 1 mile radius

Prepared by Esri
Latitude: 30.20176
Longitude: -92.05336

Trends 2019-2024



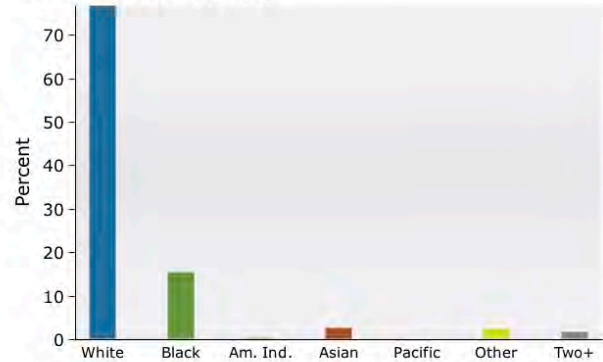
Population by Age



2019 Household Income



2019 Population by Race



2019 Percent Hispanic Origin: 6.4%

Source: U.S. Census Bureau, Census 2010 Summary File 1. Esri forecasts for 2019 and 2024.

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Demographic and Income Profile

3600 Johnston St, Lafayette, Louisiana, 70503
Ring: 3 mile radius

Prepared by Esri

Latitude: 30.20176

Longitude: -92.05336

Summary	Census 2010	2019	2024			
Population	74,183	79,560	82,606			
Households	31,181	33,474	34,818			
Families	16,833	17,313	17,722			
Average Household Size	2.25	2.26	2.26			
Owner Occupied Housing Units	16,904	18,556	19,696			
Renter Occupied Housing Units	14,277	14,918	15,122			
Median Age	32.4	34.3	35.5			
Trends: 2019 - 2024 Annual Rate	Area	State	National			
Population	0.75%	0.41%	0.77%			
Households	0.79%	0.43%	0.75%			
Families	0.47%	0.26%	0.68%			
Owner HHs	1.20%	0.73%	0.92%			
Median Household Income	1.49%	2.01%	2.70%			
		2019	2024			
Households by Income	Number	Percent	Number	Percent		
<\$15,000	5,879	17.6%	5,718	16.4%		
\$15,000 - \$24,999	3,992	11.9%	3,868	11.1%		
\$25,000 - \$34,999	3,645	10.9%	3,672	10.5%		
\$35,000 - \$49,999	3,787	11.3%	3,848	11.1%		
\$50,000 - \$74,999	5,978	17.9%	6,497	18.7%		
\$75,000 - \$99,999	2,975	8.9%	3,098	8.9%		
\$100,000 - \$149,999	3,914	11.7%	4,421	12.7%		
\$150,000 - \$199,999	1,242	3.7%	1,549	4.4%		
\$200,000+	2,061	6.2%	2,148	6.2%		
Median Household Income	\$47,165		\$50,773			
Average Household Income	\$72,834		\$78,121			
Per Capita Income	\$30,795		\$33,053			
		Census 2010	2019	2024		
Population by Age	Number	Percent	Number	Percent	Number	Percent
0 - 4	4,151	5.6%	4,078	5.1%	4,311	5.2%
5 - 9	3,747	5.1%	3,820	4.8%	3,946	4.8%
10 - 14	3,838	5.2%	3,838	4.8%	3,874	4.7%
15 - 19	5,983	8.1%	5,715	7.2%	5,824	7.1%
20 - 24	10,210	13.8%	9,605	12.1%	9,576	11.6%
25 - 34	11,673	15.7%	13,642	17.1%	13,244	16.0%
35 - 44	7,912	10.7%	8,868	11.1%	10,329	12.5%
45 - 54	9,580	12.9%	8,099	10.2%	8,138	9.9%
55 - 64	8,116	10.9%	9,529	12.0%	8,848	10.7%
65 - 74	4,510	6.1%	6,873	8.6%	7,957	9.6%
75 - 84	3,244	4.4%	3,837	4.8%	4,776	5.8%
85+	1,220	1.6%	1,656	2.1%	1,785	2.2%
		Census 2010	2019	2024		
Race and Ethnicity	Number	Percent	Number	Percent	Number	Percent
White Alone	55,207	74.4%	56,793	71.4%	57,569	69.7%
Black Alone	14,501	19.5%	16,610	20.9%	17,736	21.5%
American Indian Alone	256	0.3%	284	0.4%	297	0.4%
Asian Alone	1,567	2.1%	2,270	2.9%	2,742	3.3%
Pacific Islander Alone	30	0.0%	44	0.1%	49	0.1%
Some Other Race Alone	1,360	1.8%	1,893	2.4%	2,235	2.7%
Two or More Races	1,262	1.7%	1,664	2.1%	1,978	2.4%
Hispanic Origin (Any Race)	3,782	5.1%	5,403	6.8%	6,622	8.0%

Data Note: Income is expressed in current dollars.

Source: U.S. Census Bureau, Census 2010 Summary File 1. Esri forecasts for 2019 and 2024.

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2019 Esri

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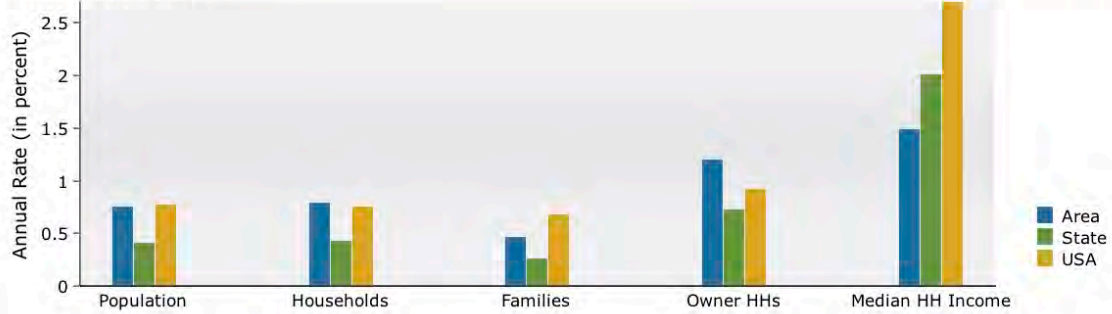


Demographic and Income Profile

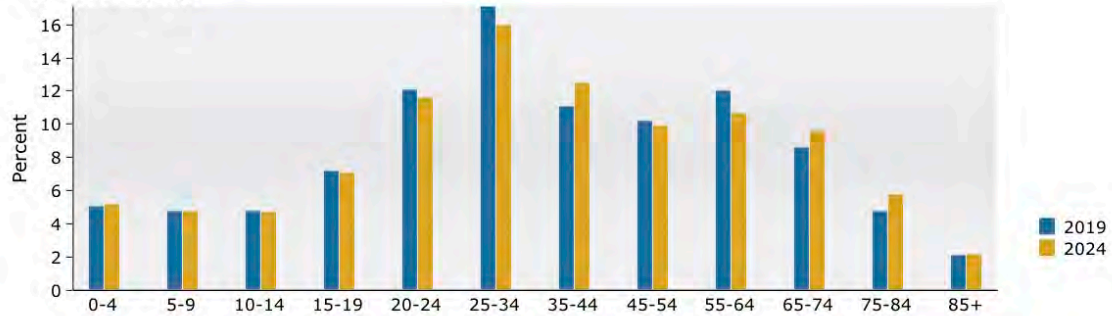
3600 Johnston St, Lafayette, Louisiana, 70503
Ring: 3 mile radius

Prepared by Esri
Latitude: 30.20176
Longitude: -92.05336

Trends 2019-2024



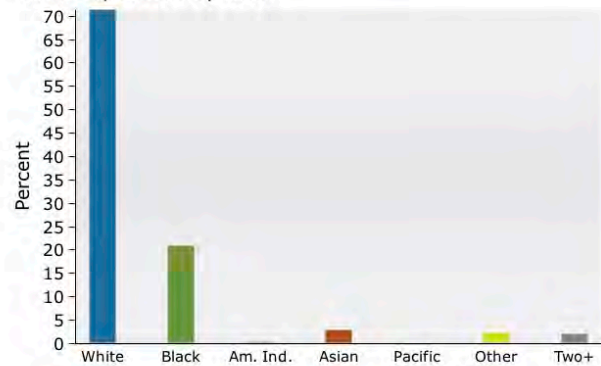
Population by Age



2019 Household Income



2019 Population by Race



2019 Percent Hispanic Origin: 6.8%

Source: U.S. Census Bureau, Census 2010 Summary File 1. Esri forecasts for 2019 and 2024.

September 22, 2019

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Demographic and Income Profile

3600 Johnston St, Lafayette, Louisiana, 70503
Ring: 5 mile radius

Prepared by Esri

Latitude: 30.20176

Longitude: -92.05336

Summary	Census 2010		2019		2024	
Population	136,465		148,979		155,999	
Households	55,590		60,620		63,507	
Families	32,689		34,387		35,560	
Average Household Size	2.37		2.38		2.38	
Owner Occupied Housing Units	31,768		35,657		38,110	
Renter Occupied Housing Units	23,822		24,963		25,397	
Median Age	33.1		34.9		36.2	
Trends: 2019 - 2024 Annual Rate	Area		State		National	
Population	0.93%		0.41%		0.77%	
Households	0.93%		0.43%		0.75%	
Families	0.67%		0.26%		0.68%	
Owner HHs	1.34%		0.73%		0.92%	
Median Household Income	2.01%		2.01%		2.70%	
			2019		2024	
Households by Income			Number	Percent	Number	Percent
<\$15,000			11,191	18.5%	10,706	16.9%
\$15,000 - \$24,999			7,360	12.1%	7,090	11.2%
\$25,000 - \$34,999			6,345	10.5%	6,375	10.0%
\$35,000 - \$49,999			6,762	11.2%	6,848	10.8%
\$50,000 - \$74,999			10,154	16.8%	11,045	17.4%
\$75,000 - \$99,999			5,383	8.9%	5,700	9.0%
\$100,000 - \$149,999			7,330	12.1%	8,569	13.5%
\$150,000 - \$199,999			2,430	4.0%	3,151	5.0%
\$200,000+			3,665	6.0%	4,024	6.3%
Median Household Income			\$46,279		\$51,129	
Average Household Income			\$72,220		\$79,137	
Per Capita Income			\$29,555		\$32,376	
			2019		2024	
Population by Age	Number	Percent	Number	Percent	Number	Percent
0 - 4	8,803	6.5%	8,800	5.9%	9,290	6.0%
5 - 9	8,129	6.0%	8,484	5.7%	8,765	5.6%
10 - 14	8,350	6.1%	8,431	5.7%	8,643	5.5%
15 - 19	10,590	7.8%	9,884	6.6%	10,246	6.6%
20 - 24	15,007	11.0%	14,277	9.6%	14,000	9.0%
25 - 34	20,862	15.3%	24,845	16.7%	24,441	15.7%
35 - 44	15,724	11.5%	17,648	11.8%	20,468	13.1%
45 - 54	18,923	13.9%	16,293	10.9%	16,290	10.4%
55 - 64	14,809	10.9%	18,574	12.5%	17,672	11.3%
65 - 74	8,031	5.9%	12,682	8.5%	15,083	9.7%
75 - 84	5,367	3.9%	6,436	4.3%	8,210	5.3%
85+	1,868	1.4%	2,625	1.8%	2,891	1.9%
			2019		2024	
Race and Ethnicity	Number	Percent	Number	Percent	Number	Percent
White Alone	91,077	66.7%	95,872	64.4%	98,184	62.9%
Black Alone	37,854	27.7%	42,572	28.6%	45,200	29.0%
American Indian Alone	454	0.3%	516	0.3%	548	0.4%
Asian Alone	2,566	1.9%	3,850	2.6%	4,725	3.0%
Pacific Islander Alone	52	0.0%	74	0.0%	83	0.1%
Some Other Race Alone	2,117	1.6%	2,985	2.0%	3,551	2.3%
Two or More Races	2,346	1.7%	3,110	2.1%	3,708	2.4%
Hispanic Origin (Any Race)	6,116	4.5%	8,895	6.0%	11,019	7.1%

Data Note: Income is expressed in current dollars.

Source: U.S. Census Bureau, Census 2010 Summary File 1. Esri forecasts for 2019 and 2024.

September 22, 2019

2019 Esri

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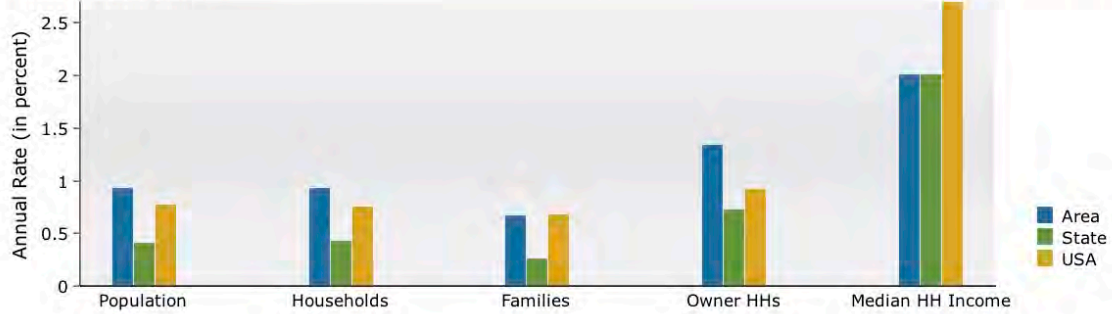


Demographic and Income Profile

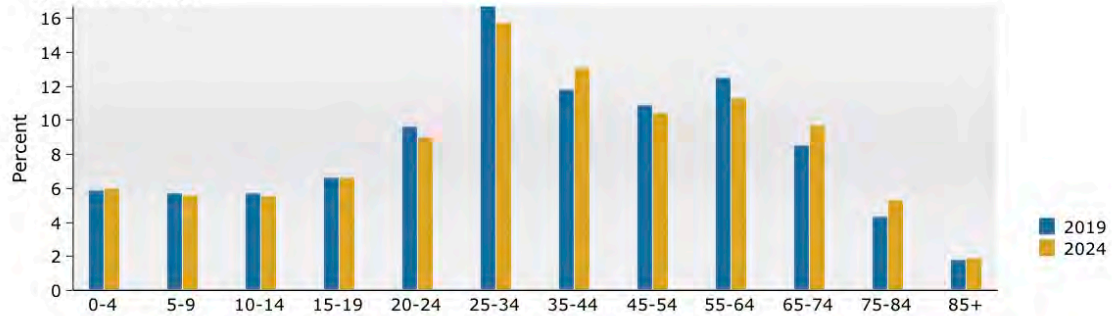
3600 Johnston St, Lafayette, Louisiana, 70503
Ring: 5 mile radius

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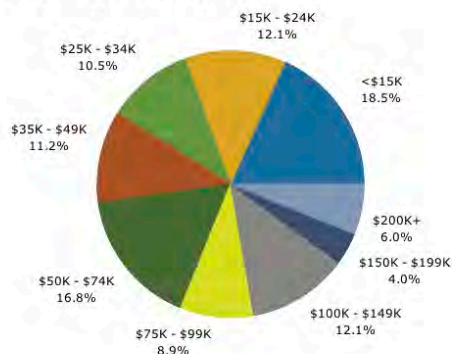
Trends 2019-2024



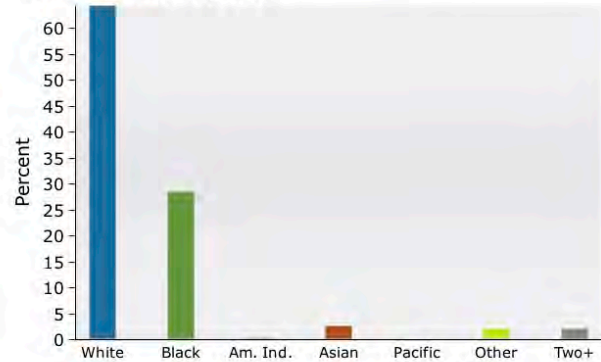
Population by Age



2019 Household Income



2019 Population by Race



2019 Percent Hispanic Origin: 6.0%

Source: U.S. Census Bureau, Census 2010 Summary File 1. Esri forecasts for 2019 and 2024.

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Retail Goods and Services Expenditures

3600 Johnston St, Lafayette, Louisiana, 70503
Ring: 1 mile radius

Prepared by Esri
Latitude: 30.20176
Longitude: -92.05336

Top Tapestry Segments	Percent	Demographic Summary	2019	2024
College Towns (14B)	28.4%	Population	15,549	16,199
Old and Newcomers (8F)	28.0%	Households	7,336	7,633
In Style (5B)	19.3%	Families	3,367	3,433
Young and Restless (11B)	11.7%	Median Age	32.0	33.2
Bright Young Professionals (8C)	7.7%	Median Household Income	\$40,444	\$43,320
		Spending Potential Index	Average Amount Spent	Total
Apparel and Services		79	\$1,694.80	\$12,433,070
Men's		80	\$333.36	\$2,445,517
Women's		78	\$559.78	\$4,106,569
Children's		79	\$256.17	\$1,879,242
Footwear		80	\$386.64	\$2,836,374
Watches & Jewelry		80	\$110.87	\$813,376
Apparel Products and Services (1)		72	\$47.98	\$351,992
Computer				
Computers and Hardware for Home Use		84	\$139.30	\$1,021,916
Portable Memory		76	\$3.41	\$25,044
Computer Software		87	\$8.80	\$64,543
Computer Accessories		80	\$15.10	\$110,751
Entertainment & Recreation		75	\$2,466.58	\$18,094,852
Fees and Admissions		73	\$521.82	\$3,828,035
Membership Fees for Clubs (2)		73	\$172.41	\$1,264,786
Fees for Participant Sports, excl. Trips		74	\$79.41	\$582,566
Tickets to Theatre/Operas/Concerts		75	\$56.46	\$414,203
Tickets to Movies		84	\$45.78	\$335,828
Tickets to Parks or Museums		75	\$24.10	\$176,829
Admission to Sporting Events, excl. Trips		73	\$46.07	\$337,992
Fees for Recreational Lessons		68	\$96.88	\$710,734
Dating Services		99	\$0.69	\$5,096
TV/Video/Audio		79	\$971.40	\$7,126,165
Cable and Satellite Television Services		77	\$676.20	\$4,960,604
Televisions		83	\$90.36	\$662,906
Satellite Dishes		68	\$1.06	\$7,744
VCRs, Video Cameras, and DVD Players		89	\$5.16	\$37,876
Miscellaneous Video Equipment		80	\$20.44	\$149,975
Video Cassettes and DVDs		84	\$9.65	\$70,804
Video Game Hardware/Accessories		98	\$27.46	\$201,434
Video Game Software		97	\$14.82	\$108,691
Rental/Streaming/Downloaded Video		93	\$43.32	\$317,814
Installation of Televisions		69	\$0.79	\$5,774
Audio (3)		81	\$79.18	\$580,857
Rental and Repair of TV/Radio/Sound Equipment		94	\$2.96	\$21,686
Pets		73	\$481.78	\$3,534,332
Toys/Games/Crafts/Hobbies (4)		82	\$96.66	\$709,110
Recreational Vehicles and Fees (5)		58	\$92.53	\$678,834
Sports/Recreation/Exercise Equipment (6)		76	\$157.30	\$1,153,952
Photo Equipment and Supplies (7)		83	\$43.10	\$316,165
Reading (8)		76	\$80.72	\$592,171
Catered Affairs (9)		80	\$21.28	\$156,088
Food		79	\$6,975.51	\$51,172,336
Food at Home		78	\$4,044.76	\$29,672,366
Bakery and Cereal Products		78	\$530.80	\$3,893,949
Meats, Poultry, Fish, and Eggs		78	\$894.00	\$6,558,363
Dairy Products		77	\$412.98	\$3,029,607
Fruits and Vegetables		77	\$783.04	\$5,744,361
Snacks and Other Food at Home (10)		79	\$1,423.95	\$10,446,088
Food Away from Home		80	\$2,930.75	\$21,499,970
Alcoholic Beverages		78	\$448.94	\$3,293,460

Data Note: The Spending Potential Index (SPI) is household-based, and represents the amount spent for a product or service relative to a national average of 100. Detail may not sum to totals due to rounding. This report is not a comprehensive list of all consumer spending variables therefore the variables in each section may not sum to totals.

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September 22, 2019

BROUSSARD APPRAISAL SERVICES

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Retail Goods and Services Expenditures

3600 Johnston St, Lafayette, Louisiana, 70503
Ring: 1 mile radius

Prepared by Esri
Latitude: 30.20176
Longitude: -92.05336

	Spending Potential Index	Average Amount Spent	Total
Financial			
Value of Stocks/Bonds/Mutual Funds	72	\$15,481.16	\$113,569,811
Value of Retirement Plans	68	\$64,486.78	\$473,075,035
Value of Other Financial Assets	73	\$4,173.07	\$30,613,617
Vehicle Loan Amount excluding Interest	81	\$2,318.33	\$17,007,270
Value of Credit Card Debt	75	\$1,828.34	\$13,412,726
Health			
Nonprescription Drugs	78	\$111.72	\$819,552
Prescription Drugs	75	\$273.28	\$2,004,758
Eyeglasses and Contact Lenses	75	\$67.76	\$497,060
Home			
Mortgage Payment and Basics (11)	63	\$6,293.58	\$46,169,716
Maintenance and Remodeling Services	63	\$1,348.15	\$9,890,039
Maintenance and Remodeling Materials (12)	64	\$313.68	\$2,301,134
Utilities, Fuel, and Public Services	78	\$3,785.55	\$27,770,794
Household Furnishings and Equipment			
Household Textiles (13)	80	\$80.21	\$588,428
Furniture	79	\$485.61	\$3,562,438
Rugs	77	\$25.09	\$184,053
Major Appliances (14)	73	\$259.38	\$1,902,847
Housewares (15)	77	\$82.21	\$603,109
Small Appliances	83	\$40.45	\$296,739
Luggage	78	\$10.87	\$79,733
Telephones and Accessories	81	\$61.11	\$448,307
Household Operations			
Child Care	73	\$373.91	\$2,743,024
Lawn and Garden (16)	66	\$310.81	\$2,280,137
Moving/Storage/Freight Express	93	\$61.75	\$453,001
Housekeeping Supplies (17)	77	\$579.14	\$4,248,568
Insurance			
Owners and Renters Insurance	69	\$397.73	\$2,917,753
Vehicle Insurance	81	\$1,246.24	\$9,142,430
Life/Other Insurance	68	\$314.28	\$2,305,588
Health Insurance	75	\$2,950.82	\$21,647,200
Personal Care Products (18)	80	\$401.87	\$2,948,114
School Books and Supplies (19)	84	\$129.97	\$953,445
Smoking Products	85	\$344.07	\$2,524,066
Transportation			
Payments on Vehicles excluding Leases	78	\$1,978.68	\$14,515,585
Gasoline and Motor Oil	80	\$1,827.34	\$13,405,360
Vehicle Maintenance and Repairs	85	\$968.32	\$7,103,594
Travel			
Airline Fares	73	\$399.08	\$2,927,651
Lodging on Trips	70	\$435.45	\$3,194,467
Auto/Truck Rental on Trips	75	\$19.73	\$144,749
Food and Drink on Trips	74	\$398.47	\$2,923,184

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September 22, 2019

BROUSSARD APPRAISAL SERVICES

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Retail Goods and Services Expenditures

3600 Johnston St, Lafayette, Louisiana, 70503
Ring: 3 mile radius

Prepared by Esri
Latitude: 30.20176
Longitude: -92.05336

Top Tapestry Segments	Percent	Demographic Summary	2019	2024
Old and Newcomers (8F)	15.7%	Population	79,560	82,606
College Towns (14B)	14.6%	Households	33,474	34,818
In Style (5B)	13.4%	Families	17,313	17,722
Bright Young Professionals (8C)	9.7%	Median Age	34.3	35.5
Young and Restless (11B)	6.9%	Median Household Income	\$47,165	\$50,773
		Spending Potential Index	Average Amount Spent	Total
Apparel and Services				
Men's		86	\$1,834.84	\$61,419,383
Women's		86	\$356.71	\$11,940,509
Children's		85	\$613.62	\$20,540,391
Footwear		85	\$275.25	\$9,213,634
Watches & Jewelry		87	\$415.93	\$13,922,942
Apparel Products and Services (1)		86	\$119.28	\$3,992,632
Computer				
Computers and Hardware for Home Use		81	\$54.05	\$1,809,275
Portable Memory		89	\$148.18	\$4,960,323
Computer Software		84	\$3.75	\$125,573
Computer Accessories		92	\$9.30	\$311,193
Entertainment & Recreation				
Fees and Admissions		86	\$16.33	\$546,690
Membership Fees for Clubs (2)		83	\$2,710.67	\$90,736,925
Fees for Participant Sports, excl. Trips		82	\$586.71	\$19,639,657
Tickets to Theatre/Operas/Concerts		82	\$194.70	\$6,517,419
Tickets to Movies		83	\$88.94	\$2,977,072
Tickets to Parks or Museums		84	\$63.18	\$2,115,009
Admission to Sporting Events, excl. Trips		89	\$48.80	\$1,633,686
Fees for Recreational Lessons		82	\$26.66	\$892,503
Dating Services		81	\$51.37	\$1,719,666
TV/Video/Audio		78	\$112.33	\$3,760,010
Cable and Satellite Television Services		104	\$0.73	\$24,291
Televisions		86	\$1,048.26	\$35,089,505
Satellite Dishes		84	\$737.22	\$24,677,541
VCRs, Video Cameras, and DVD Players		88	\$95.92	\$3,210,990
Miscellaneous Video Equipment		76	\$1.19	\$39,892
Video Cassettes and DVDs		94	\$5.40	\$180,845
Video Game Hardware/Accessories		87	\$22.09	\$739,515
Video Game Software		89	\$10.23	\$342,480
Rental/Streaming/Downloaded Video		99	\$27.70	\$927,093
Installation of Televisions		98	\$14.96	\$500,645
Audio (3)		96	\$44.72	\$1,496,896
Rental and Repair of TV/Radio/Sound Equipment		80	\$0.91	\$30,356
Pets		87	\$84.89	\$2,841,748
Toys/Games/Crafts/Hobbies (4)		96	\$3.03	\$101,502
Recreational Vehicles and Fees (5)		80	\$530.18	\$17,747,250
Sports/Recreation/Exercise Equipment (6)		87	\$103.06	\$3,449,964
Photo Equipment and Supplies (7)		70	\$111.39	\$3,728,701
Reading (8)		84	\$172.99	\$5,790,732
Catered Affairs (9)		88	\$45.94	\$1,537,845
Food				
Food at Home		84	\$89.18	\$2,985,317
Bakery and Cereal Products		86	\$22.94	\$767,953
Meats, Poultry, Fish, and Eggs		85	\$7,550.03	\$252,729,842
Dairy Products		85	\$4,391.39	\$146,997,234
Fruits and Vegetables		85	\$576.15	\$19,285,955
Snacks and Other Food at Home (10)		85	\$971.64	\$32,524,628
Food Away from Home		84	\$449.26	\$15,038,569
Alcoholic Beverages		84	\$855.95	\$28,652,126
		86	\$1,538.39	\$51,495,956
		86	\$3,158.65	\$105,732,608
		85	\$491.71	\$16,459,568

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September 22, 2019

BROUSSARD APPRAISAL SERVICES

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Retail Goods and Services Expenditures

3600 Johnston St, Lafayette, Louisiana, 70503
Ring: 3 mile radius

Prepared by Esri
Latitude: 30.20176
Longitude: -92.05336

	Spending Potential Index	Average Amount Spent	Total
Financial			
Value of Stocks/Bonds/Mutual Funds	82	\$17,608.67	\$589,432,580
Value of Retirement Plans	79	\$74,816.63	\$2,504,411,792
Value of Other Financial Assets	84	\$4,749.02	\$158,968,558
Vehicle Loan Amount excluding Interest	86	\$2,470.36	\$82,692,664
Value of Credit Card Debt	83	\$2,025.62	\$67,805,537
Health			
Nonprescription Drugs	85	\$121.95	\$4,082,302
Prescription Drugs	82	\$300.74	\$10,066,807
Eyeglasses and Contact Lenses	82	\$74.21	\$2,484,250
Home			
Mortgage Payment and Basics (11)	74	\$7,419.19	\$248,349,827
Maintenance and Remodeling Services	75	\$1,593.69	\$53,347,320
Maintenance and Remodeling Materials (12)	74	\$360.51	\$12,067,775
Utilities, Fuel, and Public Services	85	\$4,111.33	\$137,622,789
Household Furnishings and Equipment			
Household Textiles (13)	87	\$86.65	\$2,900,618
Furniture	86	\$527.76	\$17,666,120
Rugs	84	\$27.25	\$912,181
Major Appliances (14)	81	\$287.40	\$9,620,408
Housewares (15)	84	\$89.53	\$2,996,837
Small Appliances	88	\$42.92	\$1,436,717
Luggage	85	\$11.92	\$399,002
Telephones and Accessories	88	\$66.65	\$2,231,169
Household Operations			
Child Care	81	\$414.97	\$13,890,612
Lawn and Garden (16)	76	\$357.33	\$11,961,335
Moving/Storage/Freight Express	97	\$64.52	\$2,159,632
Housekeeping Supplies (17)	84	\$630.76	\$21,114,031
Insurance			
Owners and Renters Insurance	77	\$448.96	\$15,028,482
Vehicle Insurance	86	\$1,336.59	\$44,741,169
Life/Other Insurance	78	\$358.43	\$11,998,122
Health Insurance	83	\$3,243.79	\$108,582,720
Personal Care Products (18)	87	\$433.44	\$14,508,941
School Books and Supplies (19)	89	\$137.78	\$4,612,096
Smoking Products	89	\$360.34	\$12,062,159
Transportation			
Payments on Vehicles excluding Leases	84	\$2,129.19	\$71,272,546
Gasoline and Motor Oil	86	\$1,957.86	\$65,537,307
Vehicle Maintenance and Repairs	90	\$1,026.97	\$34,376,674
Travel			
Airline Fares	82	\$448.04	\$14,997,742
Lodging on Trips	80	\$494.28	\$16,545,368
Auto/Truck Rental on Trips	83	\$21.88	\$732,297
Food and Drink on Trips	82	\$443.60	\$14,848,936

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BROUSSARD APPRAISAL SERVICES

Appraisers - Analysts - Consultants



Retail Goods and Services Expenditures

3600 Johnston St, Lafayette, Louisiana, 70503
Ring: 5 mile radius

Prepared by Esri
Latitude: 30.20176
Longitude: -92.05336

Top Tapestry Segments	Percent	Demographic Summary	2019	2024
In Style (5B)	11.2%	Population	148,979	155,999
Modest Income Homes (12D)	8.9%	Households	60,620	63,507
Old and Newcomers (8F)	8.8%	Families	34,387	35,560
College Towns (14B)	8.1%	Median Age	34.9	36.2
Bright Young Professionals (8C)	7.6%	Median Household Income	\$46,279	\$51,129
		Spending Potential Index	Average Amount Spent	Total
Apparel and Services		85	\$1,818.26	\$110,222,768
Men's		84	\$349.37	\$21,178,980
Women's		84	\$606.51	\$36,766,573
Children's		86	\$277.50	\$16,822,084
Footwear		86	\$412.68	\$25,016,590
Watches & Jewelry		86	\$118.85	\$7,204,517
Apparel Products and Services (1)		80	\$53.35	\$3,234,023
Computer				
Computers and Hardware for Home Use		87	\$143.45	\$8,696,183
Portable Memory		83	\$3.69	\$223,468
Computer Software		89	\$8.99	\$544,685
Computer Accessories		85	\$16.05	\$973,059
Entertainment & Recreation		83	\$2,705.55	\$164,010,294
Fees and Admissions		80	\$572.11	\$34,681,380
Membership Fees for Clubs (2)		80	\$188.98	\$11,455,904
Fees for Participant Sports, excl. Trips		82	\$88.05	\$5,337,582
Tickets to Theatre/Operas/Concerts		80	\$60.26	\$3,653,041
Tickets to Movies		86	\$46.99	\$2,848,261
Tickets to Parks or Museums		81	\$26.28	\$1,592,913
Admission to Sporting Events, excl. Trips		81	\$51.13	\$3,099,233
Fees for Recreational Lessons		77	\$109.73	\$6,651,843
Dating Services		100	\$0.70	\$42,603
TV/Video/Audio		86	\$1,057.60	\$64,111,930
Cable and Satellite Television Services		85	\$751.15	\$45,534,980
Televisions		88	\$95.35	\$5,780,363
Satellite Dishes		78	\$1.22	\$73,766
VCRs, Video Cameras, and DVD Players		92	\$5.31	\$321,634
Miscellaneous Video Equipment		89	\$22.52	\$1,364,891
Video Cassettes and DVDs		89	\$10.18	\$617,118
Video Game Hardware/Accessories		97	\$26.92	\$1,631,964
Video Game Software		94	\$14.36	\$870,639
Rental/Streaming/Downloaded Video		92	\$43.17	\$2,617,201
Installation of Televisions		78	\$0.89	\$53,901
Audio (3)		86	\$83.49	\$5,061,296
Rental and Repair of TV/Radio/Sound Equipment		96	\$3.04	\$184,179
Pets		81	\$538.80	\$32,662,032
Toys/Games/Crafts/Hobbies (4)		86	\$101.86	\$6,174,664
Recreational Vehicles and Fees (5)		69	\$109.80	\$6,656,322
Sports/Recreation/Exercise Equipment (6)		83	\$171.75	\$10,411,349
Photo Equipment and Supplies (7)		86	\$44.70	\$2,709,726
Reading (8)		82	\$87.49	\$5,303,620
Catered Affairs (9)		80	\$21.43	\$1,299,269
Food		85	\$7,518.25	\$455,756,424
Food at Home		85	\$4,392.64	\$266,281,628
Bakery and Cereal Products		85	\$576.46	\$34,944,886
Meats, Poultry, Fish, and Eggs		85	\$973.91	\$59,038,518
Dairy Products		84	\$448.54	\$27,190,784
Fruits and Vegetables		84	\$850.65	\$51,566,595
Snacks and Other Food at Home (10)		86	\$1,543.07	\$93,540,845
Food Away from Home		85	\$3,125.62	\$189,474,796
Alcoholic Beverages		83	\$478.19	\$28,987,885

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BROUSSARD APPRAISAL SERVICES

Appraisers - Analysts - Consultants



Retail Goods and Services Expenditures

3600 Johnston St, Lafayette, Louisiana, 70503
Ring: 5 mile radius

Prepared by Esri
Latitude: 30.20176
Longitude: -92.05336

	Spending Potential Index	Average Amount Spent	Total
Financial			
Value of Stocks/Bonds/Mutual Funds	79	\$16,989.98	\$1,029,932,763
Value of Retirement Plans	78	\$74,471.38	\$4,514,455,071
Value of Other Financial Assets	84	\$4,744.22	\$287,594,844
Vehicle Loan Amount excluding Interest	88	\$2,521.21	\$152,835,731
Value of Credit Card Debt	83	\$2,030.14	\$123,067,276
Health			
Nonprescription Drugs	86	\$123.51	\$7,487,403
Prescription Drugs	85	\$309.99	\$18,791,473
Eyeglasses and Contact Lenses	82	\$74.24	\$4,500,443
Home			
Mortgage Payment and Basics (11)	75	\$7,527.84	\$456,337,581
Maintenance and Remodeling Services	76	\$1,612.21	\$97,732,176
Maintenance and Remodeling Materials (12)	76	\$370.99	\$22,489,135
Utilities, Fuel, and Public Services	86	\$4,163.36	\$252,383,040
Household Furnishings and Equipment			
Household Textiles (13)	86	\$85.97	\$5,211,715
Furniture	85	\$522.49	\$31,673,407
Rugs	82	\$26.69	\$1,617,816
Major Appliances (14)	82	\$291.77	\$17,687,003
Housewares (15)	84	\$89.07	\$5,399,299
Small Appliances	87	\$42.12	\$2,553,105
Luggage	83	\$11.67	\$707,146
Telephones and Accessories	86	\$64.65	\$3,919,024
Household Operations			
Child Care	81	\$412.63	\$25,013,503
Lawn and Garden (16)	77	\$363.27	\$22,021,385
Moving/Storage/Freight Express	93	\$62.01	\$3,758,843
Housekeeping Supplies (17)	85	\$635.67	\$38,534,067
Insurance			
Owners and Renters Insurance	81	\$467.67	\$28,350,297
Vehicle Insurance	87	\$1,343.37	\$81,434,880
Life/Other Insurance	80	\$367.30	\$22,265,995
Health Insurance	83	\$3,276.86	\$198,643,107
Personal Care Products (18)	86	\$431.00	\$26,127,040
School Books and Supplies (19)	87	\$134.41	\$8,147,760
Smoking Products	92	\$369.74	\$22,413,647
Transportation			
Payments on Vehicles excluding Leases	86	\$2,177.81	\$132,018,881
Gasoline and Motor Oil	86	\$1,973.71	\$119,646,107
Vehicle Maintenance and Repairs	88	\$1,005.56	\$60,956,842
Travel			
Airline Fares	79	\$434.02	\$26,310,524
Lodging on Trips	79	\$490.17	\$29,713,899
Auto/Truck Rental on Trips	80	\$21.09	\$1,278,762
Food and Drink on Trips	81	\$436.23	\$26,444,501

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September 22, 2019

BROUSSARD APPRAISAL SERVICES

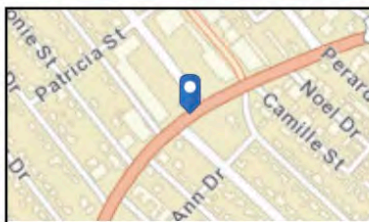
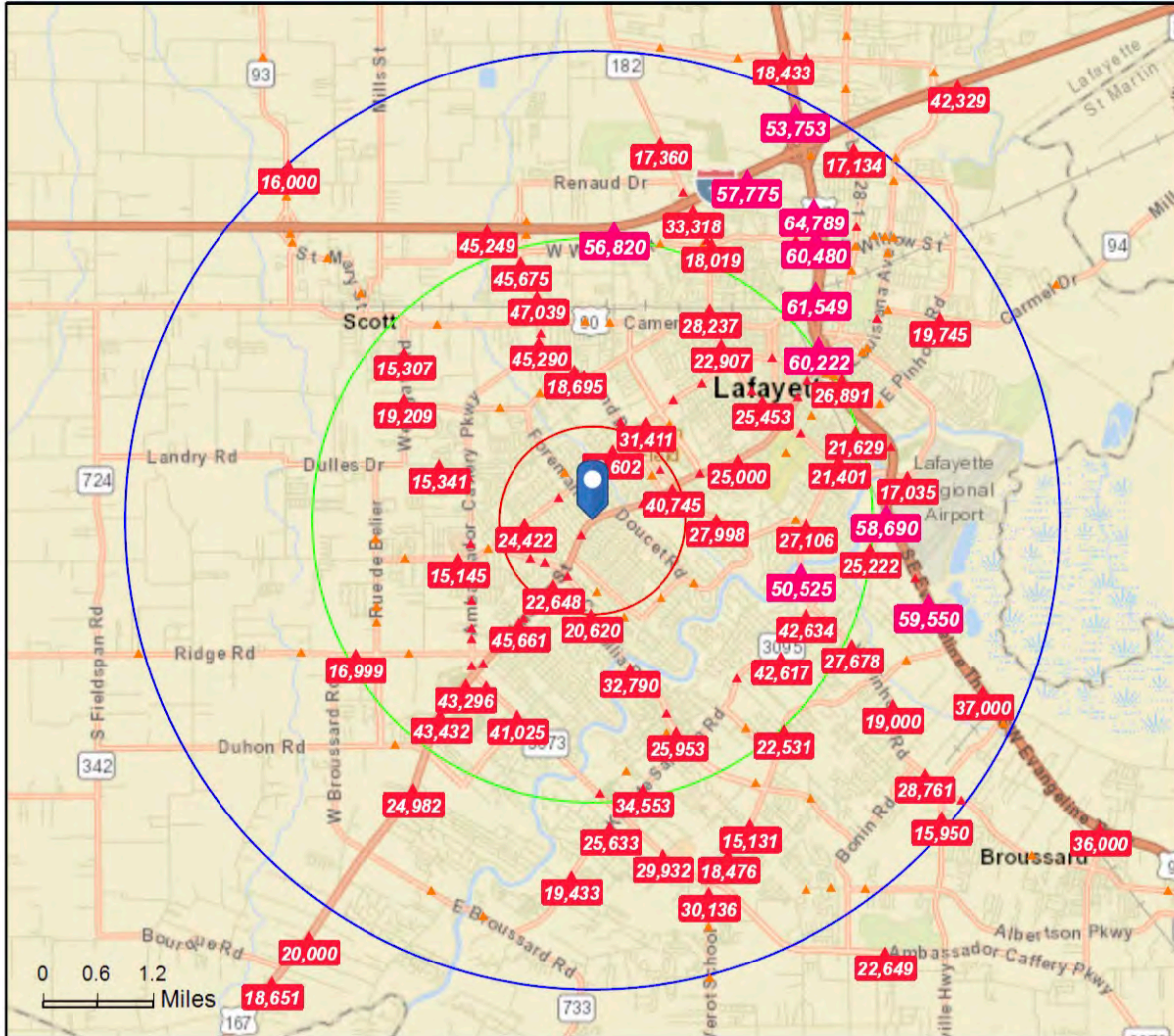
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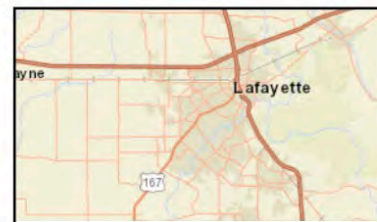
Traffic Count Map

3600 Johnston St, Lafayette, Louisiana, 70503
Rings: 1, 3, 5 mile radii

Prepared by Esri
Latitude: 30.20176
Longitude: -92.05336



Average Daily Traffic Volume
 ▲ Up to 6,000 vehicles per day
 ▲ 6,001 - 15,000
 ▲ 15,001 - 30,000
 ▲ 30,001 - 50,000
 ▲ 50,001 - 100,000
 ▲ More than 100,000 per day



Source: ©2019 Kalibrate Technologies (Q1 2019).

September 22, 2019

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BROUSSARD APPRAISAL SERVICES

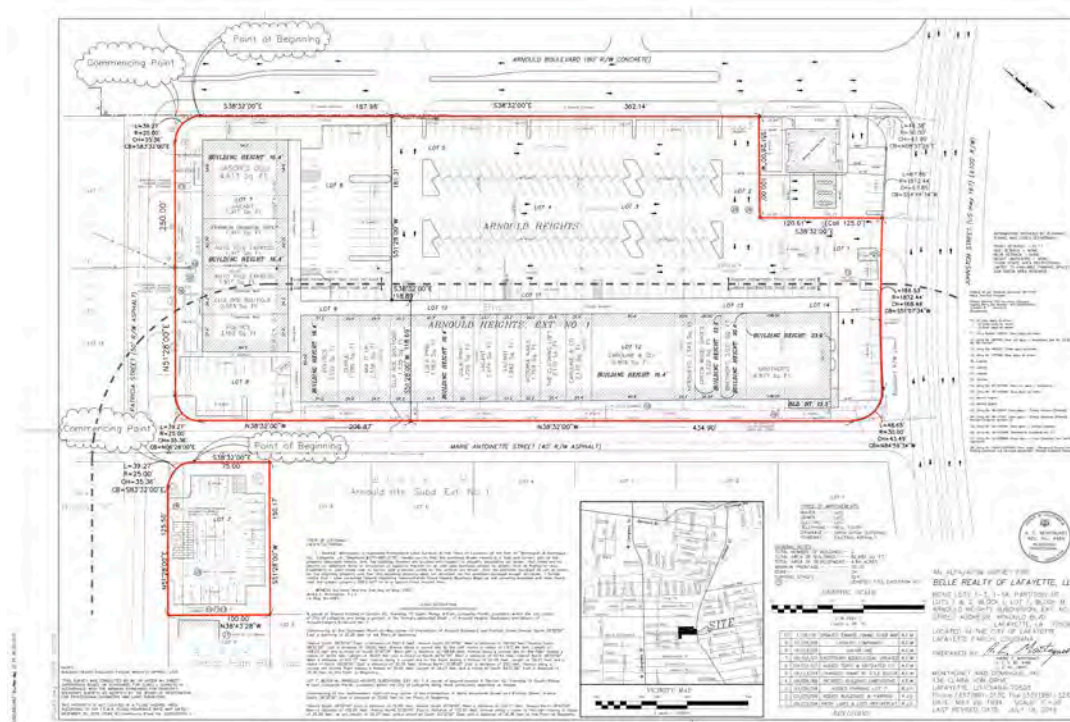
Appraisers - Analysts - Consultants

Conclusion - The subject property appears to be located in a 5-mile area with an ample amount of sales to support numerous retail outlets within the subject's locale. This appears sufficient to allow the retail sector as well as rental properties to grow in the subject's area for the foreseeable future. Especially since majority of the tenants have been at this location for several years. As such, the subject does appear to be in a good growth corridor to easily support the value conclusions noted by the appraiser herein.

SITE DATA - The subject property is located in the central sector of the city of Lafayette fronting the south side of Highway 167 (Johnston Street); the west side of Arnould Boulevard; the south side of Patricia Street and the east side of Marie Antionette Street at a lighted intersection.

Size - According to the legal description and survey, as provided by the client, the site is mostly rectangular in shape (other than the extra parking lot) fronting Highway 167 (Johnston Street), Arnould Boulevard, Patricia Street and Marie Antionette Street and contains $\pm 210,830$ square feet or ± 4.84 -Acres.

Property Survey



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Topography - The topography of the site appears relatively level and above street grade, and is assumedly adequately drained.

Corner Influence – Yes, forming the lighted northwest corner of Highway 167 (Johnston Street) and Arnould Boulevard as well as the southeast corner of Marie Antoinette & Patricia Streets, basically encompassing four corners and entire block.

Visibility - Visibility is considered good given the visibility from Johnston Street as well as three other roadways.

Utilities - As the site is located inside the city limits of Lafayette, all public services are available. Also, garbage collection is provided, as are other services such as police and fire protection.

Easements/Servitudes/Encumbrances/Encroachments - According to the aforementioned survey, there is a typical 10' utility easement along the road frontages, obviously not affecting the improvements or market value due to the location. Other than that there were no atypical utility easements, servitudes or encumbrances were not noted within the bounds of the property, nor were any mentioned within the legal description or noted within the survey plat.

Ingress/Egress - Ingress and egress are considered good for the site given its frontage along Highway 167 & Highway 526.

Adjacent Uses - To the north (across Patricia) are single family residential homes; to the east (across Arnould) is another neighborhood retail shopping center; to the south (across Johnston) is an office & retail uses and to the west (across Marie Antoinette) is religious facility.

Nuisances/Hazards - According to the enclosed flood zone map (NFIP Panel 22055C0160J, dated December 21, 2018), the subject site appears to be located in Zone "X." I assume the property to drain adequately, and my inspection of the site did not indicate there to be any hazardous flooding or materials.

BROUSSARD APPRAISAL SERVICES

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Flood Map



Soil and Subsoil - Based on my inspection of the site, there is no evident or known soil and/or subsoil differences. Given the extent of general development in the area, no adverse conditions are assumed to exist.

Functional Adequacy – The subject site exhibit adequate size, frontage, shape, depth, accessibility to utilities, etc. These factors appear to positively affect and enhance the overall utility of the site relative to its highest and best use.

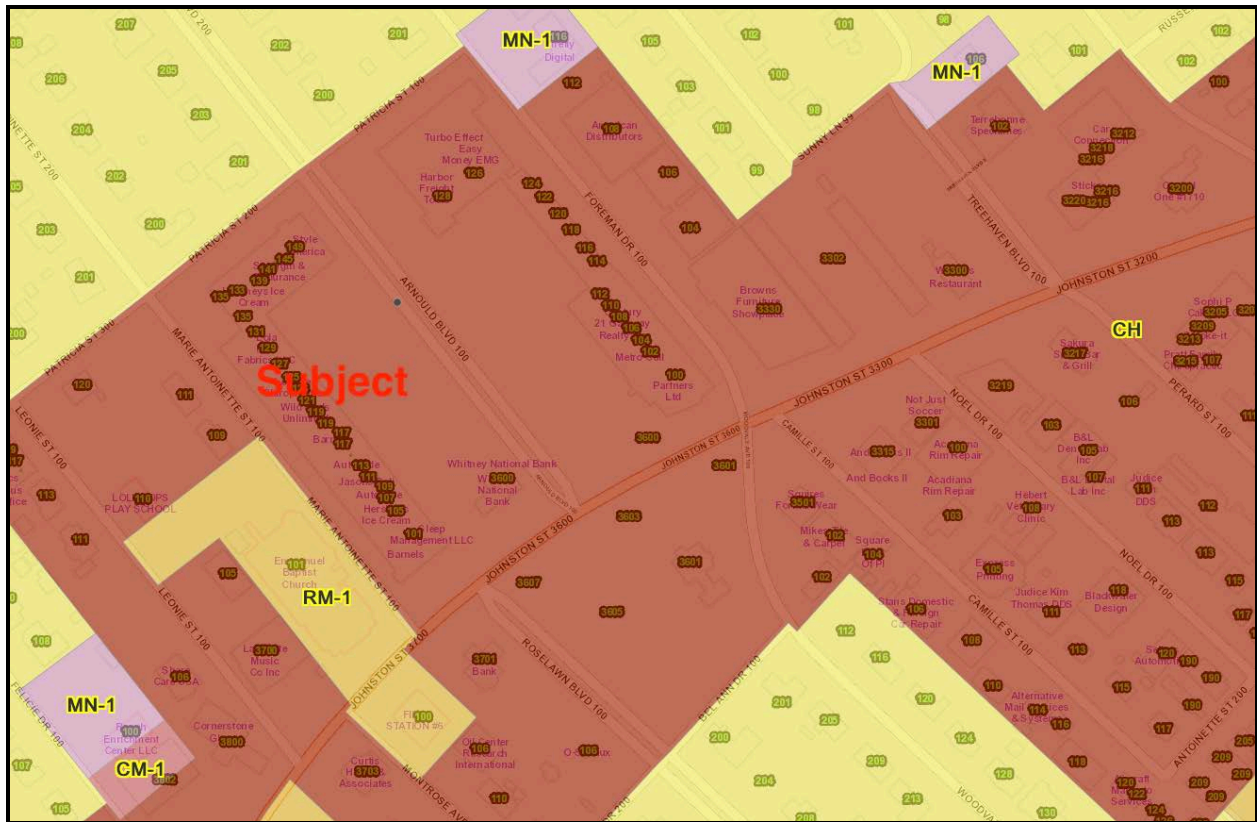
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Conclusion - The subject site exhibits adequate size, frontage, shape, depth, accessibility to utilities, etc. With these factors in mind, no adversities or detrimental features were noted from my physical inspection of the site or from the survey provided by the client. In view of these observations, the site appears to offer adequate utility allowing development to their highest and best use.

ZONING - The subject is located just inside of the city limits of Lafayette and has governmental zone of CH, Commercial Heavy. Permitted uses include, but are not limited to general retail and services, offices, financial institutions, restaurants, entertainment, hotels/motels, etc., several of which are allowed with conditions. In the subject's case, the improvements are allowed, and the zoning is complementary to the subject's site, allowing development to its highest and best use. Review of the zoning regulations indicates the subject's development appears to be in zoning conformity on all levels; i.e., setbacks, number of parking spaces, etc.

Zone Map



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TAXES - Real property tax assessments in Lafayette Parish and city of Lafayette stipulate land to be assessed at 10% of its estimate of market value, while improvements are assessed at 15% of market value. The 2019 property taxes were researched under Belle Realty of Lafayette, LLC under Assessments #602783, #602784, #602785, #602788 & #6009649. The real property assessments and taxes applicable to the subject are as follows:

	<i>Assessed Value</i>	<i>Implied Value</i>
Land	\$156,464	\$1,564,640
Improvements	<u>\$374,411</u>	<u>\$2,496,073</u>
<i>Total</i>	<i>\$530,875</i>	<i>\$4,060,713</i>
Tax Year 2019	<i>Millage</i>	<i>Taxes</i>
City	17.8	\$9,449.58
Parish	<u>84.25</u>	<u>\$44,726.22</u>
<i>Property Tax</i>	<i>102.05</i>	<i>\$54,175.79</i>

Further, the 2019 tax burden of \$54,175.79 appears similar when compared to similar properties in the neighborhood and marketplace, and as typical in Louisiana, taxes upon reassessment is not always actual sales price but rather mass appraisal of similar properties in the area. Based on the above, and while I do not anticipate an increase in taxes over the current level, particularly given the existing construction of the subject and tax history. The taxes for 2018 were paid, however are due December 31, 2019 for the year 2019.

HISTORY - An abstract or title search of the subject property was not within the scope of this assignment. However, a brief survey of the Parish Assessor's and Clerk of Court's records indicates there to be no transactions involving the subject over the past three years. The subject has not been for sale on the open market as of the date of the assignment.

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Tax Assessment

Lafayette Parish Assessor's Office - Real Estate Property Assessment

Assessment No: **6026783**

Property Location

100BLK ARNOULD BLVD LAFAYETTE
Primary Use: Commercial Corridor

Neighborhood: 404220.00 Martin Park/Holden Heights to Reds

Subdivision: ARNOULD HEIGHTS area

Subdivision: ARNOULD HEIGHTS SUBD

0005

Township: 10

Range: 4

Section: 42

Legal Descriptions

LOT 5-BLK I-ARNOULD HTS
(100X150)

Property Owners

BELLE REALTY OF LAFAYETTE LLC

Property Mailing Address

D ANSLEY COMPANY INC
70 NE LOOP 410 STE 880
SAN ANTONIO, TX 78216-8417

Property Transactions

Doc Num	Sale Date	Grantor	Grantee	Price
980054163	12/15/1998	DEAN REALTY CORP LLC	ABDALLA IRMA P + ABDALLA CAROLYN A	\$0
980054164	12/08/1998	ABDALLA IRMA P + ABDALLA CAROLYN A	BELLE REALTY OF LAFAYETTE LLC	\$0
950035820	01/01/1995		DEAN REALTY CORP LLC	
424055	01/01/1962		DEAN REALTY CORP LLC	\$0

Taxes by Year

Tax Year	City Taxes	Parish Taxes
2018	\$200.26	\$947.89
2017	\$200.26	\$946.54
2016	\$200.26	\$946.54
2015	\$146.92	\$686.80
2014	\$146.92	\$696.31
2013	\$146.92	\$674.52
2012	\$146.92	\$690.08
2011	\$146.92	\$692.04
2010	\$146.92	\$690.89
2009	\$146.93	\$694.18
2008	\$146.11	\$691.40

Valuation

Description	Market Value	Assessed Value
Comm Subd Lot	\$112,510	\$11,251
Paved Parking Spaces (Commercial)	\$0	\$0
Total	\$112,510	\$11,251
	Taxable Market Value	Taxable Assessed Value
City	\$112,510	\$11,251
Homestead Exemption	\$0	\$0
Parish	\$112,510	\$11,251

BROUSSARD APPRAISAL SERVICES

Appraisers - Analysts - Consultants

Tax Assessment

Lafayette Parish Assessor's Office - Real Estate Property Assessment

Assessment No: **6026784**

Property Location

123 ARNOULD BLVD LAFAYETTE
125 ARNOULD BLVD LAFAYETTE
Primary Use: Commercial Corridor

Neighborhood: 404220.00 Martin Park/Holden Heights to Reds
Subdivision: ARNOULD HEIGHTS area
Subdivision: ARNOULD HEIGHTS SUBD EXT 1
0010
Township: 10

Range: 4

Section: 42

Legal Descriptions

P LOT 10 BLK I ARNOULD HEIGHTS SUB
EXT 1

Property Owners

BELLE REALTY OF LAFAYETTE LLC

Property Mailing Address

D ANSLEY COMPANY INC
70 NE LOOP 410 STE 880
SAN ANTONIO, TX 78216-8417

Property Transactions

Doc Num	Sale Date	Grantor	Grantee	Price
980054163	12/15/1998	DEAN REALTY CORP LLC	ABDALLA IRMA P + ABDALLA CAROLYN A	\$0
980054164	12/08/1998	ABDALLA IRMA P + ABDALLA CAROLYN A	BELLE REALTY OF LAFAYETTE LLC	\$0
950035820	01/01/1995		DEAN REALTY CORP LLC	
629584	01/01/1974		DEAN REALTY CORP LLC	\$0

Taxes by Year

Tax Year	City Taxes	Parish Taxes
2018	\$582.12	\$2,755.24
2017	\$558.09	\$2,637.74
2016	\$558.09	\$2,637.74
2015	\$574.19	\$2,683.94
2014	\$139.58	\$661.48
2013	\$139.58	\$640.78
2012	\$139.58	\$655.55
2011	\$139.58	\$657.43
2010	\$139.58	\$656.34
2009	\$139.57	\$659.43
2008	\$138.80	\$656.79

Valuation

Description	Market Value	Assessed Value
Comm Subd Lot	\$71,280	\$7,128
Shopping Ctr. - Community	\$170,500	\$25,575
Paved Parking Spaces (Commercial)	\$0	\$0
Total	\$241,780	\$32,703
	Taxable Market Value	Taxable Assessed Value
City	\$241,780	\$32,703
Homestead Exemption	\$0	\$0
Parish	\$241,780	\$32,703

BROUSSARD APPRAISAL SERVICES

Appraisers - Analysts - Consultants

Tax Assessment

Lafayette Parish Assessor's Office - Real Estate Property Assessment

Assessment No: 6026785

Property Location

127 ARNOULD BLVD LAFAYETTE
129 ARNOULD BLVD LAFAYETTE
131 ARNOULD BLVD LAFAYETTE
133 ARNOULD BLVD LAFAYETTE
135 ARNOULD BLVD LAFAYETTE
135 ARNOULD BLVD LAFAYETTE Unit B
137 ARNOULD BLVD LAFAYETTE
139 ARNOULD BLVD LAFAYETTE
141 ARNOULD BLVD LAFAYETTE
143 ARNOULD BLVD LAFAYETTE
145 ARNOULD BLVD LAFAYETTE
149 ARNOULD BLVD LAFAYETTE
Primary Use: Commercial Corridor

Neighborhood: 404220.00 Martin Park/Holden Heights to Reds
Subdivision: ARNOULD HEIGHTS area
Subdivision: ARNOULD HEIGHTS SUBD EXT 1
0006 0007 0008 0009 0010
Township: 10

Range: 4

Section: 42

Legal Descriptions

LOT 2 ON ARNOULD BLVD-PATRICA ST-
MARIE ANTOINETTE ST(FORMERLY LTS
6-7-8-9-P LT 10 BLK I ARNOULD HTS
EXT 1)

Property Owners

BELLE REALTY OF LAFAYETTE LLC

Property Mailing Address

D ANSLEY COMPANY INC
70 NE LOOP 410 STE 880
SAN ANTONIO, TX 78216-8417

Property Transactions

Doc Num	Sale Date	Grantor	Grantee	Price
980054163	12/15/1998	DEAN REALTY CORP LLC	ABDALLA IRMA P + ABDALLA CAROLYN A	\$0
980054164	12/08/1998	ABDALLA IRMA P + ABDALLA CAROLYN A	BELLE REALTY OF LAFAYETTE LLC	\$0
970011859	01/01/1997		DEAN REALTY CORP LLC	
970012420	01/01/1997		DEAN REALTY CORP LLC	
950035820	01/01/1995		DEAN REALTY CORP LLC	
445327	01/01/1963		DEAN REALTY CORP LLC	\$0

Taxes by Year

Tax Year	City Taxes	Parish Taxes
2018	\$3,451.52	\$16,336.60
2017	\$3,425.09	\$16,188.40
2016	\$3,425.09	\$16,188.40
2015	\$3,131.18	\$14,636.58
2014	\$586.29	\$2,778.45
2013	\$586.29	\$2,691.53
2012	\$586.29	\$2,753.62
2011	\$586.29	\$2,761.46
2010	\$586.29	\$2,756.89
2009	\$586.28	\$2,769.96
2008	\$583.01	\$2,758.85

Valuation

Description	Market Value	Assessed Value
Comm Subd Lot	\$505,660	\$50,566
Shopping Ctr. - Community	\$955,600	\$143,340
Paved Parking Spaces (Commercial)	\$0	\$0
Total	\$1,461,260	\$193,906
	Taxable Market Value	Taxable Assessed Value
City	\$1,461,260	\$193,906
Homestead Exemption	\$0	\$0
Parish	\$1,461,260	\$193,906

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Appraisers - Analysts - Consultants

Tax Assessment

Lafayette Parish Assessor's Office - Real Estate Property Assessment

Assessment No: 6026788

Property Location

101 ARNOULD BLVD LAFAYETTE
105 ARNOULD BLVD LAFAYETTE
107 ARNOULD BLVD LAFAYETTE
109 ARNOULD BLVD LAFAYETTE
111 ARNOULD BLVD LAFAYETTE
113 ARNOULD BLVD LAFAYETTE
115 ARNOULD BLVD LAFAYETTE
117 ARNOULD BLVD LAFAYETTE
117 ARNOULD BLVD LAFAYETTE Unit 1/2
119 ARNOULD BLVD LAFAYETTE
119 ARNOULD BLVD LAFAYETTE Unit 1/2
121 ARNOULD BLVD LAFAYETTE
Primary Use: Commercial Corridor

Neighborhood: 404220.00 Martin Park/Holden Heights to Reds
Subdivision: ARNOULD HEIGHTS area
Subdivision: ARNOULD HEIGHTS SUBD
0001 0002 0003 0004 0011 0012 0013 0014
Township: 10
Township: 10

Range: 4
Range: 4

Section: 42
Section: 54

Legal Descriptions

P LOTS 1 & 2 BLK I ARNOULD HTS SUB
LOTS 3,4,11,12,13,&14 BLK I
ARNOULD HEIGHTS SUB EXT #1
(BOULEVARD SHOPPING CENTER)

Property Owners

BELLE REALTY OF LAFAYETTE LLC

Property Mailing Address

D ANSLEY COMPANY INC
70 NE LOOP 410 STE 880
SAN ANTONIO, TX 78216-8417

Property Transactions

Doc Num	Sale Date	Grantor	Grantee	Price
980054163	12/15/1998	DEAN REALTY CORP LLC	ABDALLA IRMA P + ABDALLA CAROLYN A	\$0
980054164	12/08/1998	ABDALLA IRMA P + ABDALLA CAROLYN A	BELLE REALTY OF LAFAYETTE LLC	\$0
950007659	01/01/1995		DEAN REALTY CORP LLC	
950035820	01/01/1995		DEAN REALTY CORP LLC	
556421	01/01/1970		DEAN REALTY CORP LLC	\$0

Taxes by Year

Tax Year	City Taxes	Parish Taxes
2018	\$5,069.88	\$23,996.53
2017	\$5,069.88	\$23,962.35
2016	\$5,069.88	\$23,962.35
2015	\$4,741.46	\$22,163.85
2014	\$7,679.07	\$36,392.14
2013	\$7,679.07	\$35,253.55
2012	\$7,679.07	\$36,066.83
2011	\$6,607.49	\$31,122.21
2010	\$6,607.49	\$31,070.64
2009	\$6,607.48	\$31,217.96
2008	\$6,570.65	\$31,092.73

Valuation

Description	Market Value	Assessed Value
Comm Subd Lot	\$793,290	\$79,329
Shopping Ctr. - Community	\$1,369,970	\$205,496
Paved Parking Spaces (Commercial)	\$0	\$0
Total	\$2,163,260	\$284,825
	Taxable Market Value	Taxable Assessed Value
City	\$2,163,260	\$284,825
Homestead Exemption	\$0	\$0
Parish	\$2,163,260	\$284,825

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Appraisers - Analysts - Consultants

Tax Assessment

Lafayette Parish Assessor's Office - Real Estate Property Assessment

Assessment No: **6009649**

Property Location

110 MARIE ANTOINETTE ST LAFAYETTE
Primary Use: Residential

Neighborhood: 404220.00 Martin Park/Holden Heights to Reds
Subdivision: ARNOULD HEIGHTS area
Subdivision: ARNOULD HEIGHTS SUBD EXT 1
0007
Township: 10

Range: 4

Section: 42

Legal Descriptions

LOT 7 BLK M ARNOULD HTS SUB EXT 1
(100X150.05)

Property Owners

BELLE REALTY OF LAFAYETTE LLC

Property Mailing Address

D ANSLEY COMPANY INC
70 NE LOOP 410 STE 880
SAN ANTONIO, TX 78216-8417

Property Transactions

Doc Num	Sale Date	Grantor	Grantee	Price
980054163	12/15/1998	DEAN REALTY COMPANY LLC	ABDALLA IRMA P + ABDALLA CAROLYN	\$0
980054164	12/08/1998	ABDALLA IRMA P + ABDALLA CAROLYN	BELLE REALTY OF LAFAYETTE LLC	\$0
950035820	01/01/1995		DEAN REALTY COMPANY LLC	
940045539	12/23/1994	ABDALLA'S LAFAYETTE INC	DEAN REALTY COMPANY LLC	\$81,500
790015064	01/01/1979		ABDALLA'S LAFAYETTE INC	\$0

Taxes by Year

Tax Year	City Taxes	Parish Taxes
2018	\$145.78	\$689.99
2017	\$145.78	\$689.00
2016	\$145.78	\$689.00
2015	\$146.92	\$686.80
2014	\$146.92	\$696.31
2013	\$146.92	\$674.52
2012	\$146.92	\$690.08
2011	\$146.92	\$692.04
2010	\$146.92	\$690.89
2009	\$146.93	\$694.18
2008	\$146.11	\$691.40

Valuation

Description	Market Value	Assessed Value
Res Subd Lot	\$81,900	\$8,190
Total	\$81,900	\$8,190
	Taxable Market Value	Taxable Assessed Value
City	\$81,900	\$8,190
Homestead Exemption	\$0	\$0
Parish	\$81,900	\$8,190

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DESCRIPTION OF IMPROVEMENTS - The subject is an existing $\pm 72,996$ square foot (gross building area-GBA) masonry & steel frame neighborhood retail center situated on a $\pm 210,830$ square foot site fronting Highway 167 (Johnston Street), Arnould Boulevard, Patricia and Marie Antionette Streets in Lafayette, Louisiana. Additionally, there is $\pm 121,000$ square feet of concrete parking/drives. The subject is improved with two freestanding retail buildings with twenty-three (23) rental bays with a total of $\pm 62,749$ square feet of net rentable area (NRA) constructed of block, steel frame & masonry with the exterior front being partially EFIS and brick while the sides & rear is split face CMU & brick. There are $\pm 10,247$ square feet of front covered walkways. There is storefront glass with metal doors with glass inserts and metallic sloped rubber membrane roof. The interior is primarily tile, carpet and concrete floors and painted gypsum board walls and suspended ceilings in 2'x 4' grid with fluorescent inserts with some bays open to roof and painted. There are restrooms to the rear of each bay with some having two restrooms. The building is Class D construction and slab foundation and will be in overall average condition after renovations and upgrades. As of date of inspection only four spaces (Suites 101, 103, 105 & 119) are or will be vacant. This indicates the facility to be at 77.51% occupancy. The appraiser is noting that the subject will undergo a renovation and remodel that will include a entire new roof with new gutters & downspouts; exterior painting; parking lot & landscaping upgrades; HVAC repairs and upgrades; new exterior lighting, sound system, Wifi and bench replacements and upgrades as well as remodel interior spaces for lease. The subject improvements will be considered to be in overall average condition after all the renovations and upgrades are complete. Just as a matter of reference, the owner has no awareness of the presence of hazardous materials.

Building Type:	Neighborhood Retail Center
Quality of Materials & Workmanship:	Good class "D" neighborhood shopping center
Condition of Building:	Average
Design & Layout:	Adequate
Functional Utility:	Adequate
Estimated Actual Age:	± 11 to ± 43
Estimated Effective Age:	± 15
Estimated Total Economic Life:	40 years
Estimated Remaining Economic Life:	25 years
Building Size:	$\pm 62,749$ SF/NRA $\pm 10,247$ SF/covered walkways $\pm 72,996$ SF/GBA

As a note, I assume the facility will be in compliance and ADA requirements.

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Exterior Description:

Foundation - the building has reinforced sectional concrete slab foundation. The walls are likely supported by drilled and reinforced footings and pilings.

Superstructure – The building is constructed of steel frame & CMU with metallic & CMU exterior walls supported by concrete footings. Roofs are supported by metal decking with steel joists.

Walls – The exterior walls are EFIS on the front while the two sides and rear is split face CMU & brick. Eave heights are mostly 16.4' with only spaces A&B being 23'6" due to the second floor office space. Storefront doors are glass, set in metal frames. Rear doors are metal, set in metal frames.

Windows and Doors – Exterior windows are plate glass in fixed metal frames. Storefront doors are glass, set in metal frames. Rear doors are metal, set in metal frames.

Roof – The roof structure will be a new rubber membrane throughout both structures all of which is supported by steel trusses on smaller. The front perimeter of the roof has an EFIS mansard-style façade (typical of neighborhood centers).

Interior Description – Each of the individual spaces are relatively similar with only difference being size. The spaces have average finishes. The spaces are finished with commercial grade carpet, tile and/or stained concrete flooring, suspended ceilings and sheetrock walls. Lighting is typical fluorescent inserts with restrooms to the rear of each unit. There are roof-mounted air conditioning units for each space and assumed to be adequate. This is a typical type neighborhood shopping center with average grade materials and good workmanship.

Plumbing and Mechanical Systems – All rental spaces have at least one restroom with a few having two. Based on historical operation, the plumbing is assumed adequate for its current use.

HVAC – Heating and air conditioning is provided by a forced air central HVAC systems and assumed adequate.

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Electrical – The electrical system appears to conform to all required zoning codes. Common area lighting (including parking lot and walkway lighting) is master metered.

Site Improvements/Parking – Parking areas are concrete with overhead lighting mounted on metal pylons and striped parking spaces. There are ±324 parking spaces, or roughly 1 space per 194 square feet of building area. The parking appears ample for the development as noted by the city of Lafayette document within the addendum. This area will also see upgrades and repairs.

American with Disabilities Act (ADA) – The ADA, specifically Title III, prohibits discrimination on the basis of disability by private entities in places of public accommodation and requires all businesses to remove all physical barriers that deny disabled individuals access to goods and services as long as the changes can be “readily achievable.” Readily achievable is defined as “able to be carried out without much difficulty or expense.” Small businesses that cannot afford to remove barriers must comply with the spirit of the law and make “reasonable accommodations” for disabled customers and employees. Reasonable accommodation is defined as “making existing facilities used by employees readily accessible to and useable by the individual with disabilities.” To obtain occupancy permit from Lafayette Parish Department of Public Works (DPW), the DPW and State Fire Marshall require all buildings to install handicapped ramps, parking, and parking lot signs. Additional compliance requirements may also include widening the entrances and bathroom doorways to accommodate wheelchairs and the installation of handicapped bathroom stalls or parking spaces. Compliance costs are not estimated because application of the law is on a building-by-building basis (consideration is also given to the financial stability of the owner to comply with the law.) There is limited market data from which to extract market reaction to the law. Should substantial compliance expenditures be required, the value as estimated is subject to review.

Inspections – Property site inspections were performed by Terry J. Broussard, MAI, CCIM on October 1, 2019.

Condition – The condition of the subject property as existing is considered to be average, after all renovations and repairs are completed. Our cursory inspection revealed that while this property will

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Appraisers - Analysts - Consultants

be in average condition and well maintained it is currently 77.5% occupied. The parking lot will also be considered to be in average condition after repairs and upgrades.

Effective Age of the Improvements – The subject improvements have no deficit maintenances, as previously discussed. The immediate market corridor has been stable. The effective age of the buildings and site improvements will be estimated at 15 years, respectively. The building improvements have a projected economic life of 40 years. The estimate considers the following:

1. *Marshall Valuation Service* estimate of total economic life for average quality neighborhood shopping center buildings and average quality site improvements
2. Potential for competition (present and future)
3. Actual age
4. Location
5. Neighborhood life cycle (the neighborhood is in a stable stage)

The building's effective age of 15 years is divided by the total economic life estimate of 40 years, which equates to 38% incurable physical deterioration depreciation being noted. The site improvement's effective age of 15 years is divided by the total economic life estimate of 30 years, which equates to 50% incurable physical deterioration depreciation being noted.

Functional Utility – The building is functional for use as shopping center (retail, restaurant, office, etc.) space. The design and appeal are marketable. Conversion to alternative uses would require retrofitting outlays.

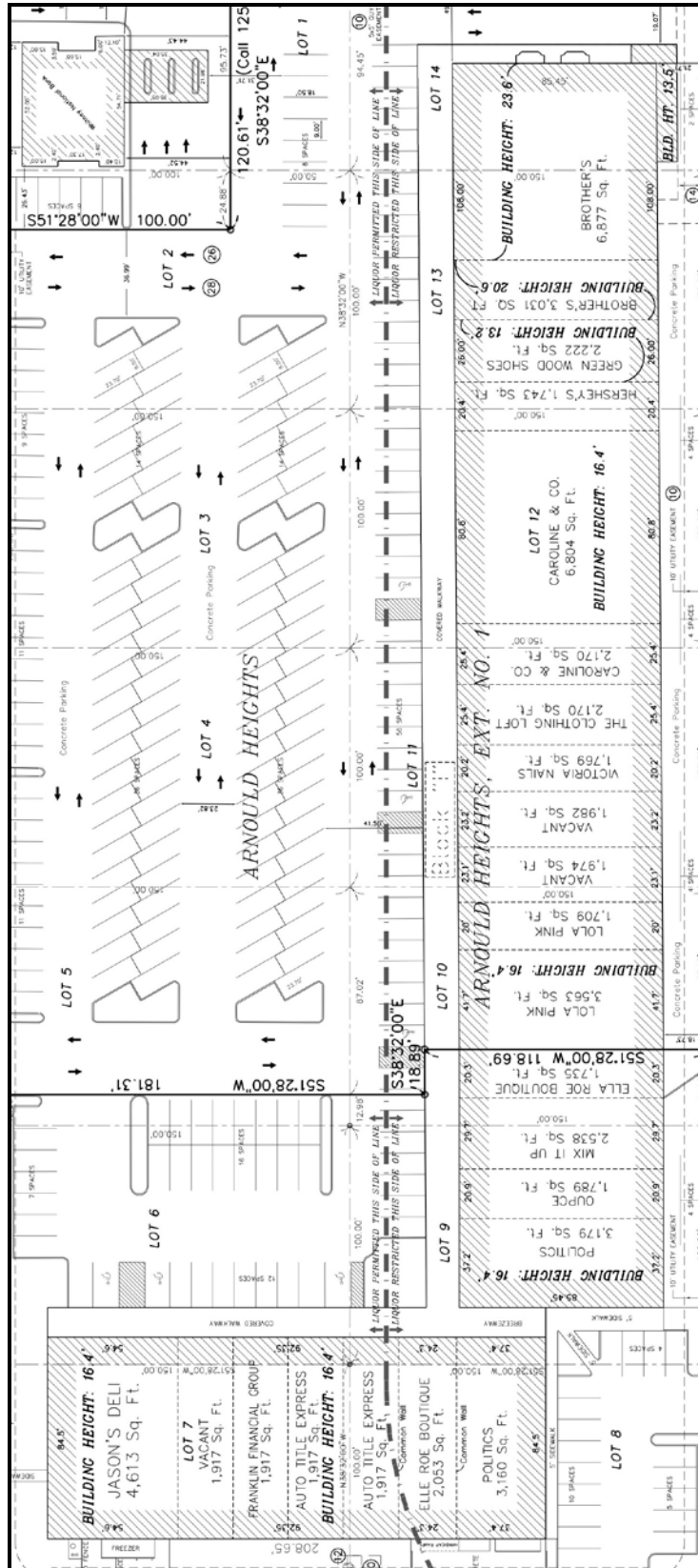
Furniture, Fixtures and Equipment (FF&E) – Excluded from the valuation are any FF&E or “moveables” (bookshelves, kitchen equipment, desks, chairs, etc.), as they are non-realty items.

Conclusion – The existing facility serves well as middle quality retail space. The shopping center has good visibility from the Johnston Street corridor. The rental rates appear at market and the location of the center would not support higher rents. It is my opinion that the functional utility of the center is good.

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Site Plan of Subject as Provided by Engineer



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HIGHEST AND BEST USE - The concept of value is fundamentally theorized by the highest, best and most profitable use of the site. Land is valued as if vacant and available for its highest and best use as of the date of the appraisal. Highest and best use is defined in *The Dictionary of Real Estate Appraisal*, 2015, as being:

- 1) **The reasonable and probable use that supports the highest present value of vacant land or improved property, as defined, as of the date of the appraisal.**
- 2) **The reasonably probable and legal use of land or sites as though vacant, found to be physically possible, appropriately supported, financially feasible, and that results in the highest land value.**
- 3) **The most profitable use.**

Basically, there are four major tests that must be considered in estimating the Highest and Best Use of a vacant or improved site. These are:

- 1) **The use must be physically possible.**
- 2) **The use must be legally permissible.**
- 3) **The use must be economically feasible.**
- 4) **The use must be profitable and maximally productive.**

While the above applies specifically to the highest and best use of land, it should be recognized that in cases where a site has existing improvements on it, the highest and best use may very well be determined to be different from the existing use. In a case such as this, the existing use remains as such until the land value in its highest and best use exceeds the total value of the property in its existing use. Further, as relating to the highest and best use of land, it is implied within the above that the determination of highest and best use considers the contribution of a specific use to the community and community development goals, as well as the benefits of that use to individual property owners.

Highest and Best Use As Vacant

Physically Possible - When testing the Highest and Best Use of the sites, the physically possible use is a major consideration for development of the allowable uses. The subject site (developed with shopping center) is relatively rectangular in shape with adequate road frontage and access from

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four roadways and contains ±210,830 square feet. Considering all factors, the size and shape of the site is typical of many sites in the general area similar to the subject. With proper developmental procedures, the site could accommodate most types of conventional development. The site is also not restrictive in terms of drainage. Lastly, the availability of utilities/services is considered adequate.

Legally Permissible - Legal restrictions that apply to the subject site involve governmental and private zoning restrictions. As stated earlier in the zoning section, the site is restricted to commercial uses by the CH, Commercial Heavy zoning. As such, a fairly wide array of potential uses are allowed. There are no apparent detrimental easements, encroachments, servitudes or encumbrances, which adversely affect the sites, and I have no indication of any land leases affecting the site. Lastly, I am not aware of any hazardous materials located on the sites.

Economically Feasible - The economically feasible uses are those, which would provide a positive, return to the site. Considering the physical features and legal restrictions affecting the site, it certainly appears that any intense retail commercial uses are the most practical use. As stated, income producing potential for improvements to the subject site appears good given the current market conditions accompanied with the subject's location. This is also supported by the fact that the general neighborhood has demonstrated its ability to be viable for commercial development, namely intense neighborhood retail center and related commercial uses. Assuming neighborhood center development to be the case, I estimated the gross income, which could be expected from this use, and deducted for vacancy and collection loss, as well as expenses, in order to obtain net operating income. The rate of return on the invested capital calculated from that point indicated the highest return was in fact from a neighborhood retail center standpoint.

Further, this test of economic feasibility indicated that the projected market parameters were sufficient to warrant speculative development. Therefore, based on typical investment parameters and viewed strictly from an investment standpoint, such an investment for speculative purposes appears economically feasible.

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Maximally Productive - Calculations of returns indicated the most profitable and maximally productive use for the site was from an intense neighborhood retail center standpoint. Further, the calculated returns appear to be sufficient to justify immediate development based on the projected market parameters for this particular use. Therefore, based on typical investment parameters, such an investment for speculative purposes appears economically feasible. Further, an intense neighborhood retail center use and/or retail/commercial use indicate the lowest risk and produce a consistent income stream.

Highest and Best Use As Improved

As of the date of appraisal, the subject site is improved with a ±62,749 SF neighborhood retail center. The improvements are representative of overall average quality construction and will be in overall average condition after renovations are complete. In the previous “as if vacant” highest and best use analysis, it was reasonably determined that an intense neighborhood retail center use is economically feasible for the site and this specific use indicates the lowest risk and produces a consistent income stream.

“As improved”, an intense neighborhood retail center use also appears to be the highest and best use for the site, considering the general trends in the area which complement this type use. As such, the improvements will contribute value over and above the value of the site as if vacant. Further, it does not appear to be feasible or cost efficient to engage the property in another use. Therefore, the highest and best use as improved is to operate the property as the current neighborhood center use.

At this point, it is important to discuss the subject’s “target” market, which is estimated to be for investment use rather than owner use purposes. Since the market appears to demonstrate feasibility in this instance, including the fact that entrepreneurial profit was added, because the vast majority of commercial oriented sales researched were for investment use suggests this to be the logical market for the subject.

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LAND VALUATION - The procedures available for the valuation of vacant land such as the subject are summarized as follows:

1. **The Market Data (Sales Comparison) Approach** - Sales of similar vacant parcels are compared to derive an indication of value for the land being appraised.
2. **The Allocation Procedure** - Sales of improved properties are analyzed and the prices allocated between land and improvements. The allocation is used either to establish a ratio of land value to total value, which may be applicable to a property being appraised, or to derive the portion of price allocated to land value for use as a comparable land sale.
3. **Extraction Method** - Extraction is a method to value vacant land where total value of comparables is allocated between land and improvements, using dollar amounts as opposed to ratios (used in allocation). Extraction is often used in older densely developed areas with little to no vacant land; i.e., a purchaser buys a property for \$50,000, and subsequently indicates that \$10,000 was attributed to the improvements, thereby indicating the \$10,000 difference to be land value.
4. **The Anticipated Use (Development) Procedure** - Undeveloped land is assumed to be subdivided, developed and sold. Development costs, incentive costs, and carrying charges are subtracted from the estimated proceeds of sale, and the net income projection is discounted over the estimated period required for market absorption of the developed sites to derive an indication of value.
5. **The Land Residual Procedure** - The land is assumed improved to its Highest and Best Use, and the net income to the land is capitalized to derive a land value indication.
6. **Ground Rent Capitalization** - Ground Rent Capitalization, like the land residual technique, is an income approach to valuing vacant land. However, a land residual is used with improved land and ground rent capitalization is used with vacant land. Rentals of vacant land are compared to the subject, and the income to land is capitalized with a land capitalization rate.

In the case of the subject sites, the most applicable method of valuation is the Market Data Method given the availability of an adequate volume of sales deemed similar to the subject for purposes of valuation. In accordance with the highest and best use of the site, I have extensively searched the area for relatable sales with which to serve as comparables for the subject property, and certainly believe these are the most reliable data available. However, due to the fact that none of the sales were completely and/or totally comparable, all types of vacant land sales were considered in the analysis and valuation process. These comparables are also representative of the sales, which would be utilized by a buyer when making a purchase decision of the subject site. The supporting data on which I based my adjustments are in the appraiser's file. Following are the vacant land comparables summarized in a grid format:

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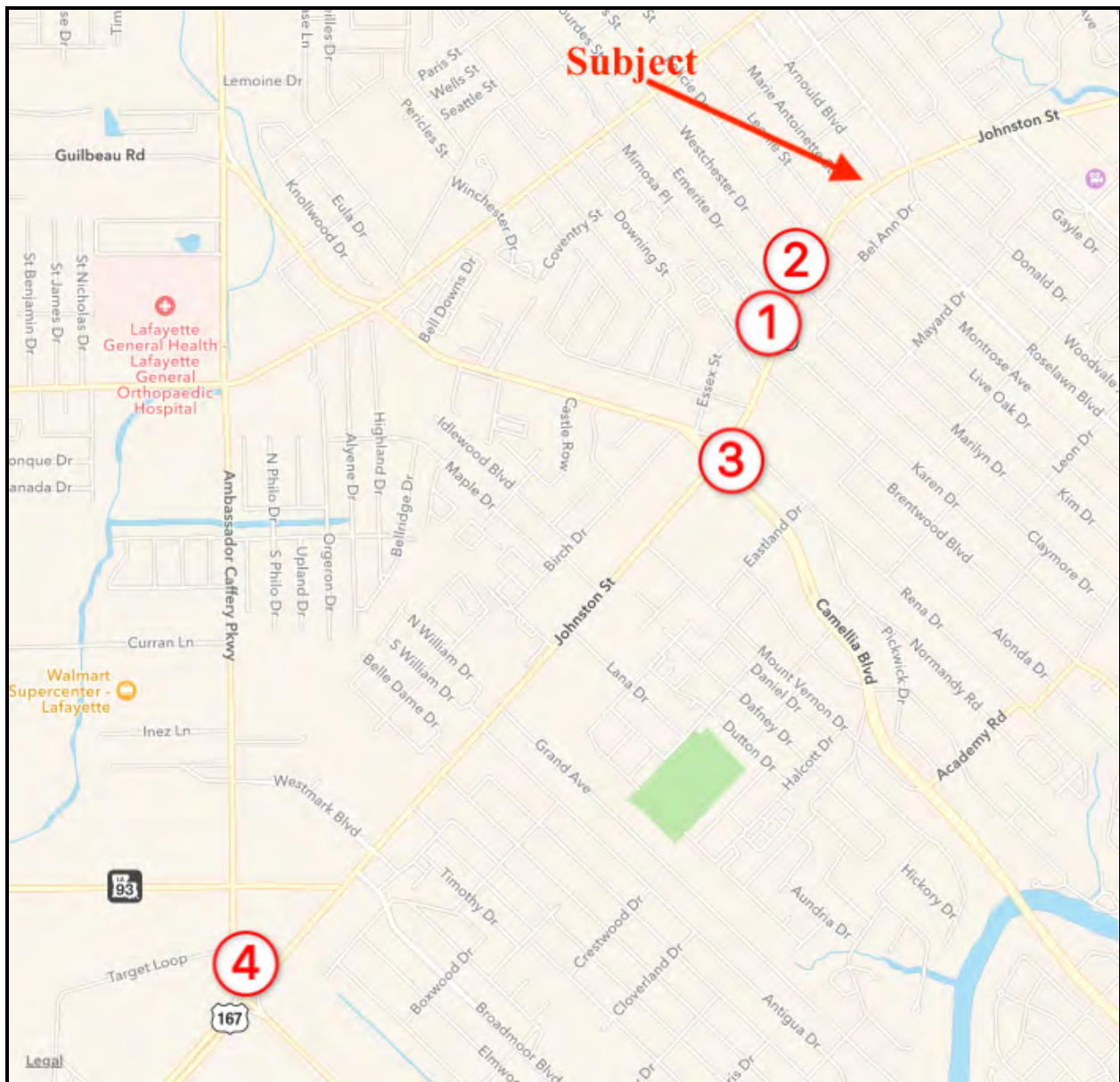
Belle Realty Shopping Center 101-149 Arnould Boulevard Lafayette, Louisiana SITE VALUATION					
	Subject	Sale 1	Sale 2	Sale 3	Sale 4
Location	3600 Johnston St Lafayette	4002 Johnston Lafayette	3808 Johnston Lafayette	4403 Johnston Lafayette	5540 Johnston Lafayette
Recordation		#2018-34408	#2017-38763	#2015-44974	#2-17-7073
Vendor		James Gautreau	4 Bells, Inc.	Macro & Trav	Menard Properties
Vendee		Kim Nguyen	EPL Johnston	Brookwood Camellia	Hutton Lafayette
Date		*10/5/2018	*9/21/2017	*11/12/2015	*2/9/2017
Price		\$550,000	\$650,000	\$945,000	\$1,250,000
Plus: Demolition Costs		\$0.00	\$0.00	\$0.00	\$0.00
Less: Improved Value		\$0.00	\$0.00	\$0.00	\$0.00
Net Sales Price		\$550,000	\$650,000	\$600,000	\$1,250,000
Site Size	210,830	22,978	29,621	59,154	48,744
Price Per Square Foot		\$23.94	\$21.94	\$10.14	\$25.64
Property Rights		0%	0%	0%	0%
Financing		0%	0%	0%	0%
Conditions of Sale		0%	0%	0%	0%
Market Conditions		0%	0%	0%	0%
Cumulative Adjustment		0%	0%	0%	0%
Adjusted Price/SF		\$23.94	\$21.94	\$10.14	\$25.64
Location		0%	0%	0%	0%
Visibility/Access		0%	0%	0%	-60%
Configuration		0%	0%	0%	0%
Size		-55%	-55%	0%	0%
Other		0%	0%	0%	0%
Cumulative Adjustment		-55%	-55%	0%	-60%
Adjusted Price/SF		\$10.77	\$9.87	\$10.14	\$10.26
Low		\$9.87			
High		\$10.77			
Mean		\$10.26			
Range of Indicated Values					
Low		\$2,081,894			
High		\$2,270,886			
Mean		\$2,163,464			
Concluded Value		\$2,160,000			

All sales were directly along Johnston Street as the subject. Sale 1 was at the corner of Johnston and Ambassador Caffery Parkway, which had much superior visibility & access due to the high traffic corner location and market pairing has indicated a -60% adjustment was warranted for this factor. Sales 1 & 2 were much smaller and sales 3 & 4 were rated somewhat similar. Market pairing has indicated a -55% adjustment was warranted for this factor. The appraiser feels that the vacant land comparables noted above are still the best available to compare to the subject. The appraiser utilized the comparables and determined that the subject site should command an average (mean) value that is estimated at \$10.26 PSF. With the site having ±210,830 SF, this would result in a value of around **\$2,160,000** (210,830 SF x \$10.26 PSF = \$2,163,464).

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Location Map of Vacant Land Sales



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THE COST APPROACH

The ***Cost Approach*** assumes the Principle of Substitution theory, which suggests that no prudent person will pay more for a property of equal desirability and utility than the amount for which he or she can obtain by purchase of the site and construction of a building without undue delay. Consequently, current reproduction costs, prior to any deduction for accrued depreciation, plus land value and entrepreneurial profit, provide a measure against which prices for existing improved properties may be judged. In accordance with the above, it is necessary to consider the accrued depreciation evident in the property being appraised due to all causes (physical depreciation, functional obsolescence and economic or external obsolescence) for the Cost Approach to produce a valid indication of "Market Value".

With proper methodology applied, the Cost Approach enables an appraiser to clearly understand the reasons and circumstances of why and how an existing structure is less valuable than the optimal new structure against which it is measured. It is particularly applicable when the property being appraised involves relatively new improvements which represent the Highest and Best Use of the land or when relatively unique or specialized improvements are located on the site and for which there exists no comparable properties on the market. Cost Approach techniques can also help appraisers to recognize the effect of depreciation on the components of a property, and therefore help in developing more precise measures of value adjustments for physical property features. Because the Cost Approach requires a separate estimation of land and building value, it is also used for certain insurance, tax and accounting purposes.

As the subject's land value has been estimated, the reproduction cost of the structure must now be estimated, and includes all direct and indirect costs, as well as entrepreneurial profit. Once estimated, all depreciation in the structure caused by physical deterioration, and functional and/or external obsolescence is then subtracted from the reproduction cost new, thereby indicating the depreciated value of the property.

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Reproduction Cost New – In the case of the subject’s neighborhood retail use, I have given primary weight to the national costs from the Marshall & Swift cost manual since the original costs were unavailable to the appraiser. Upon review of the Marshall & Swift cost manual, it appears that the subject would be classified as an average quality neighborhood retail facility. Information utilized from Marshall-Swift was applied as follows:

Replacement Cost New Worksheet	
(Via Marshall & Swift Costs Manual)	
Occupancy	Neighborhood Retail
Building Class & Quality	Sec13; Page 33
Average Floor Area	D/Good 62,749
Total Base SF Costs	\$90.00
Number Story Multiplier	1.000
Height Per Story Multiplier	1.085
Floor Area/Perimeter Multiplier	0.876
Combined Multipliers	0.950
Refined Square Foot Costs	\$85.54
Current Cost Multiplier	1.010
Local Multiplier	0.890
Final SF Costs	\$76.89

The figures from Marshall and Swift are believed to be reasonable. Nevertheless, the costs utilized are believed to accurately reflect the reproduction cost new of the facility as of the date of the appraisal. Considering all of the above, the subject’s reproduction cost new of improvements is estimated to be \$77 PSF.

Entrepreneurial Profit is a market driven dollar amount that an entrepreneur would expect to receive for his or her time and effort to put an investment package together. It typically reflects the risk inherent in a development and represents a monetary return for undertaking the risk. This anticipated profit is what motivates people to develop properties for investment purposes. In the case of the subject, this expense is obviously warranted since the development was indicated to be at or above the feasible level. Although difficult to estimate due to the varying requirements of entrepreneurs, it is important for the reader to understand that this is not an estimate of contractor's overhead and profit, which has already been accounted for in the reproduction cost estimate, nor is it part of the developer’s fee included in the estimate of soft costs, but rather this is “sweat equity” due a developer for putting a package together which results in a value in excess of the hard and soft costs involved in developing the project. In attempting to calculate entrepreneurial profit, the most recognized method involves extraction of this figure from properties, which have sold recently. In doing so, entrepreneurial profit relates to the difference in the sum of direct and indirect

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costs including land value, and the sale price. While demand for development of this property type in the local market has certainly increased, I have found no occurrences where speculative development for resale was the case. With this in mind, it is not surprising that developers of this property type typically opt to capitalize on the positive effects of the economy (strong positive cash flows), particularly during the initial phases of an economic upturn, rather than selling to realize entrepreneurial profit. Consequently, indications of this nature were unable to be extracted. I have also discussed this with developers and brokers familiar with this property type, who suggest that, given the current state of the real estate economy, it would be necessary to provide an entrepreneurial return commensurate with the magnitude of the development in order to induce a developer into a project similar to the subject. Hence, considering the returns currently available resultant from the present prosperity in the real estate development industry, a certain level of entrepreneurial profit appears to be warranted as a developer incentive must be included. Entrepreneurial profit is typically from 5-20% or so of the final reproduction cost for these types of investments, reflecting the fact that profit from these type properties is generally anticipated from the operation of the business. This is not to be confused with **Business Value**, which will not be valued in this analysis. Consequently, indications of this nature were unable to be extracted. Also being noted is that the appraiser has appraised properties of this type and feels that due to the condition of the retail market in the area of the subject and average size of the subject, an entrepreneurial profit toward the middle end of the market or around 15% seems reasonable and warranted.

Physical Depreciation is the physical deterioration of the property, which causes a reduction in utility or use. The subject was constructed in 1972 and with ongoing maintenance & remodel indicates an effective age of 15 years, which is based against an overall economic life of 40 years that was estimated using Marshall and Swift Valuation Service Life Expectancy Guidelines. Note that this estimate does not consider the effects of external obsolescence or poor business management on the property, but rather represents the estimated remaining economic productivity, which is assumed due to continual upgrading and above average maintenance. As a result the physical depreciation will be applied at 38% in this instance. The site improvements had an effective age of 15 years and based against an overall economic life of 30 years, physical depreciation will be applied at 50% in this instance.

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Functional Obsolescence is the impairment of functional capacity or efficiency due to the inability of a structure to perform adequately the function for which it was designed. The subject property does not appear to suffer from a functional standpoint, as it will assumedly be functional for its intended use as a retail shopping center and is assumed to perform adequately in light of typical market circumstances.

External Obsolescence represents the impairment of desirability or useful life of a structure arising from factors external to the property, such as economic forces or environmental changes. The subject is in a good location in a strong real estate market. The subject is not considered to suffer from economic obsolescence. Basically, the real estate market of Lafayette indicates most segments of the market (office buildings, shopping centers, apartments, rentals, values, etc.) have experienced increased activity. While deficiencies of demand are still found in selected market sectors, albeit to a lesser degree as of late, economic obsolescence is not expected to factor into this particular analysis. The Cost Approach is summarized as follows;

Building Improvements			
Building: 62,749 sf @ \$77 psf		\$4,831,673	
Office Buildout 2,160 sf @ \$55 psf		\$118,800	
Covered Walkways: 10,247 sf @ \$26 psf		<u>\$266,422</u>	
Total Cost New		\$5,216,895	
Entrepreneurial Profit	15%	<u>\$782,534</u>	
Total Reproduction Costs			\$5,999,429
Physical Depreciation (15/40)	38%	\$2,279,783	
Functional Depreciation		\$0	
External Depreciation		<u>\$0</u>	
Depreciated Value of Improvements			\$3,719,646
Site Improvements			
Parking & Drives		\$726,750	
Landscaping & Misc		\$120,000	
Site Work/Other		<u>\$290,000</u>	
Total Cost New Site Improvements		\$1,136,750	
Entrepreneurial Profit	15%	<u>\$170,513</u>	
Total Reproduction Costs			\$1,307,263
Physical Depreciation (15/30)	50%	\$653,631	
Functional Depreciation		\$0	
External Depreciation		<u>\$0</u>	
Depreciated Value of Site Improvements			<u>\$653,631</u>
Depreciated Value of All Improvements			\$4,373,277
Land Value			<u>\$2,160,000</u>
Market Value Indicated by Cost Approach			<u>\$6,533,277</u>

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Conclusion to the Cost Approach

In conclusion, the cost approach to value was utilized since the improvements exist, however proposed with renovation and will be in average condition after renovations are complete and there was adequate research to support the conclusions, including the deferred maintenance. There was abundance research to derive all methods of depreciation. As a result of the above analysis, the prospective market value for the subject property by the cost approach to value as developed as of August 31, 2020 (estimated date of completion) is as follows:

Prospective Market Value of the Fee Simple Interest Indicated by the Sales Comparison Approach

(Indicated Value of the Fee Simple Interest Via Cost Approach Analysis, As Developed & Stabilized)

\$6,535,000.00

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SALES COMPARISON APPROACH

The *Sales Comparison Approach* involves direct comparisons of the property being appraised to similar properties that have sold in the same or in a similar market in order to derive a market value indication for the property being appraised. Carefully verified and analyzed market data is average-good evidence of value when it represents typical actions and reactions of buyers, sellers, users and investors. The market value estimate has been categorized as an interpretation of the reactions of typical users and investors in the market. The Sales Comparison Approach, like the Cost Approach, is based on the Principle of Substitution, which implies that a prudent person will not pay more to buy a property than it will cost to buy a comparable substitute property. The price a typical purchaser pays is usually the result of an extensive shopping process in which available alternates are compared. The asking price of a property may be more than a seller expects to realize because there is the possibility that a non-typical purchaser may be found willing to pay more than market value. After testing the market for a reasonable time without success, the seller may reduce the price or accept an offer that is less than the asking price.

Although sales may deviate from a market norm, a sufficient number tend to produce a pattern indicating the action of typical buyers and sellers in the market. When information about a sufficient number of similar property sales made in the current market is available, the resulting pattern provides an average-good indication of market value. Pertinent data concerning the various comparable sales analyzed in the development of this approach will now be presented. Note that all of the sales were verified with at least one party familiar to each transaction, either an appraiser who valued the property, a bank representative, vendor or vendee, etc. In my search for comparable sales data, I was forced to expand the search area given the lack of recent relatable sales data within the local market. While there were no select sales in the local and general vicinity of the subject, sales in other similar market areas throughout south Louisiana were deemed primary given the fact that the subject is a retail center in an average sized community near the Highway 167 corridor. With this in mind, I did personally inspect all sales. Further, all sales presented were verified and are believed to be particularly relatable in valuation of the subject. Eight sales were found and utilized to compare the subject to. Following are the sales deemed most reliable for purposes of comparison;

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Improved Sale No. 1



Property Identification

Record ID	5356
Property Type	Retail, Shopping Center
Property Name	Super 1 Shopping Center
Address	2418&2424 Union Street, Opelousas, St. Landry Parish, Louisiana
Location	Tract in Sections 150 and 160, T6S, R4E, fronting on the west side of Union Street (aka Hwy 182)
MLS Area	81

Sale Data

Grantor	LRS General Partnership
Grantee	Daniel Kamin Opelousas, LLC
Sale Date	November 26, 2018
Deed Book/Page	#1181161
Property Rights	Leased Fee
Financing	Cash Sale
Verification	Appraisers files
Sale Price	\$3,500,000, plus \$200,000 lease up & vacant space costs
Cash Equivalent	\$3,700,000

Land Data

Land Size	6.3495 Acres or 276,584 SF
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Improved Sale No. 1 (Cont.)

Front Footage	189 ft Total Frontage: 189 ft Union Street
Zoning	C1, Commercial
Utilities	All Available
Dimensions	Various
Shape	Rectangular
Street Access	Asphalt, two-lane
Drainage	Surface

General Physical Data

Building Type	Multi Tenant	
Gross SF	54,918	
Units	2	
Construction Type	Class D	
Roof Type	Low Pitched-Bithium	
Foundation	Concrete slab	
HVAC	Central	
Sprinklers	None	
Stories	One	
Floor Height	12' & 16'	
Year Built	1993	
Condition	Average	
Parking	Concrete	296
Occupant	Super 1 Foods, Vacant	

Income Analysis

Potential Gross Income	\$475,604 (\$8.66/sf)
Vacancy	\$47,560 (10%)
Effective Gross Income	\$428,044
Expenses	\$120,820 (\$2.20/sf)
Net Operating Income	\$307,224

Indicators

Sale Price/Gross SF	\$67.37
Floor Area Ratio	0.20
Land to Building Ratio	5.04:1
Occupancy at Sale	88%
Gross Income Multiplier	7.78
Eff. Gross	8.64
IncomeMultiplier	
Expenses/Sq. Ft.	\$2.20
Overall or Cap Rate	8.3%
Net Operating Income/SqFt	\$5.59

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Improved Sale No. 1 (Cont.)

Building Description

This is a one-story, Class D (Block) retail shopping center with concrete slab foundation and flat, built-up roof. Exterior features include: walls are block & stucco, metal, and glass store fronts.

Site improvements include: 296 marked concrete-paved parking spaces and drives

Remarks

At the time of sale, this retail shopping center was 88% leased to Super 1 Foods with the side space vacant and in need of repairs prior to lease-up. This was estimated by purchaser and appraiser at around \$200,000, which was added to indicated a CEP for the sale. The tenant had been at this location since construction in 1993.

The income analysis is based upon the actual in-place income and expenses at the time of sale, plus a market-typical vacancy & collection loss allowance and market-typical replacement reserves and miscellaneous expenses.

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Improved Sale No. 2



Property Identification

Record ID	4635
Property Type	Retail, Shopping Center
Address	37200 La Highway 3089, Donaldsonville, Ascension Parish, Louisiana
Location	Lot 3, Thibaut, fronting on the northeast corner of Thibaut Drive and Walmart entry drive adjoining the Walmart Supercenter
MLS Area	92

Sale Data

Grantor	Dville Partnership, LLC
Grantee	Donaldsonville Associates 2018, LLC
Sale Date	January 29, 2019
Deed Book/Page	Act#963699
Property Rights	Leased Fee
Financing	Cash Sale
Verification	Alex Knight, broker with NAI Latter Blum Commercial Real Estate; Other sources: Appraisal Files

Sale Price	\$3,150,000
Cash Equivalent	\$3,150,000

Land Data

Land Size	2.958 Acres or 128,850 SF
Front Footage	215 ft Total Frontage: 215 ft Thibaut Drive, Walmart entry drive

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Improved Sale No. 2 (Cont.)

Zoning	CC, Crossroads Commercial
Utilities	All Available
Dimensions	214.61' x 455.67' x 316.03' x 419.09' x 54.06'
Shape	Roughly Rectangular
Corner Lot	Yes
Street Access	Asphalt, 2-lane
Drainage	Open Swale; Subsurface

General Physical Data

Building Type	Multi Tenant
Gross SF	29,560
Construction Type	Class S
Roof Type	Pitched Metal
Foundation	Concrete slab
HVAC	Central
Sprinklers	Yes
Stories	One
Floor Height	10'-12'
Year Built	2005
Condition	Average
Parking	Asphalt 160
Occupant	Cato, Check into Cash, Dollar Tree, Hibbett Sports, it's Fashion, AT&T, Hot Wok, Enterprise, H&R Block

Income Analysis

Potential Gross Income	\$375,511 (\$12.70/sf)
Vacancy	\$00 (0%)
Effective Gross Income	\$375,511
Expenses	\$118,240 (\$4.00/sf)
Net Operating Income	\$257,271

Indicators

Sale Price/Gross SF	\$106.56
Floor Area Ratio	0.23
Land to Building Ratio	4.36:1
Occupancy at Sale	100%
Gross Income Multiplier	8.39
Eff. Gross	8.39
IncomeMultiplier	
Expenses/Sq. Ft.	\$4.00
Overall or Cap Rate	8.17%
Net Operating Income/Sqft	\$8.70

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Improved Sale No. 2 (Cont.)

Building Description

This is a one-story, Class S (Rigid Metal Frame), retail shopping center with concrete slab foundation and pitched metal roof. Exterior features include: walls are dryvit, plate glass storefronts, and painted concrete, windows are glaze, fixed plate glass in metal frames, and doors are metal with glazed fixed glass set in metal frames. Interior features include; walls are sheetrock covered with paint or wallpaper, floors are ceramic tile, vinyl composition tile, commercial grade, low-pile carpet & sealed concrete, and quarry tile, metal in metal frames, ceilings are suspended lay-in acoustical tiles with inset fluorescent fixtures, eyeball spots, or track spotlighting and ceiling heights area 10' to 12' high.

Site improvements include: 160 asphalt-paved parking and drives

Remarks

At the time of sale, this retail shopping center was 100% occupied by Cato, Check into Cash, Dollar Tree, Hibbett Sports, It's Fashion, AT&T, Hot Wok, Enterprise and H&R block. Alex Knigh with NAI Latter Blum Commercial Real Estate brokered the transaction. The units range from 1,250 to 10,000 sf. The property previously sold in 2016 for \$2,750,000.

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Improved Sale No. 3



Property Identification

Record ID	5111
Property Type	Retail, Shopping Center
Property Name	Old Toys-R-Us Shopping Center
Address	5700 Johnston Street, Lafayette, Lafayette Parish, Louisiana
Location	Lot 3, Acadian Square Shopping Center, with access via shopping center entry road

Sale Data

Grantor	Toys-R-Us Property Company II, LLC
Grantee	OBO Ventures, Inc.
Sale Date	August 24, 2108
Deed Book/Page	Inst.#2018-30547
Property Rights	Fee Simple
Financing	Cash Sale
Verification	Other sources: Appraisal Files

Sale Price	\$2,800,000, plus \$675,000 deferred maint costs
Cash Equivalent	\$3,475,000

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Improved Sale No. 3 (Cont.)

Land Data

Land Size	4.399 Acres or 191,620 SF
Front Footage	No Road Frontage: access via shopping center roadway
Zoning	C3, General Commercial
Utilities	All Available
Shape	Rectangular
Street Access	Concrete, five-lane
Drainage	Subsurface

General Physical Data

Building Type	Single Tenant
Gross SF	45,783
Construction Type	Class D
Roof Type	Flat, bitheum
Foundation	Monolithic concrete slab
HVAC	Central
Sprinklers	Yes
Stories	One
Floor Height	12-16''
Year Built	1996
Condition	Average
Parking	Asphalt
Occupant	Vacant but previous was Toys-R-Us

Income Analysis

Potential Gross Income	\$528,420 (\$10.00/sf)
Vacancy	\$ 26,421 (5%)
Effective Gross Income	\$501,999
Expenses	\$242,069 (\$4.58/sf)
Net Operating Income	\$259,930

Indicators

Sale Price/Gross SF	\$75.90 (adjusted)
Floor Area Ratio	0.24
Land to Building Ratio	4.19:1
Occupancy at Sale	0%
Gross Income Multiplier	6.58
Eff. Gross	6.92
IncomeMultiplier	
Expenses/Sq. Ft.	\$5.29
Overall or Cap Rate	7.48%
Net Operating Income/Sq.ft.	\$5.68

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Improved Sale No. 3 (Cont.)

Building Description

This is a one-story, Class D (Concrete Block), single-tenant, retail center with monolithic concrete slab foundation and flat bithium roofing. Exterior features include: walls are block, fixed plate glass panels, and painted concrete block, windows are glazed, fixed plate glass in brushed aluminum frames, and doors are brushed aluminum with glazed, fixed glass, set in brushed aluminum frames. Interior features include: walls are sheetrock, floors are smoothed concrete, doors are standard hollow core wood, ceiling heights are 12', and ceilings are lay-in white tiles in a metal grid system and moisture resistant sheetrock.

Site improvements include: 275 marked asphalt-paved parking spaces and drives, landscaping

Remarks

This retail shopping center was known as Toys-R-Us Shopping within the larger Acadiana Square Shopping Center with access via access road. The buyer acquired for owner use as Ollie's Bargain Outlet. Buyers acquired the property, renovated and subsequently sold it to a national REIT with a NNN lease in place, which according to the owner was essentially a lower interest loan and as such this sale was not utilized.

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Improved Sale No. 4



Property Identification

Record ID	5140
Property Type	Retail, Shopping Center
Property Name	Eunice Marketplace
Address	1609-1642 Highway 190, Eunice, Evangeline Parish, Louisiana
Location	Tract 2, Section 35, T6S-R1W, fronting on the north side of the Highway 190 as well as Walmart entrance drive

Sale Data

Grantor	Eunice TJL, LLC
Grantee	MH & JD Eunice Marketplace, LLC
Sale Date	May 15, 2017
Deed Book/Page	#1157478
Property Rights	Leased Fee
Financing	Cash Sale
Verification	John Riser, broker with Riser Retail Group; Other sources: Renomy Comparable Database
Sale Price	\$2,600,000
Cash Equivalent	\$2,600,000

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Improved Sale No. 4 (Cont.)

Land Data

Land Size	3.055 Acres or 133,076 SF
Front Footage	134.5 ft Total Frontage: Hwy 190
Zoning	Commercial
Utilities	All Available
Dimensions	504.24' Wal-Mart Supercenter parking lot acc.serv.
Shape	Rectangular
Street Access	Concrete, 4-lane
Drainage	Open Swale

General Physical Data

Building Type	Multi Tenant
Gross SF	25,150
Construction Type	Class S
Roof Type	Pitched, metal
Foundation	Monolithic concrete slab
HVAC	Central
Sprinklers	No
Stories	One
Floor Height	10'-12'
Year Built	2007
Condition	Average
Parking	Concrete 91
Occupant	Verizon, 1 st Franklin Financial, LA Wireless, Gamestop; Dollar Tree; Hibbett Sports

Income Analysis

Potential Gross Income	\$348,484 (\$13.86/sf)
Vacancy	\$ 34,848 (10%)
Effective Gross Income	\$313,636
Expenses	\$ 91,076 (\$3.62/sf)
Net Operating Income	\$222,560

Indicators

Sale Price/Gross SF	\$103.38
Floor Area Ratio	0.19
Land to Building Ratio	5.29:1
Occupancy at Sale	90%
Gross Income Multiplier	7.46
Eff.Gross Income Multiplier	8.29
Expenses/Sq. Ft.	\$3.62
Overall or Cap Rate	8.56%
Net Operating Income/SqFt	\$8.85

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Improved Sale No. 4 (Cont.)

Building Description

This is a multi-tenant, Class S (Rigid Metal Frame), retail shopping center with a concrete slab foundation and pitched metal roof. Exterior features include: walls are a mixture of synthetic stucco (EIFS) and pre-fab metal finishes, windows are glazed, fixed plate glass in metal frames and doors are metal with glazed, fixed glass, set in metal frames. Interior features include: walls are sheetrock covered with paint or wallpaper, floors are ceramic tile, vinyl composition tile, quarry tile, commercial grade, low-pile carpeting, and sealed concrete with a painted and/or etched faux finish, doors are metal in metal frames, ceilings are suspended ceilings with lay-in acoustical tiles and inset fluorescent fixtures, eyeball spots, or track spotlighting and most ceilings are 10' to 12' high.

Site improvements include: 121± striped, concrete-paved parking spaces with overhead lighting mounted on metal pylons.

Remarks

The property is a "shadow anchored" retail center in a small community adjoining a Wal-Mart store.

At the time of sale, the facility was 90% occupied by Hibbett Sports for a 5-year term at \$12.25/sf, 1st Franklin Financial for a 5-year term at \$11.67/sf, LA Wireless for a 5-year term at \$15.00/sf, CIGH for a 6-year term at \$19.00/sf, Dollar Tree for a 5-year term at \$6.00 PSF, Verizon for a 6-year term at \$15.00/sf and Gamestop for a 5-year term at \$13.50/sf.

The income projections are based upon the actual in-place income and expenses at the time of sale.

It has 134.5± of frontage along Highway 190 at the northern perimeter of the Wal-Mart Supercenter parking lot. While the site has traditional street frontage, it also has access via a 2-lane, asphalt-paved access servitude with open swale drainage. The servitude provides access directly into the Walmart parking lot (and the property).

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Improved Sale No. 5



Property Identification

Record ID

Property Type

Property Name

Address

Location

Retail, Shopping Center

The Oaks Shopping Center

400 W. St. Francis St, Brusly, West Baton Rouge Parish,
Louisiana

Fronting on the west side of Highway 1 however accessed via
frontage along St. Francis Street

Sale Data

Grantor

Grantee

Sale Date

Deed Book/Page

Verification

SSMF Brusly, LLC

The Oaks of Brusly, LLC

March 15, 2018

#2018-39080

Appraiser's files who appraised for sale

Sale Price

Cash Equivalent

\$4,350,000

\$4,350,000

Land Data

Land Size

Front Footage

Zoning

4.55 Acres or 198,198 SF

349 FF St. Francis

C2, Commercial

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Improved Sale No. 5 (Cont.)

Dimensions	349.02' x 547.88' x 345' x 600.57'
Shape	Rectangular
Street Access	Asphalt, two-lane
Drainage	Subsurface

General Physical Data

Building Type	Multi Tenant
Gross SF	39,750
Construction Type	Class S
Roof Type	Pitched Metallic
Foundation	Monolithic concrete slab
HVAC	Central
Sprinklers	None
Stories	One
Floor Height	10'
Year Built	2003
Condition	Average

Income Analysis

Potential Gross Income	\$580,306 (\$14.60/sf)
Vacancy	\$ 46,424 (8%)
Effective Gross Income	\$533,882
Expenses	\$158,467 (\$3.99/sf)
Net Operating Income	\$375,415

Indicators

Sale Price/Gross SF	\$109.43
Floor Area Ratio	0.20
Land to Building Ratio	4.99:1
Occupancy at Sale	92%
Gross Income Multiplier	7.50
Eff. Gross	8.15
IncomeMultiplier	
Expenses/Sq. Ft.	\$3.99
Overall or Cap Rate	8.63%
Net Operating Income/SqFt	\$9.44

Building Description

This is a one-story, Class S (Steel Frame), retail shopping center with concrete slab foundation and pitched metal roofing. Exterior features include: walls are EFI & metallic. Site improvements include: asphalt-paved parking and drives

Remarks

This retail shopping center has 15 tenants. The leases are all triple net leases. Tenants include Brock Services, Allstate, Noah's Pharmacy, Maddies Ice Cream, Just for Him, Go Auto Insurance, Pizza Hut, Family Dollar, JV Industrial, Republic Finance, Burger Me, Sassy Nails & Las Palmas Restaurant.

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Improved Sale No. 6



Property Identification

Record ID	4843
Property Type	Retail, Shopping Center
Property Name	Iberia Plaza Shopping Center
Address	927 S. Lewis Street, New Iberia, Iberia Parish, Louisiana
Location	Lots in Section 38, T12S, R6E, fronting on the south side of Lewis Street east of Admiral Doyle Drive

Sale Data

Grantor	BRE Retail Residual Owner 1, LLC
Grantee	Rockstep Iberia Plaza, LLC
Sale Date	August 9, 2018
Deed Book/Page	#2018-7321
Property Rights	Leased Fee
Financing	Cash Sale
Verification	KDH Realtors; Other sources: Appraisal Files, LACDB Comparable #2274295
Sale Price	\$9,100,000

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Improved Sale No. 6 (Cont.)

Land Data

Land Size	11.89 Acres or 517,928 SF
Front Footage	815 ft Total Frontage on Lewis Street.
Zoning	C-2, Heavy Commercial
Utilities	All Available
Shape	Rectangular
Street Access	Concrete, 4-lane
Drainage	Subsurface

General Physical Data

Building Type	Multi Tenant
Gross SF	131,630
Construction Type	Class D
Roof Type	Low-pitched, metal
Foundation	Concrete slab
HVAC	Central
Sprinklers	No
Stories	One
Floor Height	10'-14'
Year Built	1978
Condition	Average
Parking	Concrete 675 [30 handicap]
Tenants	19
Occupant	Super 1 Foods, Sprint, Athena Restaurant, Hair studio, UPS Store, IBS, Rainbow, It's Fashion, Bayou Paints, Security Finance, World Finance, Fantastic Sam's, China Wok, Hibbett Sports, Iberia Vision, Christian Nails.

Income Analysis

Potential Gross Income	\$1,105,870 (\$8.40)
Vacancy	\$ 66,352 (6%)
Effective Gross Income	\$1,039,518
Expenses	\$ 258,738 (\$1.97)
Net Operating Income	\$ 780,780

Indicators

Sale Price/Gross SF	\$69.13
Floor Area Ratio	0.25
Land to Building Ratio	3.93:1
Occupancy at Sale	94%

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Improved Sale No. 6 (Cont.)

Gross Income Multiplier	8.23
Eff. Gross	8.75
IncomeMultiplier	
Expenses/Sq. Ft.	\$2.87
Overall or Cap Rate	8.58%
Net Operating Income/SqFt	\$5.93

Building Description

This is a one-story, Class D (Steel Frame & Block) retail shopping center with concrete slab foundation and low-pitched, standing-seam metal roofing. Exterior features include: walls are painted, rubber membrane roof, brick veneer, block EFIS, windows are fixed plate glass set in aluminum frames, and doors are fixed storefront glass set in aluminum frames and metal. Interior features include: walls are painted sheetrock, floors are ceramic tile, vinyl composition tile, commercial grade carpet and hardwood, and ceilings are acoustical ceiling panels with inset fluorescent lighting.

Site improvements include: 675 concrete-paved parking spaces and drives including 30 handicap

Remarks

At the time of sale, this retail shopping center was 94% to 19 tenants The seller sold this property in conjunction with another not in the area. According to broker, there were only two vacant spaces at the time of sale. The purchaser had no plans for significant renovation or changes to the property.

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Improved Sale No. 7



Property Identification

Record ID	4635
Property Type	Retail, Shopping Center
Address	2723 W Pinhook Road, Lafayette, Lafayette Parish, Louisiana
Location	Lot 1 of Pinhook Marketplace, fronting on the northeast corner of Pinhook and Verot School Road

Sale Data

Grantor	Church Extension Plan (represented by Mark Whitney)
Grantee	2723 W Pinhook Investments, LLC (represented by Drew Brees)
Sale Date	January 21, 2019
Deed Book/Page	Act#2019-2172
Property Rights	Fee Simple
Financing	Cash Sale
Verification	David Gleason, broker with NAI Latter Blum Real Estate; Other sources: Appraisal Files

Sale Price	\$3,000,000, with \$500,000 upward adjustment for deferred maintenance
Cash Equivalent	\$3,500,000

Land Data

Land Size	5.702 Acres or 249,163 SF
Front Footage	745 ft Total Frontage: 515 ft Pinhook Rd & 230 ft Verot

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Improved Sale No. 7 (Cont.)

Zoning	CH, Commercial Heavy
Utilities	All Available
Dimensions	Various
Shape	Roughly Rectangular
Corner Lot	Yes
Street Access	Asphalt, 4-lane with turn lane
Drainage	Subsurface

General Physical Data

Building Type	Single Tenant
Gross SF	54,100
Construction Type	Class D
Roof Type	Pitched Metal
Foundation	Concrete slab
HVAC	Central
Sprinklers	Yes
Stories	One
Floor Height	10'-16'
Year Built	1996
Condition	Fair
Parking	Concrete

Income Analysis

Potential Gross Income	\$486,990 (\$9.00/sf)
Vacancy	\$9,740 (2%)
Effective Gross Income	\$477,250
Expenses	\$180,450 (\$3.33/sf)
Net Operating Income	\$296,800

Indicators

Sale Price/Gross SF	\$64.70
Floor Area Ratio	0.22
Land to Building Ratio	4.60:1
Occupancy at Sale	0%
Gross Income Multiplier	7.19
Eff. Gross	7.33
IncomeMultiplier	
Expenses/Sq. Ft.	\$3.34
Overall or Cap Rate	8.48%
Net Operating Income/Sqft	\$5.49

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Improved Sale No. 7 (Cont.)

Building Description

This is a one-story, Class D (Block), retail shopping center with concrete slab foundation and pitched metal roof. The improvements were originally constructed as a Winn Dixie grocery store and subsequently remodeled to a religious use. Exterior features include: stucco & block, plate glass storefronts, and painted concrete, windows are glazed, fixed plate glass in metal frames, and doors are metal with glazed fixed glass set in metal frames. Interior features include; walls are sheetrock covered with paint or wallpaper, floors are ceramic tile, vinyl composition tile, commercial grade, low-pile carpet & sealed concrete, and quarry tile, metal in metal frames, ceilings are suspended lay-in acoustical tiles with inset fluorescent fixtures, eyeball spots, or track spotlighting and ceiling heights area 10' to 16' high.

Site improvements include: concrete-paved parking and drives

Remarks

At the time of sale, this center was vacated by the church and placed for sale. There was approximately \$500,000 in deferred maintenance and repairs required after sale.

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Improved Sale No. 8



Property Identification

Property Type	Retail, Shopping Center
Property Name	Congress Office/Retail Center
Address	800 West Congress Street, Lafayette, Lafayette Parish, Louisiana
Location	Lot 9-1 of Mills Addition, fronting on south side of Congress Street at the NW intersection with Bienville Street near CBD

Sale Data

Grantor	Brien Holdings, LLC
Grantee	G&L Buildings, LLC
Sale Date	April 9, 2019
Deed	N/A #2019-11288
Property Rights	Leased Fee
Financing	Cash Sale
Verification	LACDB #2295671; Other sources: Appraisal Files, Clerk of Court Records
Sale Price	\$580,000
Cash Equivalent	\$580,000

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Improved Sale No. 8 (Cont.)

Land Data

Land Size	0.52 Acres or 22,619 SF
Front Footage	135 ft Total Frontage
Zoning	CH, Commercial District
Utilities	Water, Sewerage, Electricity, Telephone, Natural Gas
Dimensions	135'x 125''
Shape	Rectangular
User	Office/retail
Street Access	Concrete, 4-lane
Drainage	Subsurface

General Physical Data

Building Type	Single Tenant
Gross SF	7,500
Construction Type	Class S
Roof Type	Pitched, Shingle
Foundation	Concrete slab
HVAC	Central
Sprinklers	None
Stories	One
Floor Height	10'
Year Built	1980
Condition	Average
Parking	Concrete

Income Analysis

Potential Gross Income	\$75,000 (\$10.00/sf)
Vacancy	\$7,500 (10%)
Effective Gross Income	\$67,500
Expenses	\$19,070 (\$2.54/sf)
Net Operating Income	\$48,430

Indicators

Sale Price/Gross SF	\$77.33
Floor Area Ratio	0.33
Land to Building Ratio	3.02
Occupancy at Sale	90%
Gross Income Multiplier	7.73
Eff. Gross	8.59
IncomeMultiplier	
Expenses/Sq. Ft.	\$2.54
Overall or Cap Rate	8.35%
Net Operating Income/SqFt	\$6.46

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Improved Sale No. 8 (Cont.)

Building Description

This is a one-story, Class S (metal frame) office & retail center with concrete slab foundation and pitched shingle roof. Exterior features include: walls are stucco, windows are aluminum storefront windows set in metal frames, and doors are glass in aluminum frames and hollow metal in metal frames. Interior features include: walls are painted sheetrock, floors are commercial vinyl & carpet, and ceilings are acoustical tile with inset fluorescent lighting and partial areas being open painted insulated ceilings.

Site improvements include: concrete and some minimal landscaping

Remarks

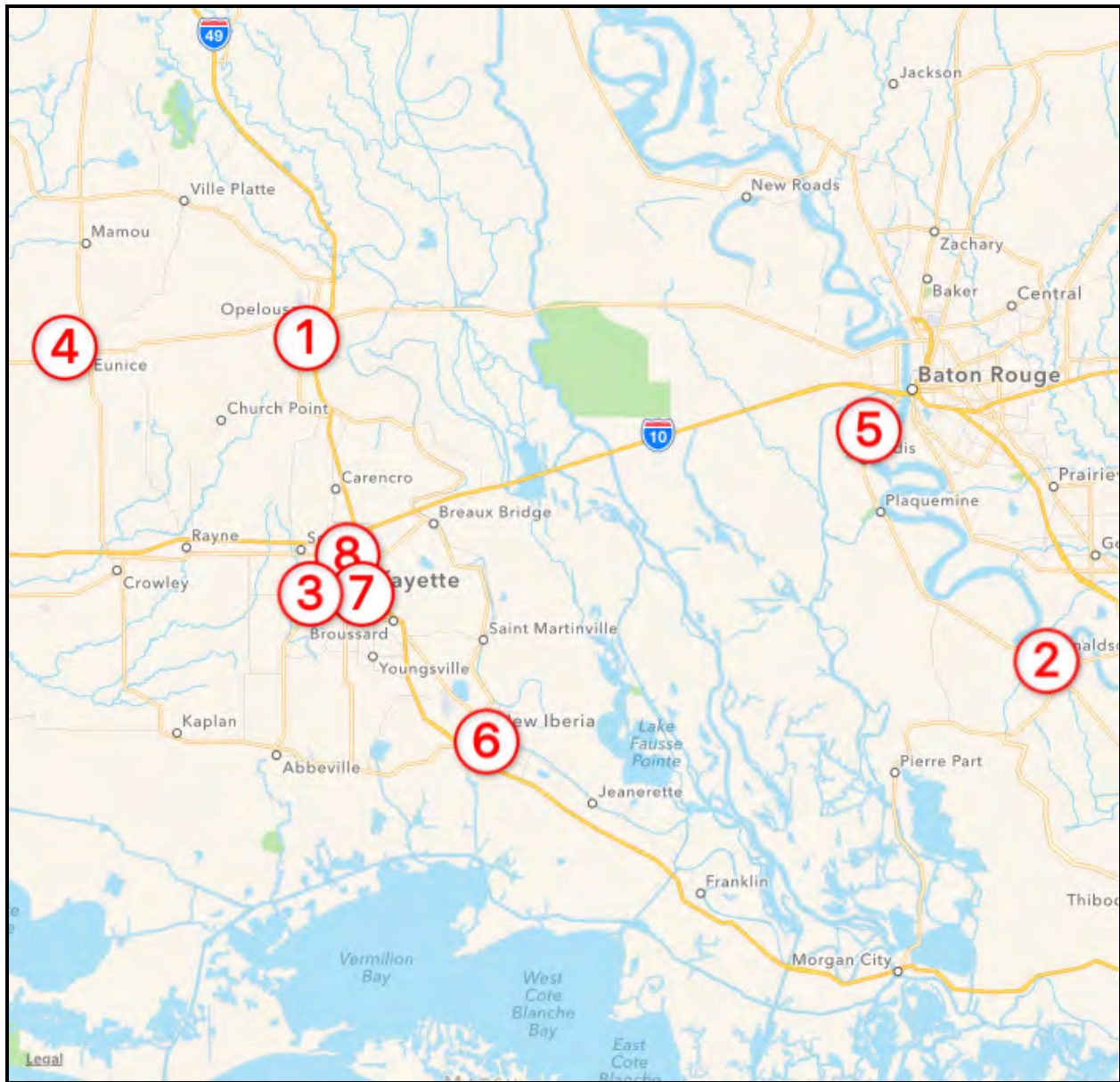
This office & retail center was 90% occupied at the time of the sale by several office and retail uses. The property was originally constructed in 1980's and somewhat near the downtown office area (CBD).

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Location Map of Improved Sales



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SALES COMPARISON SUMMARY

Sale #	Date of Sale	Total Price (CEP)	Total Area	\$PSF Prior Adjust	NOI Per Sq Ft	CAP RATE	EGIM
1	*11/26/2018	\$3,700,000	54,918	\$67.37	\$5.59	8.30%	8.64
2	*1/29/2019	\$3,150,000	29,560	\$106.56	\$8.70	8.17%	8.39
3	*8/24/2018	\$3,475,000	45,783	\$75.90	\$5.68	7.48%	6.92
4	*5/15/2017	\$2,600,000	25,150	\$103.38	\$8.85	8.56%	8.29
5	*3/15/2018	\$4,350,000	39,750	\$109.43	\$9.44	8.63%	8.15
6	*8/9/2018	\$9,100,000	131,630	\$69.13	\$5.93	8.58%	8.75
7	*1/21/2019	\$3,500,000	54,100	\$64.70	\$5.49	8.48%	7.33
8	*4/9/2019	\$580,000	7,500	\$77.33	\$6.46	8.35%	8.59
Low		\$580,000	7,500	\$64.70	\$5.49	7.48%	6.92
High		\$9,100,000	131,630	\$109.43	\$9.44	8.63%	8.75
Mean		\$3,806,875	48,549	\$84.23	\$7.02	8.32%	8.13

In order to estimate the market value of the subject property as developed via the Sales Comparison Approach I used the Effective Gross Income Multiplier (EGIM) method, the Paired-Sales Analysis (Price/SF Method) and the Net Operating Income/SF (NOI/SF) Method. Each method is discussed below.

Effective Gross Income Multiplier Method

The EGIM method entails a fairly simple process. An EGIM is derived by dividing the effective gross income from rentals for each comparable sale by its sales price. The result is a multiplier which can be applied to the subject property. Although a simplistic “rule of thumb” method, EGIM analysis is widely accepted and considered accurate. The income projected for each property sold tends to represent its relatively quality, condition, location, etc. (differences between the comparables and the subject property are reflected in the rental rates being generated). Multipliers derived, thus, do not require adjustment for physical or locational differences. In order to determine an appropriate EGIM for the subject, I analyzed those recent sales.

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All sales appear to warrant particular attention given they were all medium sized retail centers as the subject. The Mean (average) indication of these Effective Gross Income Multipliers is 8.13, while the interior mean is 7.84. I project an Effective Gross Income Multiplier of around 8.00, which is reasonable considering this was the predominate multiplier in the set. The Effective Gross Income of \$881,510 was taken from the Income Approach section for both the existing and proposed centers. The derived projected value for the subject via this method is as follows:

$$8.0 \text{ EGIM} \quad \times \quad \$881,510 \text{ EGI} \quad = \quad \$7,052,080$$

Value Indication by the EGIM Method

\$7,000,000

Paired Sales Analysis (Price Per Square Foot Method)

In the paired sales analysis (price/square foot method), the appraiser makes adjustments to each individual sale to compensate for each sale's differences with the subject property. I considered adjustments based upon market conditions, physical characteristics, property rights conveyed, etc. It was the appraiser's opinion specific adjustments should be made to the comparables based on the following differences; size, location, condition/quality, visibility/access and the passage of time. A brief explanation of each adjustment is discussed below.

Time: Two of the sales were in 2016 and the remaining in 2017 to 2018, which the appraiser considered similar to today as the market has leveled off. Values have been stable pertaining to the retail market within the past few years and the appraiser feels that no time adjustments appear warranted.

Location: The subject property is located in a good size community along the Johnston Street corridor in Lafayette, Louisiana. All sales were deemed similar and as such no adjustments were required for this factor.

Condition/Quality: Obviously, the relative quality and condition comes into an investor's analysis. Properties, which are better quality and in better condition typically sell for higher

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prices per square foot. The subject property will be in average condition after renovations and remodel is complete and good quality construction, which was similar to all sales except for sales 2, 4, 5 & 8, which were deemed inferior. As such, market pairing has indicated that a 10% upward adjustment was required to sales 2, 4, 5 & 8 for the inferior quality and a 20% upward adjustment was required to sale 7 for the inferior condition.

Visibility/Access: All of the comparable sales as well as the subject were considered similar pertaining to this factor, while sales 1, 3 & 8 were deemed inferior. As such, market pairing has indicated a 30% adjustment was required for this factor.

Amenities: The subject as well as all of the comparables had similar amenities and as such no market adjustment appears to be warranted for this factor.

Effective Age: The subject has an effective age of 15 years. Sales 2, 3, 5 & 8 were rated similar while sales 1, 6 & 7 rated inferior and sale 4 was rated superior. The subject as well as the comparables has an economic life span of 40 year and as such appropriate sales were adjusted at a rate of 2.5% per year difference of effective age. Therefore, the above sales were adjusted at -13%, -13%, 25% and 25%, respectively, which seems reasonable and market oriented.

Size: Typically, larger properties sell for less per square foot than smaller properties. This is a basic rule of commerce. Whenever, more commodity is purchased the unit price is generally reduced. Even so, this did not seem to be apparent in the comparables studied as mostly the difference between the sales was related to economics rather than size. Even so, the subject has a total of 62,749 square feet. Sales 1, 3 & 7 were deemed similar to that of the subject, while sale 6 was rated larger and market pairing required a 10% adjustment for this factor. The other sales were deemed smaller in relation to the subject and market pairing has indicated that adjustments ranging from -5% to -10% were warranted for this factor.

Appropriate adjustments were made on the following adjustment grid:

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	SUBJECT	SALE 1	SALE 2	SALE 3	SALE 4	Sale 5	Sale 6	Sale 7	Sale 8
Location	Johnston St Lafayette	Hwy 182 Opelousas	Hwy 3089 Donaldsonville	Johnston St Lafayette	Highway 190 Eunice	Highway 1 Brusly	Lewis St New Iberia	Pinhook Lafayette	Congress Lafayette
Sale Date	Current	*11/26/2018	*1/29/2019	*8/24/2018	*5/15/2017	*3/15/2018	*8/9/2018	*1/22/2019	*4/9/2019
Sales Price (CEP)		\$3,700,000	\$3,150,000	\$3,475,000	\$2,600,000	\$4,350,000	\$9,100,000	\$3,500,000	\$580,000
Building Size (SF)	62,749	54,918	29,560	45,783	25,150	39,750	131,630	54,100	7,500
Overall PSF Value		\$67.37	\$106.56	\$75.90	\$103.38	\$109.43	\$69.13	\$64.70	\$77.33
Adjustments									
Interest Conveyed	Leased Fee	Leased Fee	Leased Fee	Leased Fee	Leased Fee	Leased Fee	Leased Fee	Fee Simple	Leased Fee
Adjustment		\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Price		\$67.37	\$106.56	\$75.90	\$103.38	\$109.43	\$69.13	\$64.70	\$77.33
Financing	Market	Market	Market	Market	Market	Market	Market	Market	Market
Adjustment		\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Price		\$67.37	\$106.56	\$75.90	\$103.38	\$109.43	\$69.13	\$64.70	\$77.33
Sale Conditions	Typical	Typical	Typical	Typical	Typical	Typical	Typical	Typical	Typical
Adjustment		\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Price		\$67.37	\$106.56	\$75.90	\$103.38	\$109.43	\$69.13	\$64.70	\$77.33
Sale Date	Current	*11/26/2018	*1/29/2019	*8/24/2018	*5/15/2017	*3/15/2018	*8/9/2018	*1/22/2019	*4/9/2019
Adjustment		0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Price		\$67.37	\$106.56	\$75.90	\$103.38	\$109.43	\$69.13	\$64.70	\$77.33
Other	Typical	Typical	Typical	Typical	Typical	Typical	Typical	Typical	Typical
Adjustment		\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Price		\$67.37	\$106.56	\$75.90	\$103.38	\$109.43	\$69.13	\$64.70	\$77.33
Other Adjustments									
Location	Average	Average	Average	Average	Average	Average	Average	Average	Average
		0%	0%	0%	0%	0%	0%	0%	0%
Quality/Condition	Good/Ave	Similar	Inferior	Similar	Inferior	Inferior	Similar	Inferior	Inferior
		0%	10%	0%	10%	10%	0%	20%	10%
Visibility/Access	Average	Inferior	Similar	Inferior	Similar	Similar	Similar	Similar	Inferior
		30%	0%	30%	0%	0%	0%	0%	30%
Amenities	Average	Similar	Similar	Similar	Similar	Similar	Similar	Similar	Similar
		0%	0%	0%	0%	0%	0%	0%	0%
Effective Age	15	Inferior	Similar	Similar	Superior	Similar	Inferior	Inferior	Similar
		13%	0%	0%	-13%	0%	25%	25%	0%
Size (SF)	62,749	54,918	29,560	45,783	25,150	39,750	131,630	54,100	7,500
		0%	-5%	0%	-5%	-5%	10%	0%	-10%
Composite Adjustment:		43%	5%	30%	-8%	5%	35%	45%	30%
Overall PSF Value		\$96.34	\$111.89	\$98.67	\$95.11	\$114.90	\$93.33	\$93.82	\$100.53
Low	\$96.34								
High	\$114.90								
Mean	\$100.57								

Each of the sales discussed contained some degree of similarity to the subject. Consideration was given to factors affecting the value of each sale as compared to the subject. Even so, each center should command a price PSF between \$96.34 PSF and \$114.90 PSF, with the subject having some similarities to all of the sales. Based upon the most comparable sales and the average and median indications, I projected the market value of each center at \$100 PSF. Therefore, the value is indicted as follows;

$$62,749 \text{ NRA SF} \times \$100 \text{ PSF} = \$6,274,900, \text{ say}$$

\$6,275,000.00

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Net Operating Income/Square Foot (NOI/SF) Analysis

In the NOI/SF method, adjustments to individual sales are made to compensate for differences from the subject property. Deferred maintenance (needed repairs), rent-up to stabilized occupancy or market rentals (losses attributable to deficit occupancy or rentals), terms of sale (cash vs. owner financing) and interest conveyed (fee simple vs. leased fee) are considered and, when applicable, direct adjustments made. Non-arm's length sales are discarded from the analysis. Further adjustments are then made to the comparables for the following differences: date of sale (time), size, location, quality and condition.

Proper adjustments for differing characteristics are best supported by paired sales analysis. This requires isolation of the differing characteristics and extraction of the resulting differences in price, usually represented as a percentage of the otherwise adjusted sale price. Isolation of differing characteristics is often very difficult to accomplish and application of judgment is required (i.e. subjective adjustments are applied).

Investors typically base their purchasing decisions upon an asset's ability to produce operating income. The subject is an investor-oriented, income-producing property. A stabilized annual NOI/SF (as gauge of earning ability) was projected for each of the comparable properties. In the Income Approach, a stabilized NOI of \$570,498 was projected for the subject. Based upon the net rentable area of 62,749 SF, an NOI/SF of \$9.09 is projected for the subject.

By dividing the projected NOI/SF for the subject property by the projected NOI/SF for each of the comparable properties, adjustment multipliers can be extracted. These multipliers incorporate the net adjustments for all of the differing characteristics (size, location, quality, condition, etc.). As the price/square foot for each of the comparables reflects status and the pro forma maintenance expenditures projected for each reflects the age/condition of the structures, the stabilized NOI/SF for each provides an appropriate basis for comparison.

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Note that as typical investors are expected to project a 5-year horizon/holding period, variances in estimated remaining economic lives for individual properties become irrelevant (assuming sufficient economic life remains that reversionary cash flows are unaffected). By applying the multipliers to each of the unadjusted sales prices per square foot for the comparable properties, a range of adjusted values per square foot for the subject property can be extracted.

The methodology is applied to the subject property and presented on the following grid;

Sale #	Projected NOI/SF Sale	Projected NOI/SF Subject	Adjustment Factor	Unadjusted \$/SF	Adjusted \$/SF
1	\$5.59	\$9.09	1.63	\$67.37	\$109.55
2	\$8.70	\$9.09	1.04	\$106.56	\$111.34
3	\$5.68	\$9.09	1.60	\$75.90	\$121.47
4	\$8.85	\$9.09	1.03	\$103.38	\$106.18
5	\$9.44	\$9.09	0.96	\$109.43	\$105.37
6	\$5.93	\$9.09	1.53	\$69.13	\$105.97
7	\$5.49	\$9.09	1.66	\$64.70	\$107.13
8	\$6.46	\$9.09	1.41	\$77.33	\$108.81
					<i>Low</i> \$105.37
					<i>High</i> \$121.47
					<i>Mean</i> \$109.48

After the process is applied, both the mean and median indications support a value of the subject property between \$105.37 and \$121.47 PSF. Therefore, I projected market value for the subject at around \$110 PSF. Therefore;

$$62,749 \text{ SF} \times \$110 \text{ PSF} = \$6,902,390,$$

say **\$6,900,000.00**

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Reconciliation of the Sales Comparison Approach

These three methods must be reconciled into a final estimate of value via the Sales Comparison Approach. Each method indicated the following results:

Indicated Value via EGIM method

Indicated Value via Paired Sales Analysis

Indicated Value via NOI/SF method

These methods indicated a relatively tight range of conclusions. The following is a recap of the three methods utilized within the Sales Comparison Approach;

Overall PSF Method	\$6,275,000
NOI PSF Method	\$6,900,000
EGIM Method	\$7,000,000
<i>Average of All Methods</i>	<i>\$6,725,000</i>

The Overall PSF method resulting in a value of \$6,275,000, the NOI/SF method resulting in a value of \$6,900,000 and the EGIM method resulting in a value of \$7,000,000. The appraiser feels that the value should be concluded via all three methods and as such a market value estimate of **\$6,725,000** does not appear unreasonable, considering all factors. Hence, the estimated value by this approach is concluded as follows:

Prospective Market Value of the Leased Fee Interest Indicated by the Sales Comparison Approach

(Indicated Value of the Leased Fee Interest Via Sales Comparison Approach Analysis, As Developed & Stabilized)

\$6,725,000.00

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THE INCOME APPROACH

Briefly stated, the **Income Approach** in this case involves **a)** estimation of the economic rental rate applicable to the subject property by comparison to similar retail strip facilities within the local and regional market areas, **b)** estimating the vacancy and collection loss by comparison of similar properties, **c)** estimating operating expenses incurred, which involves review of the subject's historical expenses and comparison of operating expenses from similar properties, **d)** estimation of a proper discount, or yield rate that reflects current economic conditions and investor criteria, and lastly **e)** utilization of a capitalization method that equates the more valuable present dollars with the future dollars. Considering the subject property type, it's projected market occupied status of 90% by end of year 1 and my anticipation of no rent escalations during the holding period, I have selected the direct capitalization method at stabilization as being most applicable method for market value. Also, the center currently has a 22% vacancy as of effective date of the report. Two weeks prior to the inspection date, the center had a 29% occupancy, which indicates two spaces were leased within the past two weeks. Obviously, due to the age, location and historical presence of the center, it is anticipated that the center should be leased to market vacancy rates of 10% in under one year time frame, which is noted under the three possible leasing scenarios as following;

Space (s) Vacant at end of Year 1				
Location	NRA/SF	Scenario 1	Scenario 2	Scenario 3
Suite 101	6,877		6,877	
Suite 103	3,031	3,031		3,031
Suite 105	2,222	2,222		2,222
Suite 119	1,982			1,982
Total Vacant SF	14,112	5,253	6,877	7,235
Total NRA SF	62,749	62,749	62,749	62,749
% Vacancy	22.49%	8.37%	10.96%	11.53%
Low	8.37%			
High	11.53%			
Mean	10.29%			

Currently, the center has ±14,112 SF of rentable space vacant or 22.50%. Due to the recent leasing of the two spaces in the center within a couple of weeks marketing, the appraiser has supplied above three vacancy scenarios for the center to determine the possibility of reaching market indicated vacancy of 10%. Vacant spaces remaining at end of year 1 for Scenario #1 is ±5,233 SF or 8.37% vacancy; Scenario #2 is ±6,877 SF or 10.96% vacancy and Scenario #3 is ±7,235 SF or 11.53% vacancy. The mean of the scenarios is 10.29%, so the appraiser feels that the center should easily sustain market vacancy of 10% by end of year 1.

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INCOME PROJECTIONS – The subject property is currently leased at what the appraiser considers to be near stabilized market rents. The projected rent roll indicates the base rent to be \$803,759 annually or \$12.81 PSF. The center has been in place since 1976 with spaces added in 2008 and now proposed renovations in 2019. The majority of the tenants (65%) have been at the center for 5+ years. To estimate the proper market rental rate for the subject, research was conducted to disclose current rental rates of similar type facilities within the market. The data compiled in this survey was obtained by interviews with property owners, leasing agents, appraisers, etc. and parties knowledgeable with the respective properties. Following is the current rent roll from the owner for the center; three year income & expenses for center as well as following will be the appraiser's projected estimated rents prior to tenant reimbursements:

Current Rent Roll as Provided by Owner (Oct-2019)

ADDRESS	TENANT	SQFT	BASE	CAM	TAX & INS	TOTAL PSF	TOTAL MONTHLY PAYMENT	ORIGINAL LEASE DATE	CURRENT LEASE DATE	LEASE TERM EXPIRATION
101 - 103	Brother's Women's	6,800	\$ -	\$ -	\$ -	\$ -	\$ -			1/31/2020
103	Brother's Men's	3,108	\$ -	\$ -	\$ -	\$ -	\$ -			1/31/2020
105	VACANT	2,222	\$ -	\$ -	\$ -	\$ -	\$ -			
107	Hershey's	1,743	\$ 12.50	\$ 1.35	\$ 2.60	\$ 16.45	\$ 2,389.36	09/25/03	04/01/19	3/32/22
109 - 115	Caroline and Co	8,974	\$ 10.62	\$ 1.58	\$ 0.79	\$ 12.99	\$ 9,714.36	09/01/00	04/01/12	07/31/20
117	The Clothing Loft	2,170	\$ 12.50	\$ 1.35	\$ 1.15	\$ 15.00	\$ 2,712.50	12/01/09	05/01/17	04/30/20
117 1/2	Victoria Nails	1,769	\$ 12.50	\$ 1.35	\$ 1.15	\$ 15.00	\$ 2,211.25	08/23/10	03/01/17	02/29/20
119	VACANT	1,982					\$ -			
119 1/2	Cat Clinic of Lafayette	1,974	\$ 12.50	\$ 2.10	\$ 1.85	\$ 16.45	\$ 2,706.03	10/01/19	10/01/19	03/31/23
121	Lola Pink Fabrics Class	1,709	\$ 12.50	\$ 2.10	\$ 1.85	\$ 16.45	\$ 2,342.75	06/01/19	06/01/19	10/31/22
123	Lola Pink Fabrics	3,563	\$ 12.50	\$ 2.00	\$ 0.50	\$ 15.00	\$ 4,453.75	05/01/11	05/01/18	04/30/22
125	Elle Rae Boutique	1,735	\$ 12.50	\$ 2.10	\$ 1.85	\$ 16.45	\$ 2,378.40	11/08/16	02/01/19	01/31/22
127	Mix It UP	2,538	\$ 12.50	\$ 2.10	\$ 1.85	\$ 16.45	\$ 3,479.18	07/01/16	12/31/18	12/31/19
129	Oupac	1,789	\$ 12.50	\$ 1.35	\$ 2.60	\$ 16.45	\$ 2,452.42	06/01/13	06/01/19	05/31/22
131-133	Sneaker Politics	3,179	\$ 12.50	\$ 1.35	\$ 1.15	\$ 15.00	\$ 3,973.75	01/20/14	09/01/17	08/31/20
135 - 135B	Politics	3,160	\$ 12.50	\$ 1.35	\$ 1.15	\$ 15.00	\$ 3,950.00	08/01/15	08/01/15	03/31/21
137	Elle Rae Warehouse	2,053	\$ 12.50	\$ 1.35	\$ 1.15	\$ 15.00	\$ 2,566.25	11/01/17	11/01/17	10/31/20
139-141	Dealer Track	3,834	\$ 13.25	\$ 2.00	\$ 0.50	\$ 15.75	\$ 5,032.13	11/01/10	11/01/14	04/30/20
143	Franklin Financial Group	1,917	\$ 16.00	\$ 1.35	\$ 1.15	\$ 18.50	\$ 2,955.38	09/01/15	09/01/15	01/31/21
145	Next Level Fitness	1,917	\$ 15.00	\$ 2.10	\$ 1.85	\$ 18.95	\$ 3,027.26	10/01/19	10/01/19	01/31/23
149	Jason Deli	4,613	\$ 14.00	\$ 1.35	\$ 1.15	\$ 16.50	\$ 6,342.88	06/30/00	11/01/10	10/31/20
		62,749					\$62,687.63			
	Renewal Executed									
139-141	Dealer Track	3,834	\$ 13.25	\$ 2.10	\$ 1.85	\$ 17.20	\$ 5,495.40	11/01/10	05/01/20	04/30/23

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3 Year Historic Income & Expense for Subject*

	2018	2017	2016	3 Yr Average
Rental Income*	\$623,659	\$640,434	\$597,272	\$620,455
Tenant Reimbursements	\$123,318	\$123,036	\$120,625	\$122,326
Total Income	\$746,977	\$763,470	\$717,897	\$742,781
Expenses	\$282,878	\$285,500	\$263,675	\$277,351
Net Operating Income (NOI)	\$464,099	\$477,969	\$454,222	\$465,430

*Excludes Income from Anchor tenant which is also center owner

Typically retail leases are on a triple net basis in which the lessee is responsible for all operating expenses associated with the subject property. In the subject's case the leases are also triple net leases. In researching comparable rental properties with which to compare to the subject property, it was discovered that there are several ways in which rent is derived for retail leases;

- Percentage Rent Based Upon Construction Costs,
- Percentage Rent Based Upon Gross Sales, and
- Rent Per Square Foot

For Purposes of this appraisal, the methods utilized to estimate the market rent of the subject property will be two of the three methods. As a result, I will view the perspective rental based on a percentage of costs and rent per square foot.

Percentage Rent Based Upon Construction Costs

Typical retail properties sometimes have rent tied to actual construction costs, as developers and tenants understand that rents are sometimes tied to such costs. Conversations with local and national developers as well as the corporate real estate departments of national tenants, have indicated that most developers require rent in the 8% to 15% range to where the percentage rent allows for developers profit as well as the percentage rent not usually 1-3% over construction costs. One must consider the depreciated cost, including building, site improvements but without furniture, fixtures and equipment (FF&E). The appraiser believes that the subject's base rent could be tied to actual construction costs, especially in the case of proposed construction, were historical sales data do not exist. Such is not the case with the subject, however still reliable by investors. Typical developers have based the rent on 12% of construction costs, which is easily within the range previously discussed and around 3% above the overall rate of 9%. Conversations with retail developers indicate rental ratios in the 10-15% range. As such, I have applied a rent ratio of 12% of costs for the annual rental rate, which seemed reasonable and

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supportable considering the supportable. The depreciated construction costs noted by the developer was \$6,533,000 and includes the appraised site costs. As such, the rental rate for the subject via the percentage based upon depreciated construction costs is as follows:

$$\$6,533,000 \times 12\% = \$783,960$$

It is important to note that the rental rates reflected by all of the comparables are net rental rates. In other words, expenses such as taxes, insurance, maintenance, etc. are being paid by the tenant.

Per Square Foot Method

I will now view the perspective rental based on a rent per square foot, which is typically accomplished in similar retail centers. The appraiser will utilize the rental information provided within the sales comparison approach as well as local rentals and base the rent on an average of the per square foot basis. Even so, these are national tenants and the rents are determined by several factors one of which is the type and size of the market all of which is summarized as follows:

Summary of Rent Comparables			
Sale	Description	Sales Price	Rent\$/SF
1	Opelousas	\$3,700,000	\$8.66
2	Donaldsonville	\$3,150,000	\$12.70
3	Lafayette	\$3,475,000	\$10.00
4	Eunice	\$2,600,000	\$13.86
5	Brusly	\$4,350,000	\$14.60
6	New Iberia	\$9,100,000	\$8.40
7	Lafayette	\$3,500,000	\$9.00
8	Lafayette	<u>\$580,000</u>	<u>\$10.00</u>
	Low	\$580,000	\$8.40
	High	\$9,100,000	\$14.60
	Median	\$3,806,875	\$10.90

The subject should have a stabilized annual rent of \$803,759 or \$12.81 PSF. This is prior to tenant reimbursements, which was estimated at \$2.80 PSF. Therefore the subject's total potential gross rents (including tenant reimbursements) would be \$979,456. The leases were based on rent structures off similar centers in the Lafayette area with several tenants already in place. Even so, it appears that the subject's current and the proposed rents will be at market at this time and is easily supported from the comparables provided. Also, even though some leases will renew within a typical holding period, investors typically apply current lease rates and rely on upside potential for greater returns. This is typical for the market and especially since the subject will have the several lease terms in place until 2020-2022. Even so, the appraiser located four shopping centers nearby the subject, which are noted as follows;

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On The Boulevard Shopping Center Rent Comparables						
	Name/Location	Yr Built	Size (sf)	Occ (%)	Rent/sf	
S	On The Boulevard Center 101-149 Amould Blvd Lafayette, LA	1976-2008	62,749	72.0%	\$10.62	\$16.00
1	Westmark Center 2480 Congress Lafayette, LA	1975	38,750	96.0%	\$7.00	\$14.00
2	Winnwood Center 2900 Johnston Street Lafayette, LA	1972-2010	64,804	90.0%	\$9.00	\$16.00
3	Boulevard Center 100-128 Amould Blvd Lafayette, LA	1976-2005	58,230	100.0%	\$10.00	\$15.00
Averages			56,133	89.5%	\$9.16	\$15.25

Photographs of Local Rent Comparables



Rental #1

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Rental #2



Rental #3

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The local leases ranging from \$7 PSF to a high of \$16 PSF or an average of around \$11.50 PSF. With operating expenses ranging from \$3.60 PSF to \$5.88 PSF or an average of \$4.74 PSF. With that being said the appraiser will utilize the direct capitalization method in determining the market value in the subject's case since the subject is projected to be 90% occupied by the end of year 1. However, the subject is proposed with renovations and upgrades, including renovating vacant tenant spaces, which will allow more marketing time to lease the vacant spaces and further support the conclusion that the subject will be easily stabilized at 90% occupancy at end of year 1.

Also being noted is that the 65% of the tenants have been at the center for 5+ years due to the high traffic count and profitability. As such, there is a very high probability of lease renewals due to the profitability at the subject's location. Most similar properties in the market at this time are utilizing triple net leases, where there are no landlord responsibilities so all rents are net to the owners as this is the case for the subject. Therefore, the subject's potential gross stabilized rent was determined to be **\$803,759 per year** or \$12.81 PSF, with support from the cost method and the rent per square foot method and is the best reflection of the ability of the subject to generate income. As such, the subject's contract & projected rents were determined to be at market rent and therefore will be utilized.

Based upon this, I projected the following net operating income assuming the supplied signed lease documents are accurate and current.

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	NRA (SF)	% SPACE	\$/SF	YEAR 1
Gross Income:				
Suite 101-Vacant	6,877	10.96%	\$15.00	\$103,155
Suite 103-Vacant	3,031	4.83%	\$12.50	\$37,888
Suite 105-Vacant	2,222	3.54%	\$11.50	\$25,553
Suite 107-Hershey's	1,743	2.78%	\$12.50	\$21,788
Suite 109-Caroline & Co	6,804	10.84%	\$10.62	\$72,258
Suite 115-Caroline & Co	2,170	3.46%	\$10.62	\$23,045
Suite 117-The Clothing Loft	2,170	3.46%	\$12.50	\$27,125
Suite 117 1/2-Victoria Nails	1,769	2.82%	\$12.50	\$22,113
Suite 119-Vacant	1,982	3.16%	\$12.50	\$24,775
Suite 119 1/2-Cat Clinic of Lafayette	1,974	3.15%	\$12.50	\$24,675
Suite 121-LOLA Pink Fabrics	1,709	2.72%	\$12.50	\$21,363
Suite 123-LOLA Pink Fabrics	3,563	5.68%	\$12.50	\$44,538
Suite 125-Ella Rae Boutique	1,735	2.76%	\$12.50	\$21,688
Suite 127-Mix It Up	2,538	4.04%	\$12.50	\$31,725
Suite 129-Oupac	1,789	2.85%	\$12.50	\$22,363
Suite 131-Politics Sneakers	3,179	5.07%	\$12.50	\$39,738
Suite 135-Politics Sneakers	3,160	5.04%	\$12.50	\$39,500
Suite 137-Ella Rae Boutique	2,053	3.27%	\$12.50	\$25,663
Suite 139-Dealer Track	1,917	3.06%	\$13.25	\$25,400
Suite 139-Dealer Track	1,917	3.06%	\$13.25	\$25,400
Suite 143-Franklin Financial	1,917	3.06%	\$16.00	\$30,672
Suite 145-Next Level Fitness	1,917	3.06%	\$15.00	\$28,755
Suite 149-Jason Deli	4,613	7.35%	\$14.00	\$64,582
Net Rentable Area (NRA)	62,749	100.00%		\$803,759
Plus Tenant Reimbursements (T,I,CAM)			\$2.80	\$175,697
Potential Gross Income				\$979,456

Explanation of Expense Projections

Vacancy and Collection Losses: The subject is oriented toward both local and national tenants due to the fact that the subject area is in high demand at this time. Stabilized vacancy and collection losses are currently and projected to be near 10%. The projection of 10% stabilized is based on discussion with Mr. Billy Hoffpauer with Marcus & Millichap, Mr. Mark Hebert with Kurtz & Hebert, Ms. Dottie Tarelton with Stirling Properties, Mr. Beau Box with Beau Box Commercial Real Estate and Seth Citron with Stirling Properties. All own, manage, sell and/or lease competing buildings throughout the Louisiana market area. Most property management professionals interviewed indicated that a stabilized allowance of 2% to 15% over a 5-year holding period is reasonable, however as per the previously noted scenarios by the appraiser and high probability of renewal for the existing tenants that include a combination of national and local tenants and being the center is proposed to be at 90% occupancy, a 10% rate also seems appropriate.

Observation of competing buildings, interviews with active leasing agents in the area, and review of published data notes a small inventory of available space in the immediate corridor. A Survey of Shopping Centers in Baton Rouge, prepared by Dottie Tarelton of Stirling Properties for the Real

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Estate Research Institute in the College of Business Administration at Louisiana State University (LSU) reported vacancies in the southern Louisiana area for older shopping centers (defined as those built prior to 1995) at 8.05%. A slightly higher vacancy allowance is likely appropriate for the subject, being it will be 78% occupancy by December (with closing of Brothers) but should be leased to 90% within the end of year 1 due to the proposed renovations. Visual observations at several nearby centers indicated that 4 of 5 similar centers were near or above 90% occupancy. Based on this data and projection of 1% to account for collection/credit losses and potential losses during re-leasing of the subject's spaces (as leases expire and must be renewed or replaced) is reasonable. The appraiser feels that due to a reasonable price in the lease terms as well as the fact that the subject is in a strong market along the Johnston Street corridor, the majority of these tenants will likely be renewed and the business in the center and area remains strong, further supporting the likely hood of renewals to occur. The subject is along Johnston Street, which is on a well-traveled highway. Demand for additional similarly-positioned space is still considered strong considered the quick absorption time. The allowance is reasonably supported. The rent comparables presented earlier provide further support, with minimal reported vacancies in the retail spaces. The combined 10% stabilized vacancy & collection loss allowance applied to the subject is reasonable and appropriate.

Property Taxes: The subject's projected taxes are estimated to be near to \$56,000, which is \$0.90 PSF and similar to other centers in the area. A transaction-based adjustment in assessment for the subject would not be in order since the subject is not being sold, mass appraised and similar to other centers similar in age and size and location. Therefore, the appraiser will utilize the projected tax figure noted above in this analysis, as this is what a typical purchaser would do in similar circumstances.

Insurance: Insurance expenses are projected to at \$1.00 PSF (or \$62,000 per year), based on the average (\$0.35 PSF) and median (\$0.25 PSF) figures published in *Dollars and Cents* and those of the competing properties reviewed (the average for 8 similar south Louisiana properties was \$0.97 PSF) and the subject's historical insurance premiums, which was estimated at \$62,000.

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Management/Leasing: A charge for managerial efforts should be applied whether expended by ownership or paid to management professionals. Management fees can be based on base rental collections or total collections (including expense reimbursements). Discussions with property management professionals, review of the *Dollars and Cents of Shopping Centers* figures (median management fees for neighborhood centers in Southern U.S. were 4.09% of collections), and review of expense experience for competing properties indicate that 1-4% of EGI (total collections, including expense reimbursements) is reasonable allowance for management costs.

A projection of 4% (of base rental collections) is concluded appropriate for the subject. A 4% figure for management fees, which equates to \$0.56 PSF, is projected for the subject property especially since the subject is being leased to twenty-three tenants. This is consistent with the average reported in the competing local properties. In addition, even though the subject is owner leased as well as managed, this fee would be considered by the typical investor and therefore the management fee of 4% seems reasonable and market oriented.

Bone Structure Maintenance: *Dollar and Cents of Shopping Centers* reports a mean of \$0.88 PSF and a median of \$0.95 PSF for structural building maintenance (foundations, exterior walls, etc.) in neighborhood shopping centers throughout the Southern U.S. Based upon the experience of competing properties and the *Dollars and Cents of Shopping Centers* data, with consideration of the subject's age and its type and quality of construction, annual bone structure maintenance expense of \$1.25 PSF is projected for the subject in stabilized operating status due to the age including the proposed remodel.

A reserve for replacement account should be established to replace and repair items, which will wear out faster than the building structure. These items consist of roofs, air conditioning units, etc. In order to calculate a reserve for replacement account, the appraiser must calculate the cost to repair and replace these items and estimate their actual physical lives. The physical life is divided into the cost to produce an annual reserve estimate.

Note, however, that neither the competing properties nor the *Dollars and Cents of Shopping Centers* reported a reserve allowance or other such line item/allocation. Replacement of capital

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items is treated as a maintenance expense to minimize taxable income during the year of the expenditure. Review of accounting for similar properties, discussion with owners and managers of competing properties, and review of the *Dollars and Cents* accounting indicates this practice to be typical. The allowances for structural maintenance and repairs, thus is deemed to include the replacement of short-lived capital items. While a replacement reserve is recognized, it is reflected in the maintenance expense projections. The maintenance charge not expended in a particular year is assumed applied to reserves (i.e., a stabilized allocation supports accrual of replacement reserves). As such, no additional allowance for reserves is applied (beyond the expense already projected).

Common Area Maintenance (CAM): *Dollars and Cents of Shopping Centers* indicate a mean of \$1.03 PSF and a median of \$1.79 PSF for CAM charges (common area maintenance, including trash removal and common area utilities) in neighborhood centers in the Southern U.S. When negotiated on a fixed basis, pre-paid CAM reimbursements (including common utilities) of \$0.75 to \$2.50 PSF have historically been quoted/charged in the competing properties. Stabilized CAM charges consistent with the range noted in the comparable data is a reasonable expectation. Based upon the experience of the competing properties and the *Dollars and Cents of Shopping Centers* data, annual CAM expenses of \$1.00 PSF are projected for the subject in stabilized operating status, considering the anchor tenant handles the majority of this expense.

Administrative/Miscellaneous Expenses: These include legal, accounting, bank charges, office and general items, etc., that are inevitably incurred (or imputed) by a property owner. Based on review of the *Dollars and Cents* data (mean indication of \$0.25 PSF for “professional fees” and “other general & administrative” and a median of \$0.20 PSF) and actual expenses for competing retail properties (the miscellaneous expenses for which were include in the CAM expense line item), an annual allowance of \$0.25 PSF for non-reimbursable administrative/miscellaneous expense items is supported.

Total Expenses: The projected operating expenses for the subject property total \$311.356 or \$4.96 PSF. The projected operating expense ratio is 35.32%. The local expense comparables reported averaging operating expense ratios and expense/SF of 30% and \$4.25 PSF, respectively. The 118

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neighborhood shopping centers in the Southern U.S. analyzed in Dollars and Cents reported total expenses ranging from \$2.08 to \$5.22 PSF, with a mean of \$3.89 PSF and a median of \$3.93 PSF. A median operating expense ratio of 30.8% was also reported. The subject's historical operating expense PSF is slightly above than the average as well the median figures indicated by the comparable data. The total expense projection for subject is conservative and reasonably supported.

Tenant Improvements: The subject property will not have tenant improvements, per the owner and concurred by the appraiser, as any space would easily be ready for another tenant after an expiration of the lease, especially due to the proposed renovations and remodel. Even so, due to the short typical holding period of 5 years this factor would not typically come into play as small portion of future tenant improvements is already accounted for in some of the expenses. Following is a recap of the expenses;

Potential Gross Income		\$979,456
Less Vacancy & Allowance	10.00%	<u>(\$97,946)</u>
Effective Gross Income	\$9.09	\$881,510
Less Expenses		
Real Estate Taxes	\$0.90	<u>(\$56,474)</u>
Insurance	\$1.00	<u>(\$62,749)</u>
Management	\$0.56	<u>(\$35,260)</u>
Bone Structure Maintenance & Reserves	\$1.25	<u>(\$78,436)</u>
Common Area Maintenance	\$1.00	<u>(\$62,749)</u>
Administrative/Miscellaneous	\$0.25	<u>(\$15,687)</u>
Total Operating Expenses	<u>\$4.96</u>	<u>(\$311,356)</u>
Net Operating Income	\$9.09	\$570,498

The next step in the Income Approach is to determine the capitalization rate.

CAPITALIZATION

According to The *Dictionary of Real Estate Appraisal*, Page 93, direct capitalization is defined as “the capitalization method used to convert an estimate of a single years’ income expectancy or an average of several years’ income expectancies into an indication of value in one step, either by dividing the income estimate by an appropriate rate or by multiplying the income estimate by an appropriate factor.”

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In the capitalization process, the appraiser determines one or more levels of the subject income that this particular type of property is likely to earn over the typical ownership period. Next, the appraiser determines the relationship of the potential future income stream to the market value of the income stream. This relationship is usually expressed in the form of a capitalization rate, which will allow the conversion of the potential net operating income into an indication of value.

There are many capitalization methods and techniques, which may be employed by the appraiser to determine the subject's relationship of potential net income to market value. The type of method used must relate to the market view of this particular type of real estate's income and value. The type of investment property, whether the subject is a warehouse, apartment, or shopping center, has a bearing on the capitalization rate. The quantity, quality and expected durability of the subject's estimated income stream must be considered, as well as the subject's potential for capital appreciation or depreciation at the end of the probable ownership period. In the purchase of income producing real estate, profit or yield rates are determined not only by the collection of period net income but also by the amount of the net proceeds or the resale of the property at the end of the holding period. The ability of the purchaser to receive a return of his invested capital and the ability of the purchase to receive the return of his capital investment must both be considered.

The type and quality of the subject's income stream is paramount in the selection of the capitalization rate. All investments are in competition with one another. An investor must choose between bank securities, savings and loans, stocks, bonds, real estate and a variety of all manner of free enterprise projects. The rate that is chosen depends on the risk of return on any or all capital investments. An investor must be aware of the investment's safety, reliability of yield, marketability and duration of capital involvement, and freedom of management, as well as potential for future gain and tax advantages. In real estate, the two major factors that must be considered are burden of management and lack of liquidity. All of the above factors are summarized into a capitalization rate that applies to the subject's income stream and gives the subject's improvement's value in the free enterprise system. Within this report, the appraiser will utilize several methods to appraise the value of the subject's income stream.

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Direct Capitalization

There are several methods for estimating a capitalization rate for the subject property. These include derivation from comparable sales, derivation from effective gross income multipliers, band of investment-mortgage and equity components, etc. The appraiser will use each of these techniques for valuing the subject property.

Derivation from Comparable Sales – The appraiser will use the sales utilized in the Sales Comparison Approach create hypothetical potential rental income to determine the capitalization rate for the subject. The rental for each comparable was estimated based on the general improvements of each sale, as well as other market factors. The following overall rates have been extracted from the Sales Comparison section of the report.

Sale #	Date of Sale	Total Price (CEP)	Total Area	\$PSF Prior Adjust	NOI Per Sq Ft	CAP RATE	EGIM
1	*11/26/2018	\$3,700,000	54,918	\$67.37	\$5.59	8.30%	8.64
2	*1/29/2019	\$3,150,000	29,560	\$106.56	\$8.70	8.17%	8.39
3	*8/24/2018	\$3,475,000	45,783	\$75.90	\$5.68	7.48%	6.92
4	*5/15/2017	\$2,600,000	25,150	\$103.38	\$8.85	8.56%	8.29
5	*3/15/2018	\$4,350,000	39,750	\$109.43	\$9.44	8.63%	8.15
6	*8/9/2018	\$9,100,000	131,630	\$69.13	\$5.93	8.58%	8.75
7	*1/21/2019	\$3,500,000	54,100	\$64.70	\$5.49	8.48%	7.33
8	*4/9/2019	\$580,000	7,500	\$77.33	\$6.46	8.35%	8.59
Low		\$580,000	7,500	\$64.70	\$5.49	7.48%	6.92
High		\$9,100,000	131,630	\$109.43	\$9.44	8.63%	8.75
Mean		\$3,806,875	48,549	\$84.23	\$7.02	8.32%	8.13

The above comparable indicate a range of rates between 7.48% and 8.63%. The mean (average) is 8.32%. Applying this range to the subject's net operating income of \$570,498 indicates a range of \$6,610,637 to \$7,626,979. Therefore, it is the appraiser's opinion that an overall capitalization rate of about 8.30% (mean) is justified for the subject and is supported by the data utilized in this analysis.

Derivation From Band of Investment – This method develops an overall capitalization rate that is weighed by the mortgage and equity components. In this capitalization rate the appraiser considered that most real estate values are influenced by the usual mortgage portion of the

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investment. Most investors leverage their investments with borrowed money and place only a small portion of their own equity into real estate. This approach analyzes the overall rate on the basis of capital structure, which consists of mortgage and equity. The mortgage is typically the larger of the two components. The available mortgage terms can easily be determined in the market. The cost of the mortgage portion of the overall rate is usually reflected in the mortgage constant. In an effort to determine the market cost of a mortgage, the appraiser surveyed several lending institutions within the Baton Rouge metropolitan area. The appraiser has analyzed the quotes from the lending institutions. Basically, it is the appraiser's opinion that an interest rate of about 5.00% could be obtained with an amortization period of 15 years, and a 5-year call and a loan-to-value ratio of 80%.

A debit coverage ratio of 1.25 would be most likely be utilized along with a 1% origination fee. After applying the previous quotes, a mortgage constant of 0.09490 equates. Next, the appraiser will consider the equity portion (20%), which is the investor's equity return requirement. The equity amount is multiplied by a market-oriented equity dividend rate. With the extent of construction of office/warehouse properties in the area and relatively low supply, equity dividend rates have fallen significantly. According to *The Dictionary of Real Estate Appraisal*, Page 456, equity dividend rate or equity capitalization rate is defined as "an income rate that reflects the relationship between a single year's pre-tax cash flow expectancy and the equity investment." As a result, the appraiser feels that an equity dividend rate of around 10% seems reasonable. Therefore, the following summary applies:

Mortgage:	0.80 (LTV) x 0.09490 (Mortgage Constant)	= 0.07592
Equity:	0.20 (Equity) x 0.01000 (Equity Dividend Rate)	= 0.02000
Overall Rate:		0.09592
		Or 9.59%

As such the appraiser feels that a 9.60% rate for the band of investment seemed reasonable.

Derivation from Market Reports – Next the appraiser will estimate an overall rate by using the market reports. The subject property is situated in Lafayette in Lafayette Parish in a real estate market that has been strong for a few years. Real estate activity within this market is very good with the several new developments under construction. As evidenced within the sales comparison approach, there have been many purchases of similar type properties. The following overall rates were reported in the same periodical, Valuation Insights and Perspective.

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Economic Indicators PwC Real Estate Investor Survey, Q1 2019								
	Regional Mall		CBD Office		Warehouse		Apartment	
	Q1 2019	Q4 2018	Q1 2019	Q4 2018	Q1 2019	Q4 2018	Q1 2019	Q4 2018
Discount Rate (IRR)^a								
Range (%)	5.00 – 10.75	5.00 – 11.00	5.25 – 9.50	5.25 – 9.00	5.25 – 8.00	5.25 – 9.00	5.25 – 10.00	5.25 – 10.00
Average (%)	7.38	7.33	6.95	6.89	6.21	6.33	7.11	7.15
Change (bps)		+5		+6		-12		-4
Overall Cap Rate (OAR)^a								
Range (%)	4.00 – 9.00	4.00 – 9.00	3.00 – 7.50	3.00 – 7.50	3.00 – 6.25	1.00 – 6.50	3.50 – 7.00	3.50 – 8.50
Average (%)	6.31	6.23	5.48	5.44	4.64	4.56	5.03	5.16
Change (bps)		+8		+4		+8		-13
Residual Cap Rate								
Range (%)	4.25 – 10.00	4.25 – 10.00	4.50 – 8.50	4.50 – 8.50	4.50 – 6.75	4.50 – 6.75	4.00 – 7.00	4.00 – 8.50
Average (%)	6.75	6.58	6.02	6.02	5.46	5.51	5.39	5.53
Change (bps)		+17		0		-5		-14

Of course, these are usually associated with national tenants and institutional buyers and sellers. Even though, the subject is in a good market a slight risk premium could seem reasonable to these estimates. As a result, the overall rates previously determine in the range of 8.20% to 9.60% does not seem unreasonable. Following is an overview of the derivation of overall capitalization rates:

	<u>Low</u>	<u>High</u>	<u>Average</u>
Derivation of Sales	7.48%	8.63%	8.32%
Band of Investment	9.60%	9.60%	9.60%
Market Report	6.00%	11.00%	8.50%

Therefore, the appraiser feels that a rate nearer to the middle end of the range to be most appropriate. Thus, the appraiser will utilize an overall capitalization rate of 8.50%. The subject is in a developing area for retail properties with good sales potential for the tenants, therefore, the appraiser feels that an overall capitalization rate nearer to 8.50% most reasonable and supportable.

Following is the direct capitalization method;

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	NRA (SF)	% SPACE	\$/SF	YEAR 1
Gross Income:				
Suite 101-Vacant	6,877	10.96%	\$15.00	\$103,155
Suite 103-Vacant	3,031	4.83%	\$12.50	\$37,888
Suite 105-Vacant	2,222	3.54%	\$11.50	\$25,553
Suite 107-Hershey's	1,743	2.78%	\$12.50	\$21,788
Suite 109-Caroline & Co	6,804	10.84%	\$10.62	\$72,258
Suite 115-Caroline & Co	2,170	3.46%	\$10.62	\$23,045
Suite 117-The Clothing Loft	2,170	3.46%	\$12.50	\$27,125
Suite 117 1/2-Victoria Nails	1,769	2.82%	\$12.50	\$22,113
Suite 119-Vacant	1,982	3.16%	\$12.50	\$24,775
Suite 119 1/2-Cat Clinic of Lafayette	1,974	3.15%	\$12.50	\$24,675
Suite 121-LOLA Pink Fabrics	1,709	2.72%	\$12.50	\$21,363
Suite 123-LOLA Pink Fabrics	3,563	5.68%	\$12.50	\$44,538
Suite 125-Ella Rae Boutique	1,735	2.76%	\$12.50	\$21,688
Suite 127-Mix It Up	2,538	4.04%	\$12.50	\$31,725
Suite 129-Oupac	1,789	2.85%	\$12.50	\$22,363
Suite 131-Politics Sneakers	3,179	5.07%	\$12.50	\$39,738
Suite 135-Politics Sneakers	3,160	5.04%	\$12.50	\$39,500
Suite 137-Ella Rae Boutique	2,053	3.27%	\$12.50	\$25,663
Suite 139-Dealer Track	1,917	3.06%	\$13.25	\$25,400
Suite 139-Dealer Track	1,917	3.06%	\$13.25	\$25,400
Suite 143-Franklin Financial	1,917	3.06%	\$16.00	\$30,672
Suite 145-Next Level Fitness	1,917	3.06%	\$15.00	\$28,755
Suite 149-Jason Deli	4,613	7.35%	\$14.00	\$64,582
Net Rentable Area (NRA)	62,749	100.00%		\$803,759
Plus Tenant Reimbursements (T,I,CAM)			\$2.80	\$175,697
Potential Gross Income				\$979,456
Less Vacancy & Allowance			10.00%	(\$97,946)
Effective Gross Income			\$9.09	\$881,510
Less Expenses				
Real Estate Taxes			\$0.90	(\$56,474)
Insurance			\$1.00	(\$62,749)
Management			\$0.56	(\$35,260)
Bone Structure Maintenance & Reserves			\$1.25	(\$78,436)
Common Area Maintenance			\$1.00	(\$62,749)
Administrative/Miscellaneous			\$0.25	(\$15,687)
Total Operating Expenses			\$4.96	(\$311,356)
Net Operating Income			\$9.09	\$570,498
		OAR		8.50%
		Stabilized Leased Fee Market Value		\$6,711,744

The direct capitalization technique is an excellent method of determining value from the subject property due to the projected 90% market occupancy by end of year 1, high probability of lease renewals and length of leases that have been in place as well as the center being well established since 1976. The technique indicated a market value of \$6,711,844, which is similar to that of the Sales Comparison Approach, which gives further support of this analysis.

Prospective Market Value of the Leased Fee Interest Indicated by the Income Approach

(Indicated Value of the Leased Fee Interest Via Income Approach Analysis, As Developed & Stabilized)

\$6,712,000.00

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RECONCILIATION

Reconciliation is the process by which the most reliable estimate of value is derived from the values indicated by the three approaches to value. Of course, were all of the approaches to indicate the same answer, reconciliation would not be necessary. However, since some approaches in the marketplace are more applicable than others given the inherent weaknesses of the assumptions made, the process of reconciliation is necessary. The market value indications for the approaches listed below must be weighed against each other for relative reliability.

Market Value Indicated by the Cost Approach (<i>Fee Simple</i>)	\$6,535,000.00
Market Value Indicated by the Sales Comparison Approach (<i>Leased Fee</i>)	\$6,725,000.00
Market Value Indicated by the Income Approach (<i>Leased Fee</i>)	\$6,712,000.00

An attempt has been made throughout this appraisal analysis to test the subject property in light of marketplace reactions. All approaches have used actual data obtained from the market in formulating value estimates.

The estimate of value by the **Cost Approach** was essentially based on national cost service estimates were deemed relatively reliable and complimentary to the actual costs reported. In this instance, including the fact that entrepreneurial profit was applied, the reproduction cost of the subject clearly demonstrated to be feasible, particularly from an investment standpoint. Nevertheless, because this approach is not typically weighed by prudent purchasers, the cost to arrive at the property is only secondarily considered. Further, since the Cost Approach is rarely used by prudent purchasers when making decisions on properties such as the subject, it is not deemed particularly relevant in this case, and subsequently will be given least consideration in reconciling the subject's market value estimate.

The **Sales Comparison Approach** was based primarily on several sales of comparable neighborhood retail centers throughout the local and regional market area, several of which were judged to be particularly relatable. While this approach has its weaknesses since no two properties are exactly alike, the most relied upon sales produced relatively consistent indications characteristic of market behavior at this time. With this in mind, the appraiser has analyzed the subject the Price Per Square Foot (PSF) basis which views the property based on similar characteristics of other retail properties and adequately reflects the market for neighborhood centers. In support thereof, I also viewed the subject on an economic basis of Effective Gross Income Multiplier Method, which

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revealed the value conclusion derived by the PSF analysis to be reasonable, considering all factors. In any case, the Sales Comparison Approach is rarely given exclusive weight in a neighborhood center appraisal. Such is the case at hand since the sales utilized herein reflected a varied degree of physical and economic indications, and subsequently, a range of prices. In any case, the value conclusion by the Sales Comparison Approach was noted to be slightly above the other two approaches, however, noted in the various economics, which is difficult to adjust for. There were no recent sales within the subject's area other than the ones utilized, which indicates that owners are holding the properties for the cash flow in lieu of selling and realizing profits. Even so, this approach is relatable to that of the Income Capitalization Approach, therefore providing good collateral support.

The ***Income Approach*** in this instance warrants primary reliance, as the subject is an income producing property. The Income Approach reflects the present value of future benefits to the income stream within an investment property, and therefore indirectly reflects the actions of buyers and sellers in the market for investment properties. In this instance, the appraiser was able to find an adequate volume of data concerning current market rentals of neighborhood retail centers of the same or similar quality and desirability as the subject. After comparing these properties to the appraised property, a market rent was estimated for the subject, and operating expenses were deducted. The resulting net operating income was capitalized via Direct Capitalization Analysis.

In reconciling the subject's final value conclusion, primary weight was given to the Income Approach, however, the Cost and Sales Comparison Approaches provided strong collateral support. Considering all of the above, I estimate the ***prospective market value*** of the **Leased Fee** interest in the subject property & Improvements ***"as developed and stabilized"*** on of August 31, 2020 (estimated date of completion), subject to the enclosed extraordinary assumptions, to be;

SIX MILLION SEVEN HUNDRED THOUSAND DOLLARS

\$6,700,000.00

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It is estimated that normal marketing time for the property would be within twelve months, which is also consistent with the term “exposure time”; i.e., the length of time the subject property would have been exposed for sale in the market had it sold at the market value concluded in the analysis as of the date of this valuation. The consistency of the two time frames also considers the relative stability of the subject's market.

My conclusion of marketing/exposure time is based on evidence from the sales data, which indicated that once an individual sale was placed on the market, at an asking price similar to what was being asked for substitute properties, a sale was realized within twelve months. Retrospectively, if the property would have been exposed on the market for one year or less prior to the date of valuation, it would likely have sold for the appraised price. Furthermore, competitive interest rates and easing of credit restraints have lessened marketing times for many properties and made them more available to purchasers.

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ADDENDA
OF
APPRAISAL
REPORT

MISCELLANEOUS ADDENDA

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INVESTAR BANK		Fri Sep 13 20:19:12:20 PM EDT	
To:	Name: Terry J Broussard Organization: Broussard Realty & Appraisal Phone: 337-643-1931 Email: terry@broussardrealty.com	From:	Name: Vanessa V Vey Organization: Investar Bank, National Association Address: 10500 Coursey BLVD 3rd Floor Baton Rouge Louisiana 70816 Phone: 225-227-2172 Email: vanessa.vey@investarbank.com
Re:	Project Name: BELLE REALTY OF LAFAYETTE, L.L.C. Project Type: Commercial Appraisal Reference ID: 201504 Borrower: BELLE REALTY OF LAFAYETTE, LLC Turn-Around Date: 10/09/2019 Turn-Around Fee: 4475		
Subject Property Identification:			
Property Type:	Shopping Center		
Tax ID/APN: (Assessor Parcel Number)	6026788 & 6026784		
Legal Description - narrative:			
Property Owner of Record:	BELLE REALTY OF LAFAYETTE LLC		
Approx Gross Building Area (GBA):	Sq. Ft. Approximate - Must be verified		
GBA Data Source:			
Site Size:	4.84 Acres Estimated Must be confirmed by appraiser		
Proposed or Existing:			
No. of Buildings:			
No. of Units:			
Year Constructed:	1976 & 2008		
Approximate Age: (Years)			
Subject Property Location Data:			
Property Street Address:	101 & 123 ARNOULD BOULEVARD		
City/Municipality:	LAFAYETTE		
County/Parish:	LAFAYETTE		
State/Province/Territory:	Louisiana		
Postal Zip Code:	70506		
Contact Information:			
Contact Type	Name	Phone #	Email For Inspection
For Inspection	ADAM ABDALLA	337-288-5411	adam@adamabdalla.com
Other Contact			
Other Contact			
Access Comments:			
Occupancy: (Must be confirmed by appraiser)			
Occupancy: (owner/tenant/vacant)			Tenant
Reported Occupancy Rate: (%)			%
# Units Occupied: (total)			
# Units Owner Occupied:			
# Units Tenant Occupied:			
Loan / Contract Information:			
Type of Loan:			Commercial Loan
Purpose Of Loan:			Refinance
Purchase Agreement (PA) (Yes/No)			No
Purchase Agreement (PA) Sales Price:			\$0
PA Contract Details:			
Listing Agent (name/company/phone)			
Selling Agent (name/company/phone)			
Subject Property Comments:			
The subject is "On The Boulevard" multi-tenant retail center located on the corner of Johnston Street and Arnould Boulevard. The center has been built in phases with the first phase completed in 1976 and the most recent phase completed in 2008. See Rent Rolls & Survey attached.			
Services Requested:			
Interest to be Considered:	Fee Simple and Leased Fee		
Value(s) to be Considered:	Market Value - Real Estate		
Effective Appraisal Date:	Current "As Is"		
If retrospective/prospective, please select date:			
Intended User(s) of Report:	Client Only		
Intended Use of Report:	Appraisal Request - Supports a federally related transaction		
Appraisal Standards:	USPAP - Current Edition		
Report Type / Format:	Appraisal Report / Narrative		

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Report Delivery Method:	Electronic Only
Number of Report Copies:	
Comments and Instructions:	
Attachments:	
1568151003PlatofSurveyJuly2019.pdf	
1568151026rentrollinprogressxlsx.pdf	
1568151047ProFormaRentRollBelleRealty.pdf	
1568151093ShopsOnTheBoulevardOverview.pdf	
Legacy Attachments:	
Project Notes / Updates:	

Appraisal Report Presentation Restrictions:

Detailed presentation of data and analysis required

All approaches addressed and conclusions supported with comparable data in a narrative presentation. Appraiser must provide sufficient information to enable user to understand the rationale for the opinions and conclusions, including reconciliation of the data and approaches, in accordance with USPAP SR 1-6.

Level of Inspection Required

Co-signing appraiser may perform the property inspection instead of the engaged appraiser.

- Exterior inspection of subject
- Interior inspection of subject
- Legible building sketch with all pertinent exterior building dimensions is required for all improved properties (a copy of reduced plans may be included in addition to the sketch)
- Survey/Plat of the Subject
- Exterior viewing of all comparables, at a minimum - if not inspected reason must be stated in the report
- Photographs and location maps of comparable properties (sale and lease comparables, if pertinent)
- FEMA Flood Map with subject property identified
- Include signed engagement letter as part of your report upload

Client Minimum Required Value Approaches to be Developed, Supported and Presented in the Appraisal Report:

- Cost Approach
- Sales Comparison Approach
- Income Capitalization Approach
- Insurable Value

Requested Appraisal Analysis:

Engaged Appraiser May co-sign the report with another appraiser, but is responsible for the analysis.

Regulatory Requirements:

- Conform to generally accepted appraisal standards as evidenced by the Uniform Standards of Professional Appraisal Practice (USPAP) promulgated by the Appraisal Standards Board of The Appraisal Foundation;
- Be written and contain sufficient information and analysis to support the institution's decision to engage in the transaction;
- Analyze and report appropriate deductions and discounts for proposed construction or renovation, partially leased buildings, non-market lease terms, and tract developments with unsold units;
- Be based upon the definition of market value as set forth in the appraisal regulation

Minimum Appraisal Standards:

- Appraisal "must" contain an estimate of market value
- Value opinions such as "going concern value", "value in use" or a special value to a specific property user "may not" be used as a market value for federally related transactions. The appraisal "may" contain such values so long as they are clearly identified and disclosed.
- Market Value is to consider the property's "actual" condition, use and zoning as of the effective date of the appraisal.
- Construction or renovation appraisal - require market value "as is" and, as applicable, prospective market value upon completion and/or prospective market value upon stabilization.
- Prospective MV should be based upon current reasonably expected market conditions.
- Prospective MV "should" be based upon time frame on which the appraiser based the analysis.

Bank Requirements

Mandatory Requirements:

- This engagement letter must be signed and returned with the appraisal report.
- If the appraiser should see or have knowledge of any potential hazards this should be noted and discussed in the report as to the effect on value.
- Appraisal is being engaged by, and must be addressed to this bank, not the customer.
- Client requires an estimate of exposure time.

Optional Bank Requirements:

- Your appraisal report must contain a statement indicating whether or not the subject property is situated in a designated flood hazard area along with a copy of the FEMA map indicating the location of the subject.
- If the flood zone begins with an A or V, we require the cost approach or insurable replacement cost value be provided for each structure.
- If a portion of the subject site is considered to be excess, the contributory value of same must be separated from that of the primary site, and the value supported with comparable data and a quantitative and/or qualitative analysis.
- If property is improved and site value is greater than 50% of total property value, appraiser must include detailed comparable sales to support land value.
- Your appraisal report must contain an estimate of marketing time

Supplemental Notes / Final Instructions for the appraiser

Appraiser's Signature

10/1/2019

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ACT OF EXCHANGE

99-054164

99 DEC 15 AM 8:59

BE IT KNOWN, that on the dates and at the places hereinafter
set forth before the undersigned authorities, Notaries Public
duly commissioned and qualified as such for the their respective
Parish and State, and in the presence of the undersigned
competent witnesses, personally came and appeared:

IRMA POCHE ABDALLA, widow of Edward E. Abdalla, III, a
resident of the full age of majority of the Parish of
Lafayette, State of Louisiana, appearing herein solely in
her capacity as usufructuary of property of which Carolyn A.
Abdalla and Edward E. Abdalla, IV are naked owners,

CAROLYN A. ABDALLA, a single resident of the full age of
majority of the Parish of Lafayette, State of Louisiana,

EDWARD E. ABDALLA, IV, married to and living with Catherine
Billeaud Abdalla, a resident of the full age of majority of
the Parish of Lafayette, State of Louisiana, dealing herein
with his separate property,

AND

BELLE REALTY OF LAFAYETTE, L.L.C., a Louisiana Limited
Liability Company domiciled in the Parish of Lafayette,
State of Louisiana, represented herein by all of its
Members, Irma Poche Abdalla, Carolyn A. Abdalla and Edward
E. Abdalla, IV, the mailing address of which is 101 Arnould
Blvd., Lafayette, Louisiana 70506-6213, hereinafter
sometimes referred to as the "Limited Liability Company,"

who declared that they do by these presents make an exchange on
the express terms and conditions hereinafter set forth, to-wit:

For and in consideration of the transfer from the Limited
Liability Company, as hereinafter set forth, Irma Poche Abdalla,

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Carolyn A. Abdalla and Edward E. Abdalla, IV do hereby grant,
bargain, assign, set over, transfer and deliver with all legal
warranties and with full substitution and subrogation in and to
all the rights and actions of warranty which they have or may
have against all preceding owners and vendors unto the Limited
Liability Company the following described property, to-wit:

1. That certain parcel of ground with improvements being
located in Section 42, Township 10 South, Range 4 East,
Lafayette Parish, Louisiana, within the City limits of
the City of Lafayette, Louisiana and being a portion of
the formally dedicated Block I of Arnould Heights
Subdivision and Block I of Arnould Heights Subdivision
Extension No. 1 and being more fully described as
follows, to wit:

Commencing at the Southwest right-of-way corner of the
intersection of Arnould Boulevard and Patricia Street,
thence South 38 degrees 32 minutes 00 seconds East a
distance of 25 feet to the point of beginning.

Thence South 38 degrees 32 minutes 00 seconds East a
distance of 187.98 feet; thence South 51 degrees 28
minutes 00 seconds West a distance of 181.31 feet;
thence South 38 degrees 32 minutes 00 seconds East a
distance of 18.89 feet; thence South 51 degrees, 28
minutes 00 seconds West a distance of 118.69 feet;
thence North 38 degrees 32 minutes 00 seconds West a
distance of 206.87 feet; thence along a curved line to
the right having a radius of 25 feet, length of 39.27
feet and a cord of North 6 degrees 28 minutes 00
seconds East a distance of 35.36 feet; thence North 51
degrees 28 minutes 00 seconds East a distance of 250
feet; thence along a curved line to the right having a
radius of 25 feet, length of 39.27 feet and a cord of
South 38 degrees 32 minutes 00 seconds East a distance
of 35.36 feet to the point of beginning.

2. That certain parcel of ground with improvements being
located in Section 42, Township 10 South, Range 4 East,
Lafayette Parish, Louisiana, within the city limits of

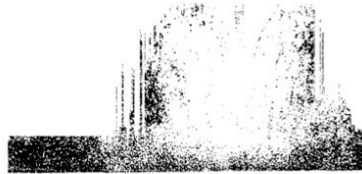
-2-

File Number: 1993-00054 Seq: 2

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the City of Lafayette, Louisiana, and being a portion of the formally dedicated Block I of Arnould Heights Subdivision and Block I of Arnould Heights Subdivision Extension No. 1, which parcel of ground is depicted as Lot 1 and has the dimensions and boundaries as shown on Replat of Arnould Heights and Arnould Heights Extension No. 1 by Montagnet and Domingue, Inc. dated June 7, 1994, revised July 18, 1994, and recorded under file No. 95-007659.

3. That certain parcel of ground, with improvements, being shown and designated as LOT 7, BLOCK M, ARNOULD HEIGHTS SUBDIVISION, EXTENSION NO. 1, Parish of Lafayette, Louisiana. Said parcel has a frontage of 100 feet on Marie Antoinette Street by a depth between parallel lines of 150.5 feet. Said parcel is bounded northeasterly by Marie Antoinette Street, northwesterly by Patricia Street (formerly known as Rose Street), southeasterly by Lot 6, Block M, Arnould Heights Subdivision, Extension No. 1 and southwesterly by the property of Octave Pierret, heirs or assigns.

And now, for and in consideration of the transfer to it as aforesaid, the Limited Liability Company does by these presents grant, bargain, assign, set over, transfer and deliver to Irma Poche Abdalla, Carolyn A. Abdalla and Edward E. Abdalla, IV the following interest in the Limited Liability Company:

<u>Member</u>	<u>Ownership Percentage</u>
Irma Poche Abdalla, Usufructuary	9.2%
Carolyn A. Abdalla	45.4%
Edward E. Abdalla, IV	<u>45.4%</u>
TOTAL	<u>100.0%</u>

This exchange is made and mutually accepted by all the parties hereto, it being agreed and understood that the properties herein exchanged are equal in value.

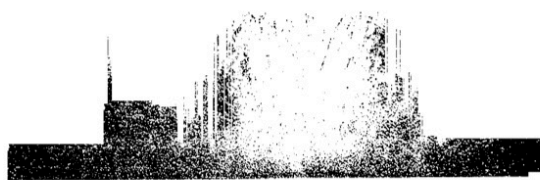
-3-

File Number: 15-11-164, Sec. 3

BROUSSARD APPRAISAL SERVICES

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To have and to hold the said respective properties, the one to the other, their heirs and assigns, free from any lien, mortgage, or encumbrance whatsoever.

No title opinion was requested of the undersigned Notaries by the Limited Liability Company with respect to the property acquired by it herein and the parties hereto hold said Notaries harmless with respect to any defects of title or descriptions as well as any encumbrances of the property transferred herein.

All taxes on the property hereinabove described have been paid for the years 1995, 1996 and 1997. Taxes for the year 1998 shall be paid by the Limited Liability Company.

STATE OF LOUISIANA
PARISH OF LAFAYETTE

THUS DONE AND SIGNED on this 8th day of December, 1998, at Lafayette, Louisiana, in the presence of the undersigned competent witnesses who sign with appearer(s) and me, Notary, after due reading of the whole.

WITNESSES:

James Bill
Stacy M. Brown

Irma Poche Abdalla
Irma Poche Abdalla, individually
and Member of Belle Realty of
Lafayette, L.L.C.

Jean C. Beauf
NOTARY PUBLIC

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File Number: 1998-0000 Seq: 4

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STATE OF LOUISIANA
PARISH OF LAFAYETTE

THUS DONE AND SIGNED on this 8th day of December, 1998,
at Lafayette, Louisiana, in the presence of the undersigned
competent witnesses who sign with appearer(s) and me, Notary,
after due reading of the whole.

WITNESSES:

James F. Hill
Stacey M. Brown

Carolyn M. Abdalla
Carolyn M. Abdalla, individually
and Member of Belle Realty of
Lafayette, L.L.C.

Jean C. Broussard
NOTARY PUBLIC

STATE OF LOUISIANA
PARISH OF LAFAYETTE

THUS DONE AND SIGNED on this 8th day of December, 1998,
at Lafayette, Louisiana, in the presence of the undersigned
competent witnesses who sign with appearer(s) and me, Notary,
after due reading of the whole.

WITNESSES:

James F. Hill
Stacey M. Brown

Edward E. Abdalla, IV
Edward E. Abdalla, IV, individually
and Member of Belle Realty of
Lafayette, L.L.C.

Jean C. Broussard
NOTARY PUBLIC

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File Number: 1998-005413 Seq: 5

BROUSSARD APPRAISAL SERVICES

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Exhibit

1. That certain parcel of ground with improvements being located in Section 42, Township 10 South, Range 4 East, Lafayette Parish, Louisiana, within the City limits of the City of Lafayette, Louisiana and being a portion of the formally dedicated Block 1 of Arnould Heights Subdivision and Block 1 of Arnould Heights Subdivision Extension No. 1 and being more fully described as follows, to wit:

Commencing at the Southwest right-of-way corner of the intersection of Arnould Boulevard and Patricia Street, thence South 38 degrees 32 minutes 00 seconds East a distance of 25 feet to the point of beginning

Thence South 38 degrees 32 minutes 00 seconds East a distance of 187.98 feet; thence South 51 degrees 28 minutes 00 seconds West a distance of 181.31 feet; thence South 38 degrees 32 minutes 00 seconds East a distance of 18.89 feet; thence South 51 degrees 28 minutes 00 seconds West a distance of 118.69 feet; thence North 38 degrees 32 minutes 00 seconds West a distance of 206.87 feet; thence along a curved line to the right having a radius of 25 feet, length of 39.27 feet and a cord of North 6 degrees 28 minutes 00 seconds East a distance of 35.36 feet; thence North 51 degrees 28 minutes 00 seconds East a distance of 250 feet; thence along a curved line to the right having a radius of 25 feet, length of 39.27 feet and a cord of South 38 degrees 32 minutes 00 seconds East a distance of 35.36 feet to the point of beginning.

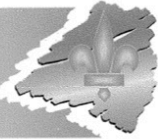
2. That certain parcel of ground with improvements being located in Section 42, Township 10 South, Range 4 East, Lafayette Parish, Louisiana, within the city limits of the City of Lafayette, Louisiana, and being a portion of the formally dedicated Block 1 of Arnould Heights Subdivision and Block 1 of Arnould Heights Subdivision Extension No. 1, which parcel of ground is depicted as Lot 1 and has the dimensions and boundaries as shown on Replat of Arnould Heights and Arnould Heights Extension No. 1 by Montagnet and Domingue, Inc. dated June 7, 1994, revised July 18, 1994, and recorded under File No. 95-007659.
3. That certain parcel of ground, with improvements, being shown and designated as LOT 7, BLOCK M, ARNOULD HEIGHTS SUBDIVISION, EXTENSION NO. 1, Parish of Lafayette, Louisiana. Said parcel has a frontage of 100 feet on Marie Antoinette Street by a depth between parallel lines of 150.5 feet. Said parcel is bounded northeasterly by Marie Antoinette Street, northwesterly by Patricia Street (formerly known as Rose Street), southeasterly by Lot 6, Block M, Arnould Heights Subdivision, Extension No. 1 and southwesterly by the property of Octave Pierret, heirs or assigns.

File Number: 1998-00054166 Seq. 15

BROUSSARD APPRAISAL SERVICES

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LAFAYETTE
CONSOLIDATED
GOVERNMENT



PLANNING, ZONING & CODES DEPARTMENT

PLANNING & ZONING DIVISION
P.O. BOX 4017-C
220 W. WILLOW STREET, BUILDING B
LAFAYETTE, LOUISIANA 70501
TEL: (337) 291-8000
TEL: (337) 291-8445
FAX: (337) 291-8492

July 11, 2007

Richard Becker
910 Harding Street
Lafayette, LA 70503

RE: On The Boulevard Shopping Center
Lots 1 and 2 of "Replat of Arnould Heights and Arnould Heights Extension 1"

Dear Mr. Becker:

The property generally known as On The Boulevard Shopping Center located at 101-149 Arnould Boulevard, Lafayette, Louisiana 70506 lies in a B-G (General Business) zoning district. The operation of a shopping center is a permitted use in said zoning district.

In addition, as of July 11, 2007, the city of Lafayette, Louisiana has no evidence of any zoning infractions and/or violations for the referenced addresses. I have identified several variances (summaries attached) of Zoning regulations granted by the Board of Zoning Adjustment. If you require full information, we will access our archived files.

If you have any questions or require additional information, please call me at 337-291-8428.

Sincerely,

Denise Womack, AICP
Zoning Manager

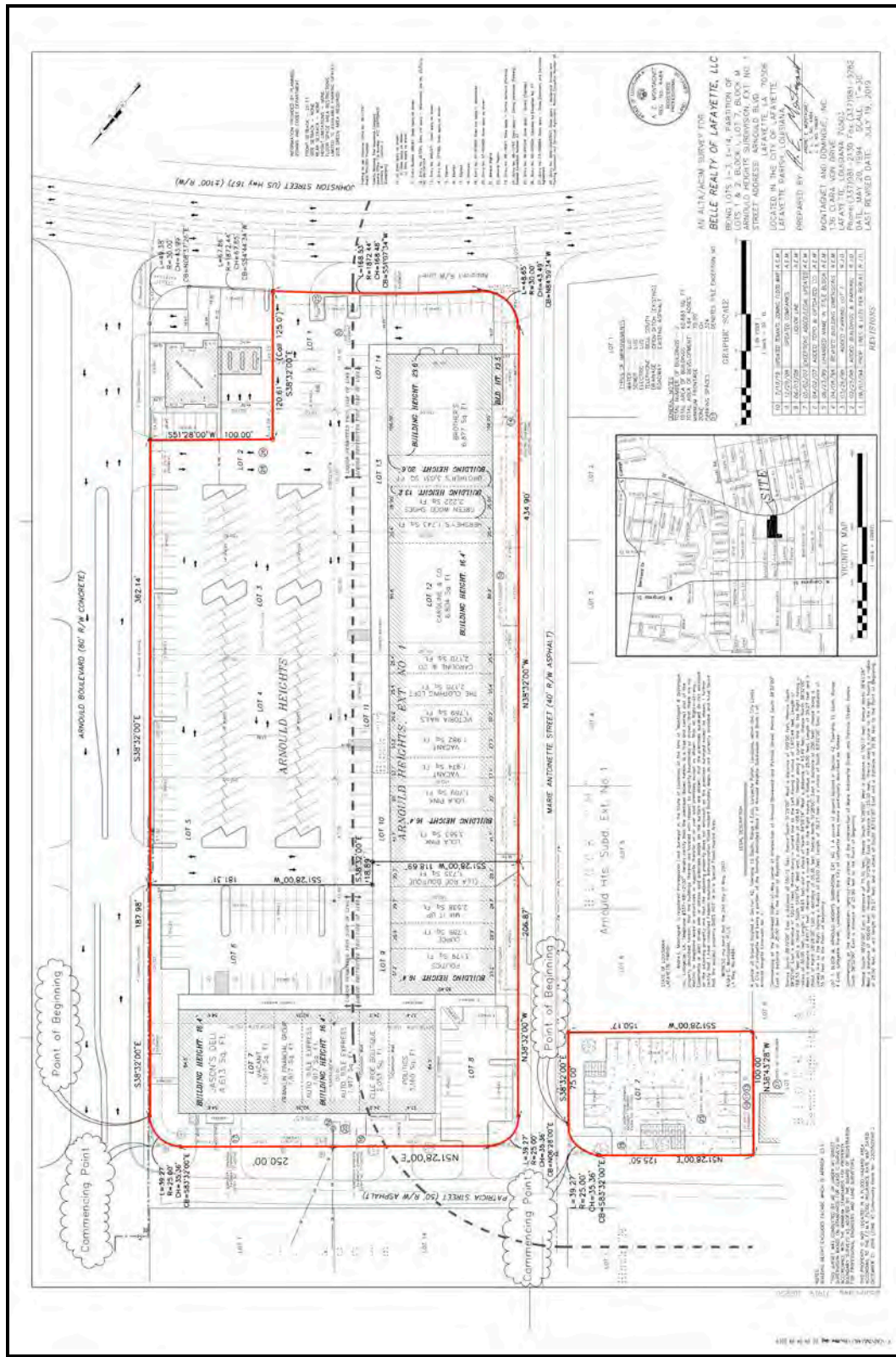
attachments

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New Roof	\$400,000.00	Butcher	Complete Roof w/ Gutters & Downspouts
Paint (Everything Including Brick and Brick Columns)	\$70,000.00	Stellco	Colors TBD
Center Repair / Upgrade	\$75,000.00	Stellco	Repairs & Upgrades
Parking Lot Upgrade	\$40,000.00	Stellco	Parking Lot & Landscape
General	\$100,000.00	Stellco	HVAC Repairs/Installation, New Lighting Fixtures, Parking Lot Lighting, WiFi & Upgraded Sound systems throughout, Repair or Replace Trash Cans, Repair or Replace and Add Benches.

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ASSUMPTIONS & LIMITING
CONDITIONS

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This value is contingent upon the following limiting conditions:

- 1) The subject of this appraisal is existing construction, however proposed with renovations.
- 2) The typical marketing time for the subject is approximately 12 months.
- 3) The appraiser has completed appraisals for similar type properties.
- 4) My compensation is not contingent upon the reporting of a predetermined value or, direction in value that favors the cause of the client, the amount of the value estimate, the attainment of a stipulated result, or the occurrence of a subsequent event.
- 5) I have made a personal inspection of the property that is the subject of this report.
- 6) The value estimates in this report were not based on a requested minimum valuation, a specific valuation, or for the approval of any loan.
- 7) The appraiser has contemplated the estimated market value of the subject property “as is” as well as “as developed” condition, which is estimated to be 300 days to complete.

The analyses, opinions and conclusions were developed, and this report has been prepared in conformity with the Uniform Standards of Professional Appraisal Practice (USPAP), and with the appraisal requirements of *Investar Bank's* letter of engagement and complies with the requirements of the Office of the Comptroller of the Currency, Interpretive Rulings, 12 CFR 34 dated August 24, 1990 and in conformity with the requirements of the Code of Professional Ethics and the Standards of Professional Practice of the Appraisal Institute, and in the conformity with the requirements of the State of Louisiana for State Certified Real Estate Appraisers.

Respectfully Submitted,



TERRY J. BROUSSARD, MAI

Louisiana State Certified General Real Estate Appraiser, Certificate Number #G0454

BROUSSARD APPRAISAL SERVICES

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ASUMPTIONS AND LIMITING CONDITIONS

This appraisal report has been made with the following general assumptions:

1. No responsibility is assumed for the legal description or for matters including legal or title considerations. Title to the property is assumed to be good and marketable unless otherwise stated.
2. The property is appraised free and clear of any or all liens or encumbrances unless otherwise stated.
3. Responsible ownership and competent property management are assumed.
4. The information furnished by others is believed to be reliable. However, no warranty is given for its accuracy.
5. All engineering is assumed to be correct. The plot, plans and illustrative material in this report are included only to assist the reader in visualizing the property.
6. No responsibility is herein assumed for any matters which are legal or political, social, or economic changed conditions which could have an effect on real estate values which changes take place after the date of this valuation.
7. To the best of my knowledge and belief, the statement of fact contained in the appraisal report, upon which the analysis, opinions and conclusions expressed herein are based, are true and correct, but I assume no responsibility for the accuracy of such information as title, information, measurements, survey, and other information furnished by you as likewise comparable sales data furnished by the court records and the principals involved in the various transactions.
8. Any survey contained in this report is assumed to be true and correct, and it is also assumed that there are no encroachments upon the property appraised except as noted herein. Any sketch prepared by the appraiser and included in the report may show approximate dimensions and is included to assist the reader in visualizing the property, however, the appraiser has not made a survey of the property.
9. The Americans with Disabilities Act (ADA) became effective January 26, 1992. The appraisers have not made a specific compliance survey and analysis of this property to determine whether or not it is in conformity with the various detailed requirements of the ADA. It is possible that a compliance survey of the property, together with a detailed analysis of the requirements of the ADA, could reveal that the property is not in compliance with one or more of the requirements of the Act. If so, this fact could have a negative effect upon the value of the property. Since the appraisers have no direct evidence relating to this issue, possible noncompliance with the requirements of ADA in estimating the value of the property has not been considered.

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ASSUMPTIONS AND LIMITING CONDITIONS **CONTINUED...**

10. Unless otherwise stated in this report, the existence of hazardous material, which may or may not be present on the property, was not observed by the appraiser. The appraiser has no knowledge of the existence of such materials on or in the property. The appraiser, however, is not qualified to detect such substances. The presence of substances such as asbestos, urea-formaldehyde foam insulation, or other potentially hazardous materials may affect the value of the property. The value estimate is predicated on the assumption that there is no such material on or in the property that would cause a loss in value. No responsibility is assumed for any such conditions or for any expertise or engineering knowledge required discovering them. The client is urged to retain an expert in this field, if desired.

11. It is assumed that there are no hidden or unapparent conditions of the property, subsoil, or structures that render it more or less valuable. No responsibility is assumed for such conditions or for arranging for engineering studies that may be required to discover them.

12. It is assumed that there is full compliance with all applicable federal, state, and local environmental regulations and laws unless noncompliance is stated, defined, and considered in the appraisal report.

13. It is assumed that all applicable zoning and use regulations and restrictions have been complied with, unless a non-conformity has been stated, defined, and considered in the appraisal report.

14. It is assumed that all required licenses, certificates of occupancy, consents, or other legislative or administrative authority from any local, state, or national government or private entity or organization have been made or can be obtained or renewed for any use on which the value estimate contained in this report is based.

15. It is assumed that the utilization of the land and improvements is within the boundaries or property lines of the property described and that there are no encroachments or trespass unless noted in the report.

16. Mineral values are not included in the valuation analysis of the property appraised herein. The appraiser is not an expert on mineral rights and no responsibility is assumed for this matter.

17. It is assumed that the condition/adequacy of the mechanical and plumbing systems are consistent with the overall quality/conditions of the buildings. However, it is to be noted that this has not been verified, and the analysis and conclusions contained herein are therefore qualified to this extent.

BROUSSARD APPRAISAL SERVICES

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This appraisal report has been made with the following general limiting conditions:

1. The distribution, if any, of the total valuation in this report between land and improvements applies only under the state program of utilization. The separate allocations for land and building must not be used in conjunction with any other appraisal and are invalid if so used.
2. Possession of this report, or a copy thereof, does not carry with it the right of publication.
3. The appraiser, by reason of this appraisal, is not required to give further consultation, testimony, or be in attendance in court with reference to the property in question unless arrangements have been previously made.
4. Neither all nor any part of the contents of this report (especially any conclusions as to value, the identity of the appraiser, or the firm with which the appraiser is connected) shall be disseminated to the public through advertising, public relations, news, sales, or other media without the prior written consent and approval of the appraiser.
5. This report is to be used in its entirety and only for the purpose for which it is rendered.
6. Neither all nor any part of the contents of this report (especially any conclusions as to value, the identity of the appraiser or the firm with which he is connected, or any reference to the Appraisal Institute or any designations) shall be produced, published or disseminated to the public through advertising media, public relations media, news media, sales media or any other public means of communications without the prior written consent and approval of the author.
7. Acceptance of and/or use of this appraisal report constitutes acceptance of the foregoing General Underlying Assumptions and General Limiting Conditions. The appraisers' duties, pursuant to the employment to make the appraisal, are complete upon delivery and acceptance of the appraisal report. However, any corrections or errors should be called to the attention of the appraiser within 30 days of delivery of the report.



Terry J. Broussard, MAI

Louisiana State Certified General Real Estate Appraiser, #G0454

BROUSSARD APPRAISAL SERVICES

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Certification of the Appraiser

I certify that, to the best of my knowledge and belief:

*The statements of fact contained in this report are true and correct.

*The reported analyses, opinions, and conclusions are limited only by the reported assumptions and limiting conditions, and is our personal, unbiased professional analyses, opinions, and conclusions.

*I have no present or contemplated interest in the property that is the subject of this report, and I have no personal interest or bias with respect to the parties involved.

*I have performed no services, as an appraiser or in any capacity, regarding the property that is the subject of this report within the three-year period immediately preceding acceptance of this assignment.

*I have no bias with respect to the property that is the subject of this report or to the parties involved with this assignment.

*My compensation for completing this assignment is not contingent upon the development or reporting of a predetermined value or direction in value that favors the cause of the client, the amount of the value opinion, the attainment of a stipulated result, or the occurrence of a subsequent event directly related to the intended use of this appraisal.

*My analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the Uniform Standards of Professional Appraisal Practice.

*I have made a personal inspection of the property that is the subject of this report.

*No one provided significant professional assistance to the person signing this report.

*The reported analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the Code of Professional Ethics and Standards of Professional Appraisal Practice of the Appraisal Institute.

*The use of this report is subject to the requirements of the Appraisal Institute relating to review by its duly authorized representatives.

*As of the date of this report, Terry J. Broussard has completed the continuing education program for Designated Members of the Appraisal Institute.



Terry J. Broussard, MAI

Louisiana State Certified General Real Estate Appraiser, #G0454

October 3, 2019

BROUSSARD APPRAISAL SERVICES

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QUALIFICATIONS OF
APPRAISER

BROUSSARD APPRAISAL SERVICES

Appraisers - Analysts - Consultants

TERRY BROUSSARD, MAI, CCIM, MRICS

Qualifications of Appraiser

EDUCATION:

- *Completed real estate sales, broker and appraisal courses at University of Southwestern Louisiana towards degree, 1978-1982.
- *Hold Bachelor of Science in Business Administration from University of Southwestern Louisiana, 1978-1982.
- *Completed Real Estate Broker Course; GB-421 at University of Southwestern Louisiana; 45 Hrs; 12-20-82.
- *Completed Real Estate Appraisal Course from University of Southwestern Louisiana; 45 Hrs; 5-3-84.
- *Completed Real Estate Contracts of Laws Course; 15 Hrs; 6-1-83.
- *Completed Update of Real Estate Laws Course; 15 Hrs; 9-22-83.
- *Attended Farm Service Agency course on FSA Appraisal Training, Completing 4 hours of continuing education, January 1997, Alexandria, Louisiana.
- *Attended Louisiana Real Estate Commission course on Buyer Representation Laws, completing 4 hours of continuing education, September 1997, Lafayette, Louisiana.
- *Attended Louisiana Real Estate Commission course on Uniform Standards Of Professional Appraisal Practice (USPAP), completing 8 hours of Continuing education, December 1997, Lafayette, Louisiana.
- *Attended Louisiana Real Estate Commission course on Uniform Standards of Professional Appraisal Practice (USPAP), completing 8 hours of Continuing education, December 2000, Lafayette, Louisiana
- *Attended Louisiana Real Estate Commission course on Agency Laws, Completing 4 hours of continuing education, March 1998, Lafayette, Louisiana.
- *Attended Louisiana Real Estate Commission course on Fair Housing Laws, Completing 4 hours of continuing education, March 1998, Lafayette, Louisiana.
- *Attended The Residential Appraiser course on The Residential Appraiser Training Series, completing 16 hours of continuing education, April 1998, Baton Rouge, Louisiana.
- *Attended By Referral Only course on Education on the Internet, Marketing, And Appraisals, completing 16 hours, February 2000. San Diego, California.
- *700 Hours continuing education in appraisal classes.
- *Completed Louisiana Real Estate Commission course on Louisiana License Law; 4 Hrs; 12/18/03
- *Completed Louisiana Real Estate Commission course on Agency Relations in Real Estate Transactions; 4 Hrs; 12/18/03
- *Completed Louisiana Real Estate Commission USPAP Course; 7 Hrs; 11/22/04
- *Attended Louisiana Real Estate Commission course on Appraising Convenience Stores; 7 Hrs. of Appraisal Institute Continuing Ed; 8 Hrs. of State Certified/Licensed Appraisers; 8 Hrs. of LA Real Estate Brokers; 01/07/05
- *Attended Louisiana Real Estate Commission course on Cool Tools & Site To Do Business; 7 Hrs. of Appraisal Institute; 8 Hrs. of State Certified/Licensed Appraisers; 8 Hrs. LA Real Estate Brokers; 05/06/2005
- *Attended Louisiana Real Estate Commission USPAP Course; 7 Hours; 6/13/06
- *Attended Professional Standards course completing 4 hours; 7/24/07
- *Attended Commercial Leases-2007 Mandatory completing 4 hours; 10/25/07

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- *Attended Commercial Development Town Hall Meeting completing 4 hours; 7/23/08
- *Attended Commercial Alternative for Mandatory Topic 2008 completing 4 hours; 7/23/08
- *Attended Real Estate Commission course for Commercial Real Estate Symposium completing 4 hours; 11/7/08
- *Attended Real Estate Commission course for Quantum Sales & Leasing, completing 4 hours; 3/10/09
- *Attended Real Estate Commission course for Trends in Real Estate, completing 4 hours; 4/16/09
- *Completed Real Estate course on "Safety Precautions for Real Estate Professionals," 3 hours; 10/8/10
- *Completed Real Estate course on "Misrepresentations and Case Studies," 5 hours; 10/11/10
- *Completed Appraisal course on "Louisiana Real Estate License Law," 4 hours; 10/11/10
- *Completed Mandatory Appraisal course on "USPAP 2010-Update," 8 hours; 10/8/10
- *Completed Online Scope of Work: Expanding Your Range of Service; 7 Hours; 9/16/11
- *Completed Online Analyzing Distressed Real Estate; 4 Hours; 9/18/11
- *Completed Liens, Taxes, and Foreclosures; 4 Hours; 10/30/11
- *Completed 1031 Exchanges-Increase your Expertise; 3 Hours; 12/16/12
- *Completed The Evolution of Finance & the Mortgage Market; 4 Hours; 12/16/12
- *Completed Fundamentals of Separating Real Property, Personal Property, and Intangible Business Assets; 14 Hours; 2/21-2/22/13
- *Completed Online Business Practices and Ethics; 7 Hours; 8/25/13
- *Completed USPAP; 7 Hours; 3/13/14
- *Completed Introduction to Legal Descriptions; 2 Hours; 4/25/14
- *Completed Appraisal of Fast Food Facilities; 7 Hours; 7/12/2015
- *Completed Land & Site Valuation; 7 Hours; 7/11/2015
- *Completed Appraisal of Self Storage Facilities; 7 Hours; 4/29/2016
- *Completed USPAP; 8 Hours; 5/5/16
- *Completed Appraisal of land Subject to Ground Leases; 7 Hours; 5/31/2017
- *Completed Appraisal of Owner Occupied Commercial Properties; 7 Hours; 6/5/2017
- *Completed USPAP; 8 Hours; 4/23/2018
- *Completed The Income Approach-An Overview; 7 Hours; 6/1/2019
- *Completed The Dirty Dozen; 3 Hours; 6/4/2019

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APPRAISAL INSTITUTE

- *Successfully completed Appraisal Institute course 110 on Principles of Appraisals, Tallahassee, Florida, August 1992, completing 30 hours of Continuing education and candidacy for MAI courses.
- *Successfully completed Appraisal Institute Course 120 on Appraisal Procedures, New Orleans, Louisiana, for candidacy for MAI courses, November 1993.
- *Successfully completed Appraisal Institute course 410 on Standards of Professional Appraisal Practice, completing 26 hours of continuing education. August 1993, Houston, Texas.
- *Successfully completed Appraisal Institute course on Introduction to Limited Scope Appraisals, completing 4 hours of continuing education. June 1994, Biloxi, Mississippi.
- *Successfully completed Appraisal Institute course 310 on Basic Income Capitalization Procedures, Course 310, completing 39 hours of continuing Education. August 1994, Houston, Texas.
- *Successfully completed Appraisal Institute course on Advanced Income Capitalization Procedures, Course 510, completing 40 hours of continuing Education, October 1994, Texas, Texas.
- *Successfully completed Appraisal Institute course on Report Writing and Valuation Analysis, Course 540, completing 40 hours of continuing education, July 1995, Houston, Texas.
- *Successfully completed Appraisal Institute course on Appraising and the Internet, Completing 7 hours of continuing education, January 1997, New Orleans, Louisiana.
- *Successfully completed Appraisal Institute course on Standards of Professional Appraisal Practice (Part C), Course 430, completing 16 hours of Continuing education, December 1998, Houston, Texas.
- *Successfully completed Appraisal Institute course on the Demonstration Report Writing Completing 16 hours of continuing education, August 2000, Hartford, Connecticut
- *Successfully completed USPAP course. New Orleans, Louisiana, December 2000.
- *Successfully completed a course on Comprehensive Appraisal Exam for the Appraisal Institute given by Ted Whitmer, Completing 26 hours, February 2001, Dallas, Texas
- *Successfully took and passed Comprehensive Exam. Houston, Texas, August 2001
- *Successfully completed and received approval for the Demonstration Appraisal Report. December 2001
- *Successfully completed Level I & II of the experience requirements for the MAI designation. Approved March 2002 and December 2002, respectively
- *Successfully completed required 3,000 hours for MAI designation
- *Successfully completed Fair Housing & Cultural Diversity, November 2004
- *Successfully completed USPAP course. Baton Rouge, Louisiana, November 2004
- * Successfully completed Appraising Convenience Stores Completing 22 hours, January 2005.
- * Successfully completed Cool Tools & Site To Do Business Completing 23 hours, May 2005.
- * Successfully completed USPAP course; Lake Charles, Louisiana, June 2006.
- *Successfully completed Appraisal Institute Course on Uniform Appraisal Standards for Federal Land Acquisition completing 16 hours of Continuing Education, December 5 & 6, 2006; Metairie, LA
- *Successfully completed Online Real Estate Appraisal Operations, 7 Hours, 11/11/07.
- *Successfully completed Appraisal Institute course on Office Building Valuation: A Contemporary Perspective completing 7 hours, 1/14/08.
- *Successfully completing Appraisal Institute Course on Online Business Practices and Ethics, completing 8 hours, 10/10/08.

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- *Successfully completing Appraisal Institute Course on Online Small Hotel/Motel Valuation, completing 7 hours, 10/31/08.
- *Successfully completing Appraisal Institute Course on Online 7 Hour National USPAP Equivalent Course, completing 7 hours, 11/20/08.
- *Successfully completing Appraisal Institute's Course on Appraisal Curriculum Overview. Completing 15 hours, 9/23/09
- *Successfully completing Appraisal Institute's Course on National USPAP. Completing 7 hours, 5/21/12
- *Successfully completing Appraisal Institutes course on Online Data Verification Methods. Completing 5 hours, 5/17/12
- *Successfully completed & Passed Exam for Fundamentals of Separating Real Property, Personal Property and Intangible Business Assets, 15 Hours; 2/21/13; Tampa, Florida
- *Successfully completed & Passed Exam for Business Practice and Ethics of the Appraisal Institute, 7 Hours; 8/25/13; Online
- *Successfully completing Appraisal Institute's Course on National USPAP. Completing 7 hours, 3/13/14
- *Successfully completed Drone Technology and Its Impact on the Appraisal Industry; 7 Hours; 2/23/2018
- *Successfully completed Business Practices and Ethics; 5 Hours; 7/16/2018

CCIM INSTITUTE

- *Completed and successfully passed CI-101; Financial Analysis for Commercial Investment Real Estate; CCIM Institute; 30 Hrs; April, 2004.
- *Completed and successfully passed CI-102; Market Analysis for Commercial Investment Real Estate; CCIM Institute; 30 Hrs; September, 2004.
- *Completed and successfully passed CI-103; User Decision Analysis for Commercial Investment Real Estate; CCIM Institute; 30 Hrs; June, 2005.
- *Completed and successfully passed CI-104; CCIM Institute; 30 Hrs; February 2006.
- *Completed and successfully passed the comprehensive exam (6 Hr); Tampa, Florida; October 2006

BROUSSARD APPRAISAL SERVICES

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DESIGNATIONS:

- *Louisiana State Certified General Real Estate Appraiser, Certificate #G0454**
- *Oklahoma State Certified General Real Estate Appraiser, Certificate #OK-12843CGA**
- *Alabama State Certified General Real Estate Appraiser, Certificate #G00870/**
- *Texas State Certified General Real Estate Appraiser, Certificate #TX-1338000G**
- *Arkansas State Certified General Real Estate Appraiser, Certificate #CG3319N**
- *Mississippi State Certified General Real Estate Appraiser, Certificate #GA-910**
- *Georgia State Certified General Real Estate Appraiser, Certificate #350387**
- *Tennessee State Certified General Real Estate Appraiser, Certificate #G5016**
- *MAI Designation, Member of Appraisal Institute #12125**
- *CCIM Designation, Certified Commercial Investment Member, CCIM Institute**
- *MRICS Designation, Member Royal Institution of Chartered Surveyors**
- *Licensed Real Estate Broker in Louisiana since 1982**
- *Board Member of the Louisiana Chapter of the Appraisal Institute; 2004-Present**
- *Board Member of Commercial Division of Acadiana Board of Realtors; 2007-Present**
- *Board member of Appraisal Division of Acadiana Board of Realtors; 2007-Present**
- *Attended ICSC (International Council of Shopping Centers) Convention; 2006 to present**
- *Past member of Vermilion Board of Realtors; 1982-1990 (Currently Dissolved).**
- *Executive Officer of Vermilion Board of Realtors; 1989-1990.**
- *Secretary of Vermilion Board of Realtors, 1989-1990.**
- *Treasurer of Vermilion Board of Realtors, 1989-1990.**
- *Member of Louisiana Board of Realtors.**
- *Member of National Board of Realtors.**
- *Affiliate of the Appraisal Institute of Real Estate Appraisers.**
- *Member MAI with the Appraisal Institute, #12125.**
- *Member of National Association of Master Appraisers, with designation of Master Residential Appraiser, having completed all required courses in residential appraising; Designation Number 2024.**
- *Hold designation of Master Farm Land Appraiser, having completed all required courses in farm and land appraising; Designation Number 2024.**
- *Hold designation of Master Senior Appraiser, having completed all required courses in commercial and investment appraising; Designation Number 2024.**
- *Member of Employee Relocation Council (ERC); Specializing in Relocation Appraisals in Vermilion and Lafayette Parishes.**
- *Founding member of the National Association of Realtors, Real Estate Appraisal Section.**
- *Board Member Kaplan Area Chamber of Commerce; 1989-1991; 1992-1999.**
- *Board Member of Kaplan Zoning Board; 1992-1999.**
- *Board Member of Kaplan Area Wide Planning Commission; 1992-1999**

BROUSSARD APPRAISAL SERVICES

Appraisers - Analysts - Consultants

NOTEWORTHY ACCOMPLISHMENTS:

- *Owner of Broussard Appraisal Service since 1982.
- *37 Years Residential and Commercial Appraisal Experience.
- *Currently Successfully Completed over 15,000 Residential and Commercial Appraisals since 1982.
- *Only State Certified General Real Estate Appraiser from Vermilion Parish.
- *Only appraisal firm approved by RTC in Vermilion Parish area.
- *Held United States of America Farmers Home Administration Appraisal Contract to complete all Residential and Farm Appraisals in Vermilion Parish; 1988-1990.
- *Only State Certified General Real Estate Appraiser from Acadiana area Contracted to complete complex farm properties in all 26 Southwest Louisiana parishes for farm service agency.
- *Past Executive Officer, Secretary & Treasurer of Vermilion Board of Realtors, 1990.
- *Completed complex commercial appraisal assignments throughout the entire States of Louisiana, Texas, Oklahoma, Arkansas, Mississippi, Tennessee, Alabama, Georgia, Florida & Nevada
- *Qualified as an expert appraisal witness in: 19th Judicial District Court, Abbeville, La.
Bankruptcy Court, Opelousas, La.
District Court, Opelousas, La.
District Court, Jennings, La.

APPRAISAL WORK RECOGNIZED AND ACCEPTED BY:

- *Vermilion Bank & Trust, Kaplan, La.
- *Kaplan State Bank, Kaplan, La.
- *Iberia Savings Bank, New Iberia, Abbeville, Crowley, Kaplan, Lafayette, La.
- *Planters Farm Mortgage Corporation, Bastrop, La.
- *Freedom Financial Services, Metairie, La.
- *Farm Service Agency (FSA), Alexandria, La.
- *First National Bank of Crowley, Crowley, La.
- *First National Bank of Lafayette, Lafayette, La.
- *Home Savings Bank, Lafayette, La.
- *Capital One Bank, Abbeville, Lafayette, Monroe & New Orleans, La & Alabama.
- *Bank of Lafayette, Lafayette, La.
- *Jeff Davis Bank, Jennings, La.
- *First South PCA, Jennings, La.
- *Plaza Mortgage, Baton Rouge, La.
- *St. James Bank, Litcher, La.
- *Wells Fargo Bank, San Diego, Ca.
- *Regions Bank, Baton Rouge, LA, Jacksonville, FL, MS, GA, Daphne, AL
- *Atlantic Coast Federal Bank, Sayre, Fl.
- *Interbay Funding, Texas & New York
- *Sabine State Bank, Fort Polk, La.
- *Bank of Erath, Erath & Abbeville, La.
- *Bank of Abbeville, Abbeville, La.
- *Gulf Coast Bank, Abbeville, Lafayette, La.
- *Mid South National Bank, Lafayette, La.
- *Central Bank, Monroe, La.
- *Chemical Bank, Deerfield, Texas

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- *First Commerce Corporation, New Orleans, La.
- *Western Relocation Management, Inc., Walnut Creek, CA.
- *Prudential Relocation, Denver, Colorado
- *PHH US Mortgage Corporation, Cherry Hill, NJ.
- *Genesis Relocation, Dallas, Texas.
- *National Resource Conservation Service (NRCS), Washington DC.
- *Farmers Home Administration, Alexandria, La.
- *Federal National Mortgage Association (FNMA), Dallas Texas.
- *Various Other National REIT, Venture Capitalist and other national originations.
- *Cameron Parish Sheriff's Department, Cameron, La.
- *Vermilion Parish Sheriff's Department, Abbeville, La.
- *Resolution Trust Corporation, Washington D.C
- *O-M Management Group, Inc. Mandeville, La.
- *St. Martin Bank, St. Martinsville, La.
- *Amarillo National Bank, Amarillo, TX
- *Great Plains National Bank, Sayre, OK
- *Coastal Commerce Bank, Houma, La
- *Church Point Bank & Trust, Church Point, La
- *Faegre & Benson, LLP, Denver, CO
- *First Guaranty Bank, Hammond, La
- *JP Morgan Chase Bank, Dallas, TX
- *Haginas & Chapman, Houston, TX
- *Community First Bank, New Iberia, La
- *Red River Bank, Alexandria, La
- *State Bank & Trust Company, Baton Rouge, La
- *Alarian Associates, Inc., New York, NY
- *First Federal Bank of Louisiana, Alexandria, La
- *Dow Louisiana Federal Credit Union, Plaquemine, La
- *Investar Bank, Baton Rouge, La
- *JD Bank, Lake Charles, La
- *MC Bank, Morgan City, La
- *The Bank, Hattiesburg, MS
- *Completed Appraisal Assignments for Various Banks, Attorneys and Individuals in all Parishes throughout Louisiana as well as in Oklahoma, Texas, Arkansas, Alabama, Tennessee, Georgia, West Virginia, Nevada and Florida.

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You may wish to laminate the pocket identification card to preserve it.

TERRY JUDE BROUSSARD
106 W VETERANS MEMORIAL DR
KAPLAN, LA 70548

The person named on the reverse is licensed by the Texas Appraiser Licensing and Certification Board.

Inquiry as to the status of this license may be made to:

Texas Appraiser Licensing and Certification Board
P.O. Box 12188
Austin, Tx 78711-2188
www.talcb.texas.gov
(512) 936-3001
Fax: (512) 936-3899

Texas Appraiser Licensing and Certification Board
P.O. Box 12188 Austin, Texas 78711-2188

Certified General Real Estate Appraiser

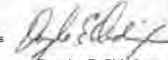
Number#: **TX 1338000 G**

Issued: **12/03/2018**

Expires: **12/31/2020**

Appraiser: **TERRY JUDE BROUSSARD**

Having provided satisfactory evidence of the qualifications required by the Texas Appraiser Licensing and Certification Act, Texas Occupations Code, Chapter 1103, is authorized to use this title, Certified General Real Estate Appraiser.


Douglas E. Oldmixon
Commissioner

Texas Appraiser Licensing and Certification Board

P.O. Box 12188 Austin, Texas 78711-2188

Certified General Real Estate Appraiser

Number: **TX 1338000 G**

Issued: **12/03/2018**

Expires: **12/31/2020**

Appraiser: **TERRY JUDE BROUSSARD**

Having provided satisfactory evidence of the qualifications required by the Texas Appraiser Licensing and Certification Act, Texas Occupations Code, Chapter 1103, is authorized to use this title, Certified General Real Estate Appraiser.


Douglas E. Oldmixon
Commissioner

BROUSSARD APPRAISAL SERVICES

Appraisers - Analysts - Consultants

State of Oklahoma



John D. Doak, Insurance Commissioner

Oklahoma Real Estate Appraiser Board

This is to certify that:

Terry J. Broussard

has complied with the provisions of the Oklahoma Real Estate Appraisers Act to transact business as a **Certified General** Real Estate Appraiser in the State of Oklahoma.

In Witness Whereof, I have hereunto set my hand and caused the seal of my office to be affixed at the City of Oklahoma City, State of Oklahoma, this 18th day of September, 2017.

John D. Doak, Insurance Commissioner
Chairperson, Oklahoma Real Estate Appraiser Board

Members, Oklahoma Real Estate Appraiser Board



Expires: **10/31/2020**

Oklahoma Appraiser Number: **12843CGA**

BROUSSARD APPRAISAL SERVICES

Appraisers - Analysts - Consultants

STATE OF ARKANSAS



APPRAISER LICENSING & CERTIFICATION BOARD

Attests that

Terry J Broussard

On this date was certified as a

STATE CERTIFIED GENERAL APPRAISER

The Arkansas Appraiser Licensing and Certification Board hereby affirms that this Certification is issued in accordance with all the requirements of Arkansas Code Annotated, Section 17-14-101 et seq., and subsequently adopted "Rules and Regulations" and shall remain in force when properly supported by a current pocket identification card.

7/23/2019

Date Issued

CG-3319

Certification Number

Cary C. Marshall

Chairman, AALCB

BROUSSARD APPRAISAL SERVICES

Appraisers - Analysts - Consultants

State of Mississippi

MISSISSIPPI REAL ESTATE APPRAISER

LICENSING AND CERTIFICATION BOARD

LICENSE # : GA-910 N.R.

STATUS: ACTIVE

TERRY JUDE BROUSSARD

HAS BEEN GRANTED A LICENSE AS A

STATE CERTIFIED GENERAL APPRAISER

Effective Date:

07/01/2018

Expiration Date:

06/30/2020

SIGNATURE OF LICENSEE

Robert E. Praytor, Administrator

BROUSSARD APPRAISAL SERVICES

Appraisers - Analysts - Consultants

State of Alabama



This is to certify that

Terry Jude Broussard

*having given satisfactory evidence of the necessary
qualifications required by the laws of the State of Alabama
is licensed to transact business in Alabama as a*

Certified General Real Property Appraiser

*With all rights, privileges and obligations
appurtenant thereto.*

LICENSE NUMBER: **G00870**

EXPIRATION DATE: **09/30/2019**

Steve Brooks Executive Director
ALABAMA REAL ESTATE APPRAISERS BOARD

000005352

BROUSSARD APPRAISAL SERVICES

Appraisers - Analysts - Consultants

STATE OF GEORGIA REAL ESTATE APPRAISERS BOARD

TERRY JUDE BROUSSARD

350387

IS AUTHORIZED TO TRANSACT BUSINESS IN GEORGIA AS A
CERTIFIED GENERAL REAL PROPERTY APPRAISER

THE PRIVILEGE AND RESPONSIBILITIES OF THIS APPRAISER CLASSIFICATION SHALL CONTINUE IN EFFECT AS LONG AS THE APPRAISER PAYS REQUIRED APPRAISER FEES AND COMPLIES WITH ALL OTHER REQUIREMENTS OF THE OFFICIAL CODE OF GEORGIA ANNOTATED, CHAPTER 43-39-A. THE APPRAISER IS SOLELY RESPONSIBLE FOR THE PAYMENT OF ALL FEES ON A TIMELY BASIS.

D. SCOTT MURPHY
Chairperson

JEFF A. LAWSON
Vice Chairperson

JEANMARIE HOLMES
WILLIAM A. MURRAY
KEITH STONE

27766740

TERRY JUDE BROUSSARD

350387
Status ACTIVE

CERTIFIED GENERAL REAL PROPERTY
APPRAISER

THIS LICENSE EXPIRES IF YOU FAIL TO PAY
RENEWAL FEES OR IF YOU FAIL TO COMPLETE ANY
REQUIRED EDUCATION IN A TIMELY MANNER.

State of Georgia
Real Estate Commission
Suite 1000 - International Tower
229 Peachtree Street, N.E.
Atlanta, GA 30303-1605

ORIGINALLY LICENSED

11/16/2012

END OF RENEWAL
05/31/2020



LYNN DEMPSEY
Real Estate Commissioner

27766740

TERRY JUDE BROUSSARD

350387
Status ACTIVE

CERTIFIED GENERAL REAL PROPERTY
APPRAISER

THIS LICENSE EXPIRES IF YOU FAIL TO PAY
RENEWAL FEES OR IF YOU FAIL TO COMPLETE ANY
REQUIRED EDUCATION IN A TIMELY MANNER.

State of Georgia
Real Estate Commission
Suite 1000 - International Tower
229 Peachtree Street, N.E.
Atlanta, GA 30303-1605

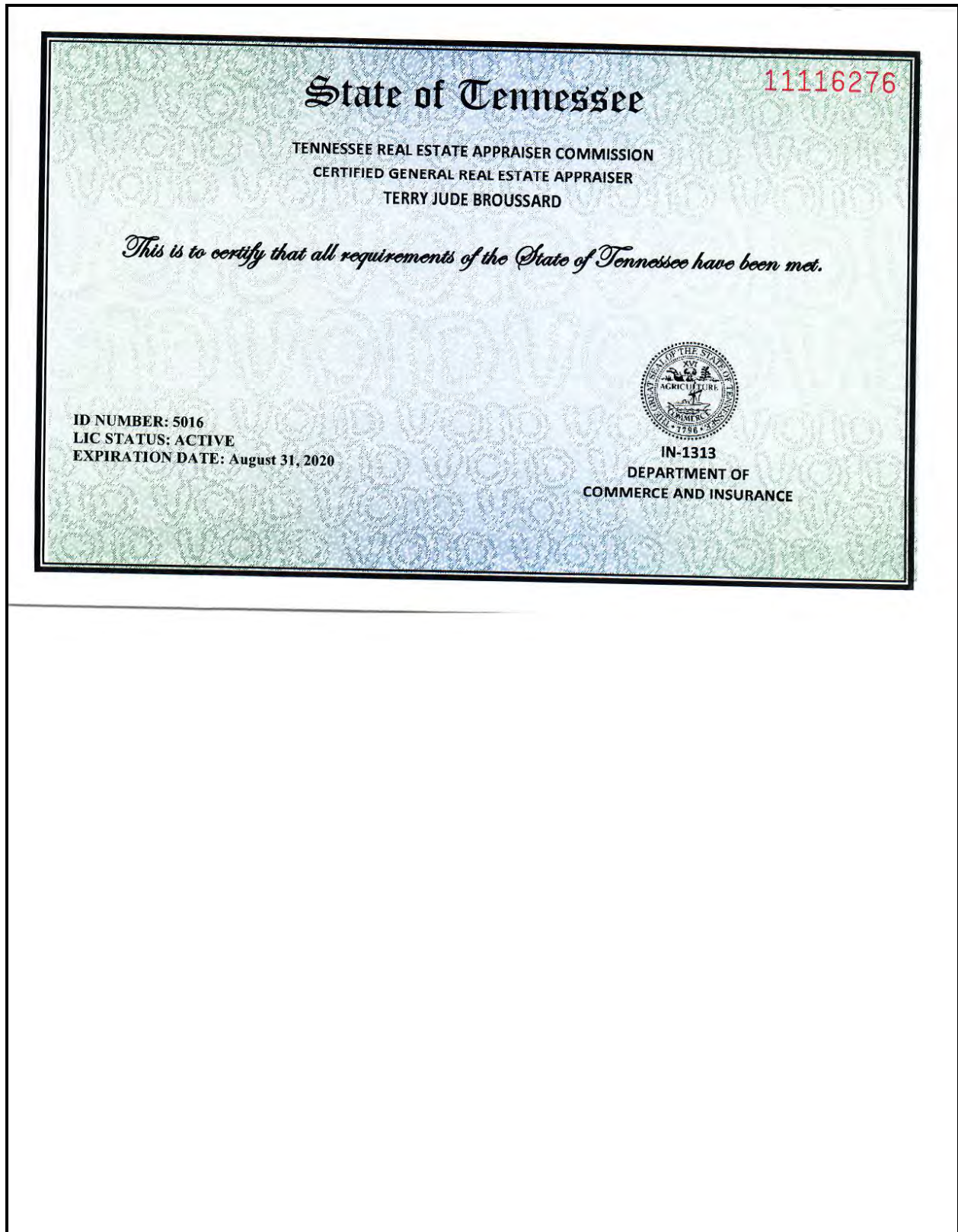


LYNN DEMPSEY
Real Estate Commissioner

27766740

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Professionals Providing Real Estate Solutions

This Certifies That

Terry J. Broussard

has been admitted to membership as an

MAI Member

in the Appraisal Institute and is

entitled to all the rights and privileges of membership

subject only to the limiting conditions set forth from time to time

in the Bylaws and Regulations of the Appraisal Institute.

*In Witness Whereof, the Board of Directors of the Appraisal Institute has
authorized this certificate to be signed in its behalf by the President, and the
Corporate Seal to be hereunto affixed on this 2nd day of July 2003*

A handwritten signature in black ink, appearing to read "D. J. Broussard", written over a horizontal line.

President

This certificate is the property of the Appraisal Institute and
must be returned to the Secretary upon termination of membership.